Realmadrid

Management Report & Financial Statements

2023-2024



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2023-2024

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Realmadrid

Management Report & Financial Statements

2023-2024

CONSOLIDATED MANAGEMENT REPORT

For the year ended June 30, 2024.

The Consolidated Management Report for Real Madrid Club de Fútbol and Subsidiaries, including an analysis of its earnings performance in 2023-2024, is presented below.

KEY HIGHLIGHTS OF 2023/2024

CORPORATE STRUCTURE

As a result of the Santiago Bernabéu Stadium's remodeling and the new scope for revenue growth it brings, and in a bid to optimize the management of the business regarding the marketing and operation of the VIP area businesses, general seating capacity and the facilities on days when no matches are played, in 2021/2022 Real Madrid decided to decentralize management and set up a wholly owned subsidiary, Real Madrid Estadio, S.L. and equip it with all the material and human recourses it needed for the business development.

Likewise, in 2023/2024 a new company, Aparcamientos del Santiago Bernabéu, S.L., was incorporated. Real Madrid, through Real Madrid Estadio, owns 98% of the share capital of this company, which primarily engages in the performance of the concession arrangement awarded by the Madrid Town Council to build and operate two car parks, one on Paseo de la Castellana-Bernabéu and one on Padre Damián.

Finally, Real Madrid, for several years now, owns 100% of Real Madrid Beijing Co, Ltd., set up to support Real Madrid's expansion in China and other countries in Asia.

Real Madrid Club de Fútbol, as parent, and Real Madrid Estadio, S.L., Aparcamientos Bernabéu, S.L. and Real Madrid Beijing Co, Ltd., as subsidiaries, constitute the Group (the "Group") referred to in this consolidated management report. Any mention of the Club in this report regarding financial data should be understood as the Group.

KEY HIGHLIGHTS OF 2023/2024

On the sports front, in the 2023/2024 season, the first division football team won the Champions League, for the sixth time between 2014 and 2024, along with the La Liga and Spain's Super Cup trophies. The first division basketball team won Spain's ACB league, King's Cup (Copa SMR) and Super Cup and was the EuroLeague runner-up.

These performances resulted in higher revenue in 2023/2024, but also higher expenses, especially sports personnel bonuses.

The remodeling project continued throughout the year, with works on the various structural components (facade, roof, retractable lawn) completed gradually. As at the June 30, 2024 reporting date, the works related to development of businesses (VIP area, tour, RM Experience, events, catering, store), which were one of the primary reasons behind the remodeling project to begin with, were still under way.

In the year's second half, work began on construction of the car park on Paseo de la Castellana. It is expected to be completed within 18 months.

Works on business development under the remodeling project had yet to be completed at the end of the reporting period. However, 2023/2024 did feature the gradual disappearance of the impact caused by them on stadium availability in terms of seating capacity and commercial operation, along with the steady and partial implementation of actions to boost revenue.

Thereby, in the latter part of the period, sales of new products began, entailing events and, more notably, new VIP seats in the stadium. Notable the marketing beginning of a new premium product linked to a small number of the new VIP seats. This product generated considerable revenue and may be extended to other VIP seats in the stadium going forward. All this was reflected in sharp growth in revenue from stadium business in 2023/2024. Estimates call for further strong growth from this revenue stream in 2024/2025, once all the businesses at the stadium are fully operational following completion of the remodeling work, which started in the summer of 2019 and continued throughout 2019/2020 to 2023/2024.

As illustrated, the remodeling work provides a new and important source of revenue for the Club, driving a sharp increase in revenue by the stadium on both match days and from the stadium's daily commercial operation. Higher net cash inflows will allow the Club to pay off the remodeling investment, while it continues to grow and remain competitive in an increasingly tough international football environment.

KEY HIGHLIGHTS OF 2023/2024

Commercial activity was affected for years by the pandemic and the uncertainties surrounding the overall economic environment. In 2023/2024, the Club boosted both merchandising and sponsorship activities, with highlights including the new sponsorship deal with HP for uniform sleeves. The momentum in commercial activity is set to continue and strenghten in the coming years, underpinned by the Club's strong brand, especially thanks to the composition of its sports personnel and its sports achievements, not to mention the stadium's remodeling.

Operating income (before disposal of non-current assets) increased by 27% in 2023/2024 to €1,073 million. Although the stadium was not yet fully operational during the year, the Club still managed to become the first football club ever to surpass the €1 billion mark in operating income before disposal of non-current assets.

This growth in revenue, after subtracting the increase in operating expenses related to this revenue and from operating activities, and the increase in personnel expenses arising from sports achievements, left operating profit before depreciation and amortization and disposals of non-current assets (EBITDA before disposals) of €144 million, up 71% from the previous year. This metric of the Club´s operational efficiency in 2023/2024 was nearly 80% higher than the average of the last 10 years. It is a testament to the efforts undertaken by the Club to enhance performance and growth of the business in all areas.

After including the gain on player disposals carried out in 2023/2024 (€13 million, net of valuation adjustments), operating profit before depreciation and amortization (EBITDA) was €156 million, in line with the 2022/2023 figure, which included a €73 million disposal gain; i.e., €60 million more than the current period. The huge losses incurred by most European clubs due to COVID-19 and the general trend in the transfer market have made it more difficult to carry out transfers for significant amounts, with an increasing number of players seeing their contracts end without being transferred.

The Club reported a net profit of €15.6 million in 2023/2024, an increase of 32% from the year-earlier figure. Against a backdrop of widespread and hefty losses by the vast majority of Europe's biggest clubs from 2019/2020 to 2022/2023, which continued for several of the major clubs in 2023/2024, the Club was profit-making in all five years from 2019/202 to 2023/2024 during which it had to overcome the impact of COVID-19, not to mention limitations arising from the stadium remodeling work. All this was achieved by implementing measure to rein in costs and improve the business all around.

The Club has now been profit-making in the last 23 years, enabling it to build up equity of €574 million as at June 30, 2024.

The Club's net debt excluding the stadium remodeling project at June 30, 2024, amounted to €8 million. Comparing debt with the Club's payment capacity represented by ordinary cash flow (measured using EBITDA: €156 million), yields a debt/EBITDA ratio —one of the most commonly used solvency indicators— at June 30, 2024, of 0.1, which is commensurate with a maximum credit rating for financial institutions.

OPERATING INCOME

(before disposal of non-current assets)

Operating income (before disposal of non-current assets) in 2023/2024 rose by 27% or €230 million from the year before to €1,073 million. Although the stadium was not yet fully operational during the year, the Club still managed to become the first football club ever to surpass the €1 billion mark in operating income before disposal of non-current assets.

All business lines showed increases except broadcasting, where revenue from La Liga was lower in 2023/2024 than 2022/2023. A key highlight was growth in market and stadium revenue. Regarding commercial activity, in 2023/2024, the Club boosted both merchandising and sponsorship activities, with highlights including the new sponsorship deal with HP for uniform sleeves. For the stadium, although all works for business development in the remodeling project have yet to be completed, stadium availability gradually increased in terms of seating capacity and commercial operation during the year. Sales of new products began in the latter part of the year, notably major events and a new premium product linked to new VIP seats. All this was reflected in sharp growth in revenue from stadium business for the year, although it will not be until 2024/2025 that all the business at the stadium are operating a full capacity. Finally, international match revenue was higher than the year before after winning the Champions League (2022/2023: semifinalist).

This item includes revenue from the various business lines (stadium, international and friendly matches, broadcasting, and marketing) and from other operating activities, but excludes revenue from player transfers, which is recognized in the income statement under “Gains/(losses) on disposal of non-current assets”.

Club membership fees and season tickets in 2023/2024 accounted for 5.6% of total revenue (2022/2023: 6.1%), 16.5% in 2000, 9.7% in 2009 and 7.2% in 2018/2019, before COVID-19 and the start of the project.

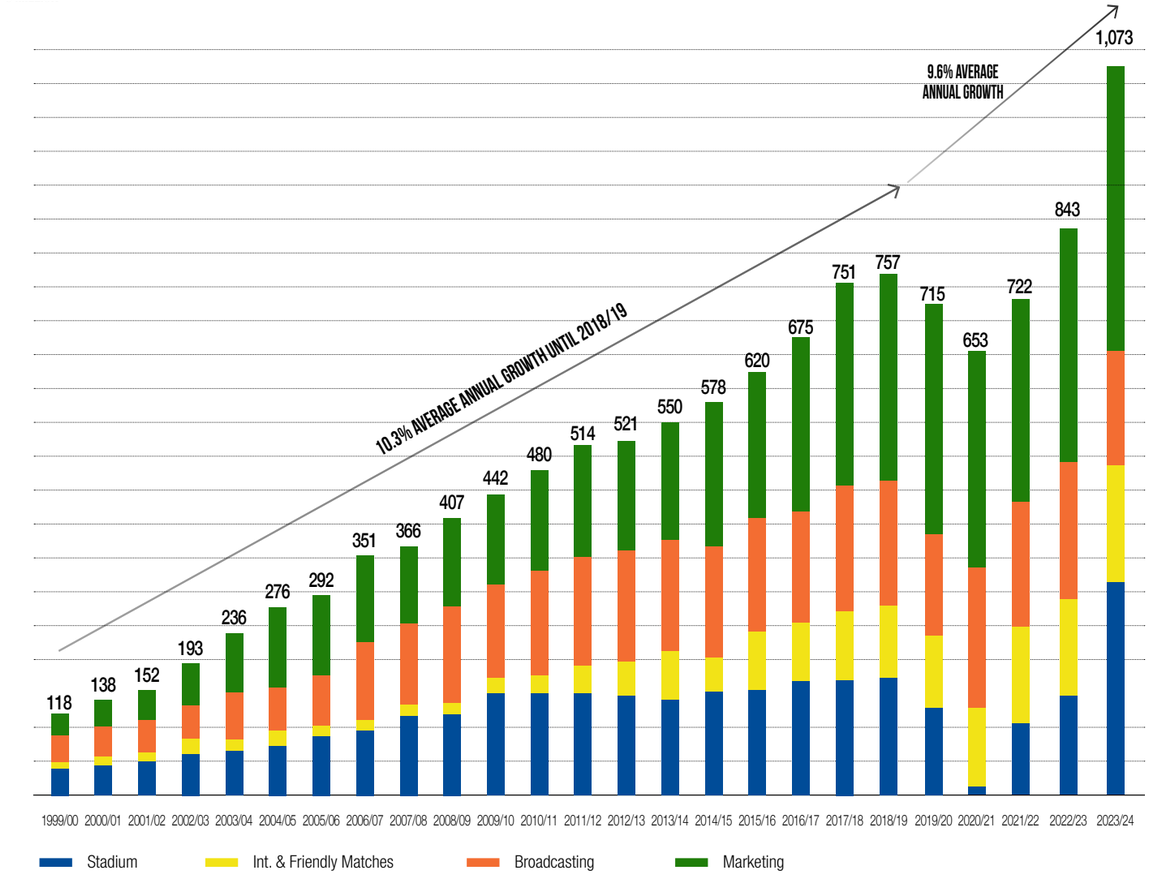
In the 2000-2019 period, before the pandemic, revenue grew at an average annual rate of 10.3%. Because of the pandemic and the lost revenue caused by the situation in 2019/2020, 2020/2021 and 2021/2022 and despite the recovery in revenue in 2022/2023 and the strong growth in 2023/2024, the pace of average annual growth in 2000-2024 declined to 9.6%.

Going forward, promoting the Club’s brand through investment in top players and international expansion are still the principal ways in which the Club can remain competitive and maintain its status as a global benchmark in football.

OPERATING INCOME

(BEFORE DISPOSAL OF NON-CURRENT ASSETS)

€ MILLION



BREAKDOWN OF OPERATING INCOME

(before disposal of non-current assets)

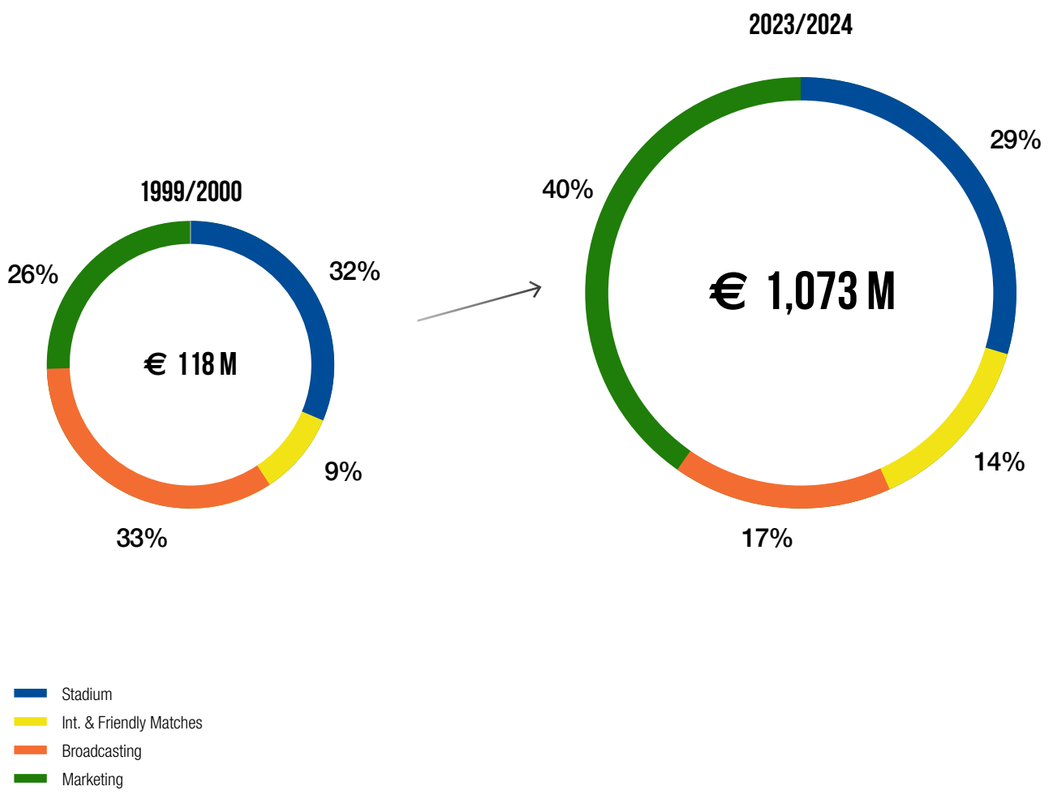
The Club enjoys a balanced revenue mix, barring the atypical situation in previous years affected by COVID-19 and the temporary effects of the remodeling work.

The three largest lines (stadium, television/ competitions and marketing) make up around a third of total revenue, although the weight of TV revenue in the mix (La Liga and Champions League) has decreased gradually, while the weight of marketing revenue has increased along with stadium revenue as the remodeling is completed.

This diversified stream of recurring revenue lends financial stability to the Club, cushioning the impact of potential fluctuations in revenue caused by varying performance on the sports front or changes in the economic landscape.

BREAKDOWN OF OPERATING INCOME

(BEFORE DISPOSAL OF NON-CURRENT ASSETS)



PERSONNEL EXPENSES/OPERATING INCOME: EFFICIENCY RATIO

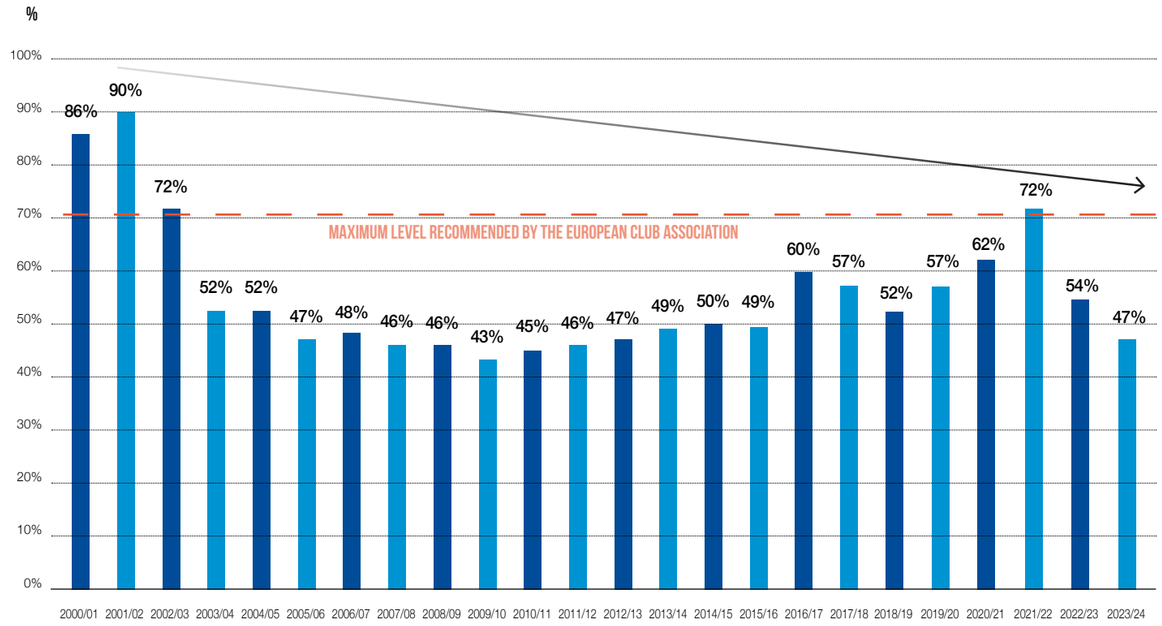
The efficiency ratio, calculated by dividing the Club's total personnel expenses by operating income (before disposal of non-current assets), is the most widely used indicator internationally to measure a football club's operational efficiency. The lower the ratio, the more efficient the Club.

In 2023/2024, the ratio was 47%; i.e., an improvement of 7 percentage points from the year before (54%) despite the impact of sports titles. Stripping out this impact, the ratio would be 44.5%, the Club's lowest in several years.

The efficiency ratio in 2023/2024 was below 50%, considered the threshold for excellence, and well below the 70% maximum level recommended by the European Club Association (ECA).

By increasing revenue and containing costs, the Club has been able to keep this ratio under control and below the level recommended by the European Club Association over the past 20 years, even during those affected by COVID-19.

PERSONNEL EXPENSES/ OPERATING INCOME



OPERATING PROFIT BEFORE DEPRECIATION AND AMORTIZATION (EBITDA)

Operating profit before depreciation and amortization, or EBITDA, is the Club's earnings from operating activities after subtracting personnel and other operating expenses from the revenue obtained by the business lines, including gains or losses on player transfers and disposals of other assets.

Player transfers among football clubs is hardly an exception, but rather part of the Club's standard practice so that it can renew staff, generating proceeds than can be used to self-finance part of the cost of new additions.

EBITDA before disposals; i.e., earnings from operating activities less personnel and other operating expenses, amounted to €144 million in 2023/2024, up 71% from the year before (€84 million). This metric of the Club's operational efficiency in 2023/2024 was nearly 80% higher than the average of the last 10 years. This is a testament to the improvements made by the Club in terms of operational efficiency in terms of revenue relative to expenses thanks to efforts made to enhance performance and growth of the business in all areas.

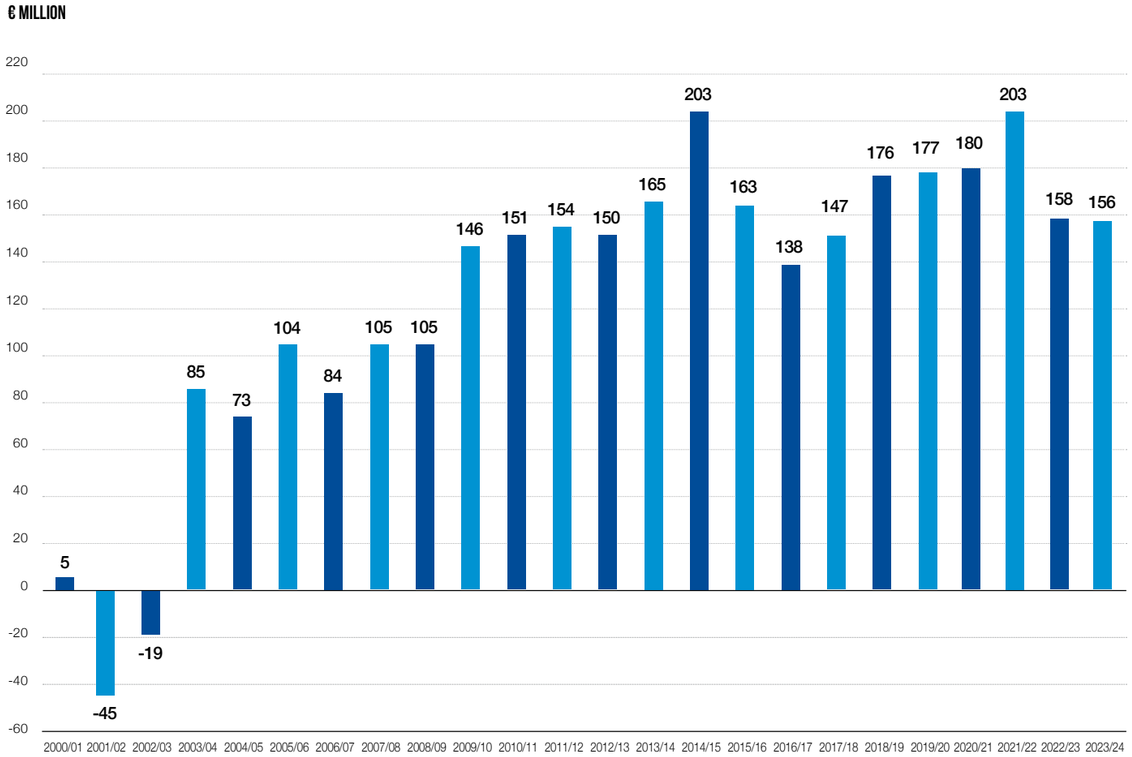
After including the gain on player disposals carried out in 2023/2024 (€13 million, net of valuation adjustments), operating profit before depreciation and amortization (EBITDA) was €156 million, in line with the 2022/2023 figure (€158 million), which included a €73 million disposal gain; i.e. €60 million more than the current period. Comparison of EBITDA of 2023/2024 with 2021/2022 (€203 million) is shaped by the gain realized that year from the Sixth Street/Legends agreement (€316 million).

The average gain on player disposals from 2018/2019 to 2022/2023 net of valuation adjustments amounted to €75 million. Noteworthy were the gains on player disposals in 2019/2020 and 2020/2021 net of valuation adjustments amounting to €127 million and €122 million, respectively, enabling the Club, despite the losses caused by COVID-19, to deliver EBITDA of €177 million and €180 million, respectively. These gains were far higher than those obtained this year. This shows how huge losses incurred by most European clubs due to COVID-19 and the general trend in the transfer market have made it more difficult to carry out transfers for significant amounts, with an increasing number of players seeing their contracts end without being transferred.

The Club achieved annual average EBITDA of €175 million in all five years from 2019/2020 to 2023/2024 during which it had to overcome the impact of COVID-19, on to mention limitations arising from the stadium remodeling work. This is a testament to its operational efficiency and ability to respond by taking measures to tackles difficulties as they arise.

The Club's EBITDA performance through the years is the result of a financial management that pursues profitability by combining efforts to boost revenue and rein in costs.

OPERATING PROFIT BEFORE DEPRECIATION AND AMORTIZATION (EBITDA)



INCOME STATEMENT: KEY HIGHLIGHTS

Operating income (before disposal of non-current assets) in 2023/2024 rose by 27% or €230 million from the year before to €1,073 million. All business lines showed increases except broadcasting, where revenue from La Liga was lower in 2023/2024 than 2022/2023. A key highlight was growth in marketing and stadium revenue. Regarding commercial activity, the Club boosted both merchandising and sponsorship activities. For the stadium, although all works for business development in the remodeling project have yet to be completed, stadium availability gradually increased in terms of seating capacity and commercial operation during the year. Sales of new products began in the latter part of the year, notably major events and a new premium product linked to new VIP seats. Finally, international match revenue was higher than the year before after winning the Champions League (2022/2023: semifinalist).

This growth in revenue, after subtracting the increase in operating expenses related to this revenue and from operating activities, and the increase in personnel expenses arising from sports achievements, left operating profit before depreciation and amortization and disposals of non-current assets (EBITDA before disposals) of €144 million, up 71% from the previous year (€84 million). This gave an EBITDA before disposals/revenue ratio of 13%, 3 percentage points higher than the year before (10%) and illustrating the vast improvement in revenue and operational efficiency.

After including the gain on player disposals carried out in 2023/2024 (€13 million, net of valuation adjustments), operating profit before depreciation and amortization (EBITDA) was €156 million, in line with the 2022/2023 figure (€158 million), which included a €73 million disposal gain; i.e., €60 million more than the current period.

Net profit is calculated as EBITDA after depreciation and amortization, net finance income/(expense) and income tax.

The depreciation and amortization charge in 2023/2024 was €20 million lower than in 2021/2022 due to changes in sports personnel. The depreciation charge for facilities was in line the previous year since depreciation on the remodeling project had yet to start because work was still ongoing at the end of the reporting period.

Net finance expense in 2023/2024 was €2 million, compared to net finance income in 2022/2023 of €6 million. The main reasons behind the increase in net expenditure are the higher income obtained in 2022/2023 for decisions in certain lawsuits in favor of the Club and the higher expenses in 2023/2024 for the impact of the implied cost of deferred payment on player acquisitions due to the higher cost of discounting because of interest rates. The borrowing cost of the stadium remodeling project financing in either of the last two financial years did not have any impact on the income statement since it was capitalized as an increase in the cost of the investment since the project is still underway.

In 2023/2024, income tax expense amounted to €4 million after applying a nominal tax rate of 25% to accounting profit before tax adjusted for impacts of tax legislation and recognizing the applicable tax credits. In 2022/2023, a tax refund of €3 million was obtained for the year, mostly the result of the impact of non-tax-deductible income caused by the resolution of certain lawsuits in favor of the club.

The Club reported a net profit of €16 million in 2023/2024, an increase of 32% from the year-earlier figure (€12 million). Against a backdrop of widespread and hefty losses by the vast majority of Europe's biggest clubs from 2019/2020 to 2022/2023, which continued for several of the major clubs in 2023/2024, the Club was profit-making in all five years from 2019/202 to 2023/2024 during which it had to overcome the impact of Covid-19, not to mention limitations arising from the stadium remodeling work. All this was achieved by implementing measure to rein in costs and improve the business all around.

The Club has now been profit-making in the last 23 years, enabling it to build up equity of €574 million as at June 30, 2024.

INCOME STATEMENT: KEY HIGHLIGHTS

€ MILLION	2022/2023	2023/2024
OPERATING INCOME	**843**	**1,073**
Annual growth		**27%**
OPERATING PROFIT before depreciation and amortizacion and disposal of non-current assets (**EBITDA** before disposal of non-current assets)	**84**	**144**
% of revenue	**10%**	**13%**
OPERATING PROFIT before depreciation and amortizacion **(EBITDA)**	**158**	**156**
PROFIT AFTER TAX	**12**	**16**

TAX BALANCE: CONTRIBUTION BY REAL MADRID TO TAX REVENUE AND SOCIAL SECURITY

Real Madrid contributed €277.1 million directly to state and local taxes, and social security in 2023/2024. The breakdown by item is as follows:

- €218.4 million paid in state and local income tax and social security, representing a cost of 20% of the Club's operating income (before disposal of non-current assets); i.e., for every €100 of income, Real Madrid allocates €20 to tax and social security payments.
- €58.7million in VAT paid to the tax authorities (difference between output VAT charged to customers and input VAT paid to suppliers), arising from Real Madrid's economic activity.

Real Madrid was current on the payment of all its tax obligations as at June 30, 2024, as it always has been.

TAX BALANCE

AMOUNTS PAID DURING THE 2023/2024 FISCAL YEAR	€ THOUSAND
Personnel income tax withholding and non-resident income tax (deductions from staff remuneration and image rights)	207,566
INCOME TAX	-5,727
Property and other local taxes	972
SOCIAL SECURITY CONTRIBUTIONS (company)	12,803
SOCIAL SECURITY CONTRIBUTIONS (employee)	2,765
TOTAL COST OF TAXES AND SOCIAL SECURITY	**218,378**
% OF OPERATING INCOME (BEFORE DISPOSAL OF NON CURRENT ASSETS)	**20%**
NET VAT PAID	58,744
TOTAL CONTRIBUTION BY REAL MADRID TO TAX REVENUE AND SOCIAL SECURITY	**277,123**

INVESTMENTS
(EXCLUDING THE STADIUM REMODELING PROJECT)

Excluding the stadium remodeling project, the Club invested €225 million in 2023/2024, of which €10 million went to upgrade and develop facilities and the IT platform; €2 million to repurchase rights/financing; €16 million to construction of the car park on Paseo de la Castellana, and €239 million to sports personnel, which included the cost of new acquisitions and the renewal of players, as well as the accrual of contingent costs arising from acquisitions made in prior periods.

Part of the investment in players was self-financed with proceeds from transfers, which amounted to €28 million. Thereby, net investment in sports personnel (acquisitions - transfers) was €211 million in 2023/2024, compared to €101 million the year before. Average annual net investment in the 2000-2024 period was €74 million.

In addition to investing in players, the Club allocated a significant amount to building and upgrading its facilities and for technological development. In the 2000-2024 period, Real Madrid invested:

- €278 million on the stadium, modernizing the facilities and enhancing their quality and functionality for spectators, as well as providing the facilities with the resources and services to broaden the stadium's commercial offering and develop the Club's IT platform. All this investment has generated a considerable annual financial return. The amount does not include the stadium remodeling project, which is disclosed separately in another section of this report.

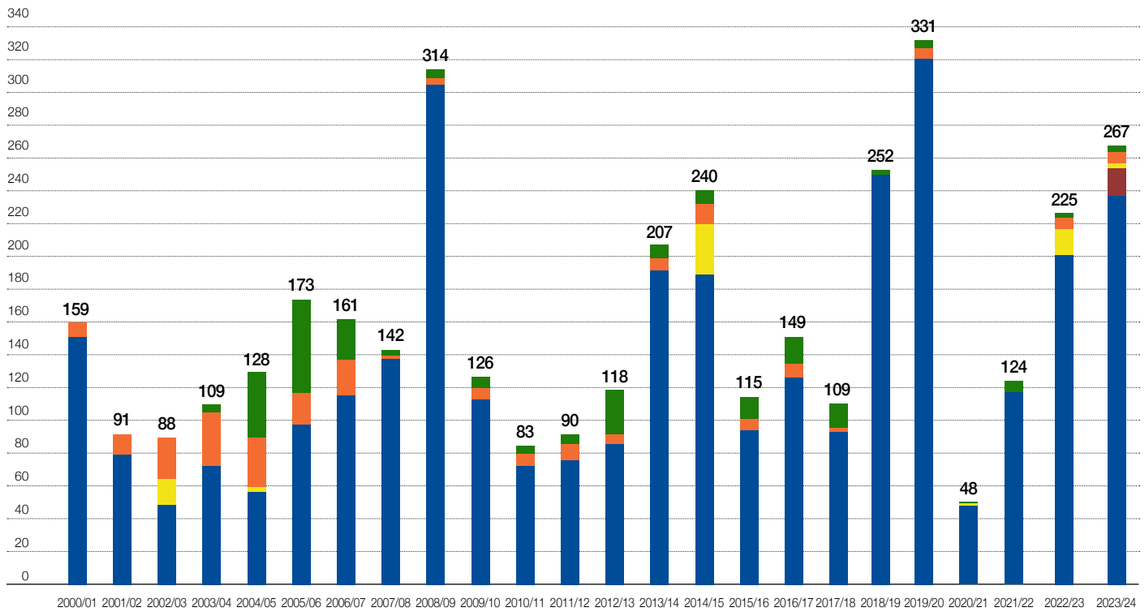
- €246 million on the construction of Real Madrid City, considered the largest sports complex ever built by a football club, with a total surface area of 120 hectares, 10 times bigger than the former complex. Ideally located in one of the fastest growing areas of Madrid and with excellent public transportation, Real Madrid City is a strategic enclave and a first-rate sports and entertainment center. Noteworthy in recent years is the marked improvement made to the installations, with the construction of the first-team and youth team residences—a Club goal for many years—and a basketball training arena and two new training fields. In 2018, construction was completed on the new office building where the Club's various operating departments work, paying the way for a greater integration and freeing up space for use in the stadium.

- €16 million for construction of the car park on Paseo de la Castellana, which began in the year's second half and is expected to be completed within 18 months. This relates to the start of performance of the concession arrangement awarded by the Madrid Town Council to build and operate two car parks, one on Paseo de la Castellana-Bernabéu and one on Padre Damián.

Overall, these investments have helped drive Real Madrid's economic growth, social development and sports successes.

INVESTMENTS
(EXCLUDING THE STADIUM REMODELING PROJECT)

€ MILLION



DISPOSALS: INCOME FROM PLAYER TRANSFERS, €M

2000/01	2001/02	2002/03	2003/04	2004/05	2005/06	2006/07	2007/08	2008/09	2009/10	2010/11	2011/12	2012/13	2013/14	2014/15	2015/16	2016/17	2017/18	2018/19	2019/20	2020/21	2021/22	2022/23	2023/24
67	11	6	40	24	43	36	33	56	102	20	14	41	102	114	28	54	108	124	139	121	67	100	28

Players · Stadium · Repurchase of Rights · Real Madrid Sport City · Santiago Bernabeu parking

SANTIAGO BERNABÉU STADIUM REMODELING PROJECT

On May 8, 2019, the Board of Directors awarded the remodeling contract to FCC Construcción, with a term of 39 months.

The remodeling work was carried out without affecting the matches scheduled or the stadium's normal activities, barring the interruption of certain activities caused by the COVID-19 pandemic since March 2019 that led to matches until June 30, 2021 to be held at the Alfredo Di Stefano Stadium in the Sport City without spectators. In the 2021/2022 season, after spectators were allowed back in stadiums, the matches were once again held at the Santiago Bernabéu Stadium.

The new stadium presents an immersive and avant-garde image thanks to a skin of steel bands and variable lines that will allow it to illuminate and project images. The project includes a fixed and retractable roof over the playing field, protecting all seats.

The demolition of the shopping center and construction of two new towers on Paseo de la Castellana make the stadium safer and make access and evacuation easier. Spectator traffic will be safer and smoother, with new ramps, escalators, elevators and more entrance doors. This reform includes removal of architectural barriers to make room for nearly 1,000 new seats for people with various abilities.

Work is also being carried out to enhance the entire urban surrounding, with a large square on the Castellana of more than 20,000 square meters and another on the corner of Padre Damián of 5,500 square meters. Calle Rafael Salgado Street will be turned into a pedestrian street and the entire surroundings will be improved with a project covering over 66,000 square meters.

All the spaces and galleries inside the stadium will be transformed so spectators can enjoy a new entertainment and service offering. The museum near the La Castellana will be much bigger, and a new interactive museum will be created and equipped with the latest virtual reality technologies. The experience of the Bernabéu Tour will be extended with the creation of a panoramic tour around the entire stadium and a new entertainment and food service offering, making it one of the main attractions for tourists visiting Madrid. It is a new stadium, with new, cutting-edge stores and a broader offering and type of restaurants and gastronomic experiences.

Technology is pioneering and an essential feature of this major reform, with a spectacular video scoreboard that is one of the most emblematic features of the new Santiago Bernabéu Stadium. It will be a large digital stadium that turns into a large technological platform for interacting with fans, leading a real digital transformation.

In addition, a large underground greenhouse was built that was not included in the original project due to its complexity, which was technologically resolved subsequently. This greenhouse allows for the automatic removal of the pitch and its preservation in optimal conditions and in perfect shape to be used when a football match is to be held. In this way, the number of events that can be held without impacting the grass will be maximized.

The new Santiago Bernabéu Stadium is one of Real Madrid's biggest projects for the future, aiming to become a benchmark for the 21st century and an avant-garde and universal icon, and marks a major upgrade for the Club, not to mention its surroundings. It will be a modern, cutting-edge stadium, with maximum comfort and safety, using latest generation technology making it a venue where fans can feel one-of-a-kind sensations.

The remodeling will also provide a new and important source of revenue for the Club. Forecasts point to a sharp increase in revenue generation by the stadium on both match days and from the stadium's daily commercial operation. Higher net cash inflows will allow the Club to pay off the remodeling investment, while it continues to grow and remain competitive in an increasingly tough international football environment.

To fund the remodeling project, on April 12, 2019, the Real Madrid Board of Directors, under authorization by the Extraordinary General Assembly of Delegated Members held on September 23, 2018, arranged financing of €575 million for a term of 30 years and a fixed rate of 2.5%. The financing was structured through a loan with three drawdowns, one each in July 2019, July 2020 and July 2021, in line with scheduled payments for the works. The facility also includes a three-year grace period for repayment of principal. Therefore, Real Madrid will pay a fixed annual amount for these €575 million of approximately €29.5 million as from July 30, 2023, until maturity on July 30, 2049.

Subsequently, pursuant to the authorization received from the Extraordinary General Assembly of Delegated Members held on November 20, 2021, Real Madrid signed an extension of the financing of the works not originally included in the remodeling project on December 7, 2021, via the extension of the €225 million loan facility to 27 years, carrying a fixed interest rate of 1.53%. The amount was drawn down on May 31, 2022. The facility also includes a grace period for repayment of principal, whereby Real Madrid will not begin to repay the financing until July 30, 2024. Therefore, for these €225 million, Real Madrid will pay a fixed annual amount of approximately €10.5 million as from July 30, 2024, until maturity on July 30, 2049.

In addition, pursuant to the authorization received from the Extraordinary General Assembly of Delegated Members held on November 9, 2023, on November 15, 2023, Real Madrid signed an extension of the financing of the works, for a loan amount of €370 million and repayment over a 30-year period, with a 3-year grace period on repayment of principal. Real Madrid will not begin repaying the loan until November 15, 2027. From then, for this €370 million Real Madrid will pay a fixed annual amount of €26 million until maturity on November 15, 2053.

As a result, loans taken out to finance the stadium's remodeling total €1,170 million, with final maturity in November 2053 and carrying an average fixed interest rate of 3.2%. As at June 30, 2024, the loans had been drawn down in full.

Real Madrid closed these deals without having to provide any mortgage guarantees (only pledges on certain stadium revenue) or accepting any restrictions on the Group´s management or debt (only compliance with a certain coverage ratio between the pledged stadium revenue and debt service, which it met), so it can carry out its normal activity with no impact from payment of the works.

SANTIAGO BERNABÉU STADIUM REMODELING PROJECT

€ MILLION	AT 06/30/2023	2023/2024
Investments	893	270
Cumulative		1,163
CASH AT JUNE 30	**125**	**126**
NET DEBT AT JUNE 30	**893**	**1,163**

After the addition of works not included originally, the remodeling project continued throughout the year, with works on the various structural components (facade, roof, retractable lawn) completed gradually. As at the June 30, 2024 reporting date, the works related to development of businesses (VIP area, tour, RM Experience, events, catering, store), which were one of the primary reasons behind the remodeling project to begin with, were still under way.

Investment recognized in 2023/2024 totaled €270 million, including the capitalized borrowing costs during the construction period. This took cumulative investment in the project as at June 30, 2024, to €1,163 million.

Regarding the loan facility, an additional €370 million drawdown was made in November 2023, taking the total amount drawn down on this facility to €1,170 million. Meanwhile, after paying only interest in the previous three financial years, repayment of loan principal began in 2023/2024, with a payment of €15 million. This left the outstanding balance of the loan as at June 30, 2024, at €1,155 million.

Net debt arising from the stadium remodeling project at June 30, 2024, amounted to €1,163 million. This is the net balance between payables of €1,289 million (€1,155 million loan, €72 million outstanding invoices payable and €62 million Club-Stadium adjustment) and the cash available from the loan of €126 million.

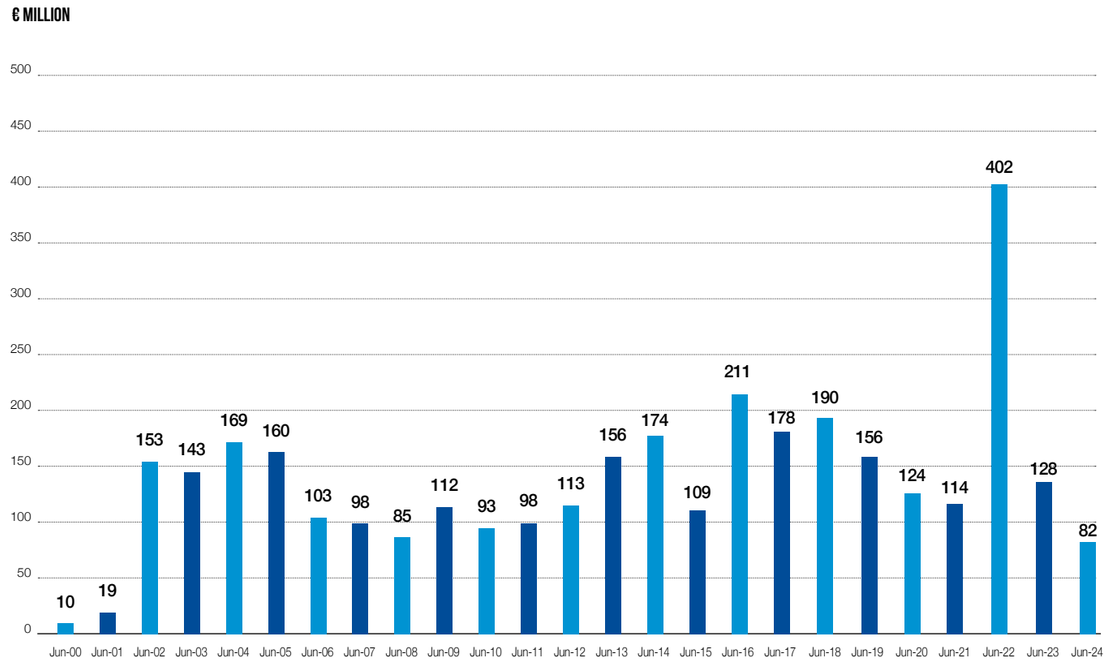
CASH AND CASH EQUIVALENTS (EXCLUDING PROCEEDS FROM THE LOAN FOR THE STADIUM REMODELING PROJECT)

The cash balance as at June 30, 2024, excluding cash from the stadium remodeling project loan, stood at €82 million, compared with €128 million as at June 30, 2023.

Cash flows from operating activities was counterbalanced by the payments required on player acquisitions and facilities (excluding the remodeling project), as well as by finance costs. The decrease in the balance of cash and cash equivalents was the result of the repayment of principal on the ICO loans (€38 million) and of principal on the stadium remodeling loan (€15 million).

In addition to the cash balance of €82 million, as at June 30, 2024, the Club also had €395 million of undrawn credit facilities. These undrawn facilities leave plenty of room to meet scheduled payment obligations.

CASH AND CASH EQUIVALENTS
(EXCLUDING PROCEEDS FROM THE LOAN FOR THE STADIUM REMODELING PROJECT)



WORKING CAPITAL (EXCLUDING THE STADIUM REMODELING PROJECT)

Working capital (i.e., the difference between current assets and current liabilities) as at June 30, 2024, excluding the stadium remodeling project, was a negative €161 million, broken down into operating working capital (€-176 million), financial working capital (€68 million) and other working capital (held for sale assets, provisions and taxes amounting to €-54 million).

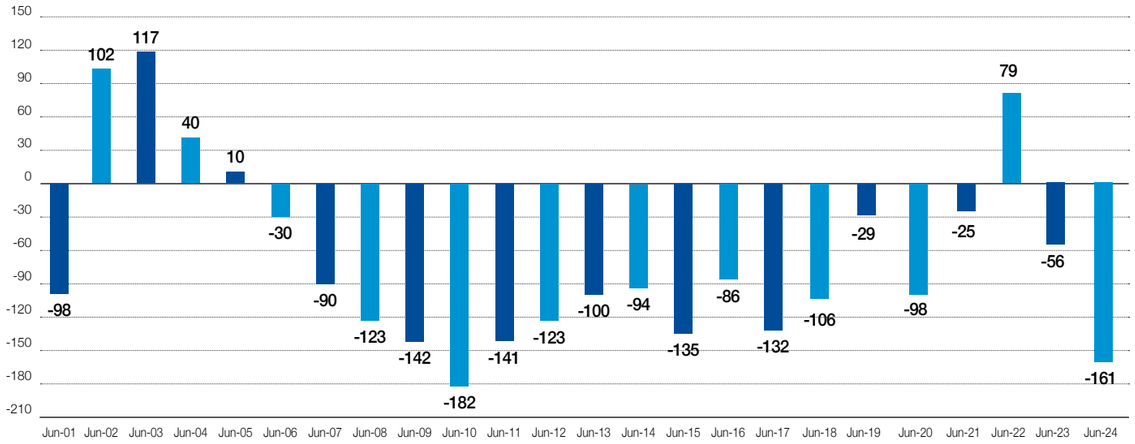
The Club's working capital, barring certain moments of especially high cash, is inherently negative as the nature of its operations leads to operating working capital with large creditor balances (between €-110 million and €-290 million for player registrations, net trade payables and upfront collection of membership fees and season tickets).

Despite this structural feature, the Club goes to great lengths to contain and reduce its negative working capital balance. This is further illustrated by the trend of the working capital/revenue ratio, given the relationship between the volume of operations and the size of working capital. As at June 30, 2010, working capital was negative in an amount of €182 million, representing 41% of operating income before disposals. As at June 30, 2024, it was negative in an amount of €161 million, representing 15% (26 percentage points lower). Put another way, the value of working capital as at June 30, 2024, was not only slightly lower in absolute terms, but more importantly it was considerably lower in relative terms in relation to revenue, which is the main indicator of the Club's transaction volume.

This negative operating working capital is recurring; i.e., rolled over each year due to the intrinsic nature of operations, as reflected in the trend in balances; figures are broadly similar from year to year, with occasional variations due to operating trends each season (e.g., sport achievement prizes).

WORKING CAPITAL

€ MILLION



CASH+SHORT TERM INVESTMENTS (€ MILLION)

Jun-01	Jun-02	Jun-03	Jun-04	Jun-05	Jun-06	Jun-07	Jun-08	Jun-09	Jun-10	Jun-11	Jun-12	Jun-13	Jun-14	Jun-15	Jun-16	Jun-17	Jun-18	Jun-19	Jun-20	Jun-21	Jun-22	Jun-23	Jun-24
19	153	143	169	160	103	98	85	112	93	98	154	156	174	109	211	178	190	156	124	114	402	128	82

These balances are rolled over and, therefore, present similar amounts at each year-end, so they do not represent debt, or a liquidity or business continuity problem.

Due to the large volume of transactions carried out by the Club at present, the only way to offset recurring negative working capital would be to have a large positive financial working capital through an extremely large balance of cash equivalents.

Temporary situations with a large amount of cash relative to the size of the Club's balance sheet can arise from time to time but are not normal and not compatible with the objectives or not-for-profit status of the Club, which invests funds obtained in the development of its sports and its facilities.

WORKING CAPITAL

€ MILLION	6/30/09	6/30/10	6/30/11	6/30/12	6/30/13	6/30/14	6/30/15	6/30/16	6/30/17	6/30/18	6/30/19	6/30/20	6/30/21	6/30/22	6/30/23	6/30/24
OPERATING WORKING CAPITAL																
Trade receivables + Inventories	32	58	71	66	54	46	57	67	108	103	90	163	103	148	251	343
Receivables from public administrations	4	1	1	1	1	1	7	0	0	0	0	0	0	0	0	0
Trade payables	-47	-74	-67	-75	-73	-63	-64	-66	-63	-63	-58	-35	-38	-62	-97	-143
Payables to public administrations	-7	-11	-15	-13	-15	-15	-22	-15	-27	-23	-26	-15	-23	-36	-24	-43
Salaries and wages payable (50% player registration, bonuses)	-50	-56	-71	-93	-82	-114	-104	-144	-197	-208	-149	-139	-135	-216	-175	-220
Accruals	-48	-66	-69	-67	-60	-58	-62	-64	-85	-96	-124	-80	-57	-79	-98	-113
Subtotal	**-116**	**-149**	**-151**	**-181**	**-176**	**-202**	**-189**	**-222**	**-265**	**-287**	**-267**	**-106**	**-150**	**-243**	**-143**	**-176**
Financial Working Capital																
Cash	112	93	98	113	156	174	109	211	178	190	156	124	114	402	128	82
Current investments	0	0	0	41	0	0	0	0	0	0	0	0	0	0	0	0
Player transfer receivables	13	34	28	21	24	36	58	53	20	52	79	44	83	35	59	48
Bank borrowings	-24	-48	-7	-43	-26	-16	0	0	0	-10	0	-52	-2	-38	-39	-39
Club-Stadium adjustment											31	1	8	24	59	62
Player transfer and other investments payable	-146	-115	-92	-74	-76	-91	-111	-131	-70	-55	-108	-128	-79	-33	-91	-85
Subtotal	**-45**	**-37**	**27**	**59**	**77**	**103**	**56**	**133**	**128**	**177**	**157**	**-10**	**124**	**390**	**116**	**68**
Other																
Available-for-sale financial assets	29	0	0	0	0	0	0	0	0	0	79	7	0	22	11	0
Provisions	-10	-1	-1	-1	-2	-2	-3	-1	-2	-2	-2	-2	-1	-71	-53	-58
Taxes	1	4	-17	0	1	7	1	5	7	6	4	13	2	-19	12	5
Subtotal	**20**	**4**	**-18**	**-1**	**-1**	**5**	**-2**	**4**	**5**	**4**	**81**	**18**	**1**	**-67**	**-30**	**-54**
TOTAL WORKING CAPITAL	**-142**	**-182**	**-141**	**-123**	**-100**	**-94**	**-135**	**-86**	**-132**	**-106**	**-29**	**-98**	**-25**	**79**	**-56**	**-161**

LIABILITIES AND GROSS DEBT (EXCLUDING THE STADIUM REMODELING PROJECT)

The Club had total liabilities at June 30, 2024, excluding the stadium remodeling project, of €883 million (June 30, 2023: €801 million). This, in addition to €574 million of equity (June 30, 2023: €558 million) and the liabilities related to the remodeling project of €1,227 million (June 30, 2023: €959 million), of which €1,155 million is long-term finance (June 30 2023: €800 million) and €72 million short- and long-term invoices payables (June 30, 2023: €159 million), gives a total balance sheet value of €2,684 million (June 30, 2023: €2,318 million).

Liabilities comprise gross debt, trade payables (€362 million as at June 30, 2024, and €272 million as at June 30, 2023) and other liabilities, composed of provisions, accruals, and taxes (€285 million as at June 30, 2024, and €283 million as at June 30, 2023).

The Club's gross debt at June 30, 2024 excluding the stadium remodeling project, in accordance with Spanish GAAP, stood at €236 million, of which €77 million corresponded to bank borrowings and €159 million to debt relating to investments in players and facilities (June 30, 2023: €246 million, of which €115 million of bank borrowings and €131 million of investments).

The Club's gross debt decreased by €10 million in 2023/2024:

- Bank borrowings decreased by €38 million as 2023/2024 was the second full year of repayments of the ICO-backed bank loans. Repayments will be made regularly in coming years to maturity in 2026. These loans were taken out for €155 million in 2019/2020 to make up for the impact on cash flow of lost income caused by COVID-19.
- Debt from investments increased by €28 million, as payments made were less than the addition of new outstanding amounts payable on new acquisitions during the year.

REAL MADRID LIABILITIES AT JUNE 30, 2023

€ MILLION	CURRENT	NON-CURRENT	TOTAL
Borrowings	**130**	**116**	**246**
Trade and other payables	272		272
Financial liabilities	**402**	**116**	**518**
Provisions	53	46	99
Deferred taxes		37	37
Current tax	0		0
Public Administrations	24		24
Accruals	99	24	123
Total other liabilities	**176**	**107**	**283**
TOTAL LIABILITIES	**578**	**223**	**801**

REAL MADRID LIABILITIES AT JUNE 30, 2024

€ MILLION	CURRENT	NON-CURRENT	TOTAL
Borrowings	**124**	**112**	**236**
Trade and other payables	362		362
Financial liabilities	**487**	**112**	**599**
Provisions	58	33	92
Deferred taxes		28	28
Current tax	0		0
Public Administrations	43		43
Accruals	114	8	122
Total other liabilities	**216**	**69**	**285**
TOTAL LIABILITIES	**702**	**181**	**883**

NET DEBT (EXCLUDING THE STADIUM REMODELING PROJECT)

Gross debt was discussed in the previous section.

However, the Club's key metric is its net debt; it does not make sense to discuss what one owes without factoring in what one owns.

Net debt is gross debt minus cash and cash equivalents, of €82 million at June 30, 2024 (June 30, 2023: €128 million) and receivables from other clubs from player transfers (in keeping with a core principle of consistency, since gross debt includes amounts paid to other clubs for player acquisitions and as player acquisitions/sales are mirror sides of the business), of €85 million at June 30, 2024 (June 30, 2023: €130 mi million), recognized in "Financial assets" in the balance sheet.

The Club includes as debt the balance of advances on income accruing in the future, which stood at €1 million at June 30, 2024 (June 30, 2023: €24 million). Also included is the adjustment of Club-Stadium cash and cash equivalents, with a balance in favor of the Club at June 30, 2024 of €62 million (June 30, 2024: €59 million).

This left the Club's net debt as at June 30, 2024, at €8 million (June 30, 2023: €-47 million), excluding the stadium remodeling project.

Net debt represents the external resources which, coupled with own funds, are used to fund the capital invested by the Club to carry out its activity.

NET DEBT AT JUNE 30, 2023

€ MILLION	CURRENT	NON-CURRENT	TOTAL
Payables for player transfers, works and repurchase of rights	91	40	131
Player transfer receivables	-59	-71	-130
Net investments/transfers	**33**	**-30**	**2**
Bank borrowings	39	77	115
Cash	-128	0	-128
Cash advance	0	24	24
Club-Stadium adjustment	-59	0	-59
Subtotal other net debt	**-149**	**100**	**-48**
TOTAL NET DEBT	**-116**	**70**	**-47**

NET DEBT AT JUNE 30, 2024

€ MILLION	CURRENT	NON-CURRENT	TOTAL
Payables for player transfers, works and repurchase of rights	85	74	159
Player transfer receivables	-48	-37	-85
Net investments/transfers	**36**	**38**	**74**
Bank borrowings	39	38	77
Cash	-82	0	-82
Cash advance	0	1	1
Club-Stadium adjustment	-62	0	-62
Subtotal other net debt	**-104**	**39**	**-65**
TOTAL NET DEBT	**-68**	**76**	**8**

MANAGEMENT BALANCE

€ MILLION	06/30/2023	06/30/2024
Players, facilities and other property	724	834
Provisions and other	-70	-76
Net operating working capital	-143	-176
TOTAL NET CAPITAL INVESTED	**511**	**583**
NET EQUITY	558	574
NET DEBT	-47	8
TOTAL FUNDING SOURCES	**511**	**583**

NET DEBT (EXCLUDING THE STADIUM REMODELING PROJECT)

The Club's net debt excluding the stadium remodeling project at June 30, 2024, amounted to €8 million.

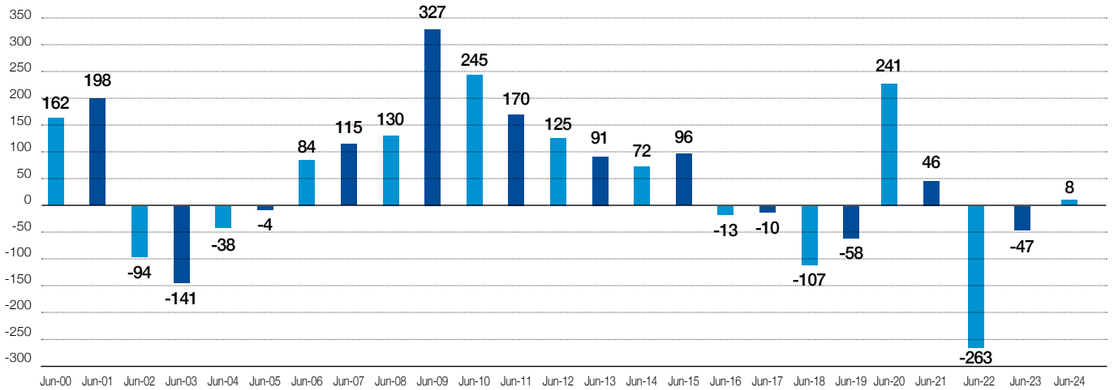
Debt in 2023/2024 increased by €55 million measured as the difference between investment (€267 million excluding the remodeling project) and cash flows from operating activities. One of the key investments was in players, of €239 million, of which this time €28 million was self-financed with income from transfers, resulting in net investment in sports personnel (acquisitions - transfers) in 2023/2024 of €211 million (2022/2023: €101 million). Also noteworthy was the start during the year of construction of the car park on the Paseo de la Castellana, in which €16 million has been invested.

Looking at long-run trends in net debt, since June 2009 the Club has made considerable efforts in paying down debt, even more so since the outbreak of the COVID-19 pandemic in 2020, which left the Club with net debt at €241 million. Comparing this with the current level of €8 million illustrates that the Club was able to offset nearly €400 million of lost revenue caused by the pandemic, which also decreased cash and increased debt, by implementing cost-saving and other business improvement measures.

Comparing debt with the Club's payment capacity represented by ordinary cash flow (measured using EBITDA: €156 million), yields a debt/EBITDA ratio—one of the most commonly used solvency indicators—at June 30, 2024, of 0.1, which is commensurate with a maximum credit rating for financial institutions.

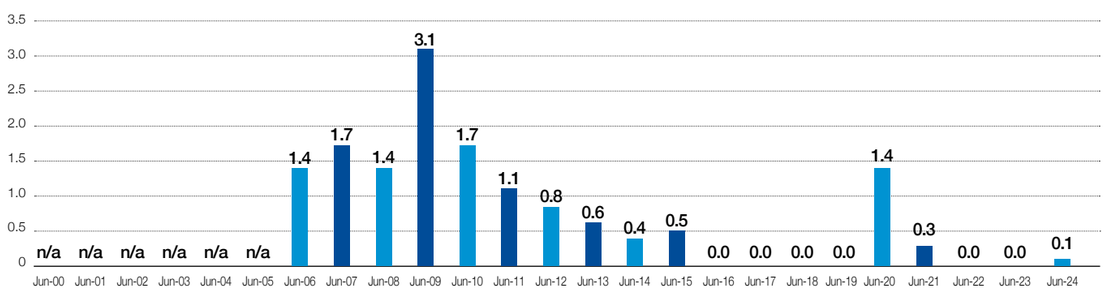
NET DEBT
(EXCLUDING THE STADIUM REMODELING PROJECT)

€ MILLION



Net debt: Bank borrowings + Payables/Receivables on acquisition/transfer of assets – Cash.
A negative sign means a net liquidity position. Debt also includes the balance of non-current advances.

NET DEBT/EBITDA RATIO



EBITDA: Operating profit before depreciation and amortization. As of 2008/09, with new Spanish GAAP, it includes gains/(losses) on disposals and impairment of non-current assets.

EQUITY

Equity represents the Club's own funds; i.e., the funds which, with borrowings, fund the Club's needs to carry out its activities.

Equity is the accounting measure of enterprise value. For an entity like Real Madrid, which does not distribute dividends, the annual change in equity relates to annual profit after tax (and any balance sheet revaluation).

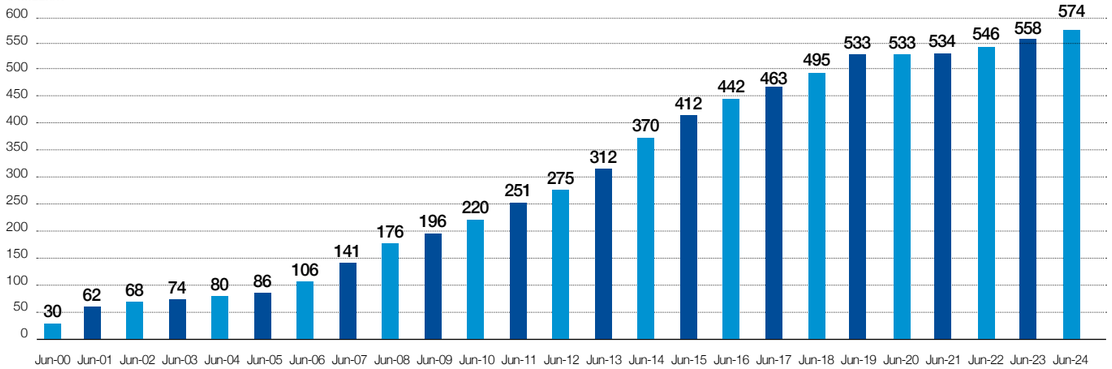
Through the profits it obtains, the Club has increased equity each year, to €574 million at June 30, 2024. By delivering a profit in the five financial years affected by the pandemic and the stadium remodeling—2019/2020 to 2023/2024—despite the lost revenue, the Club was able to boost equity by €41 million relative to the level at June 30, 2019, before the pandemic and the start of remodeling work.

The greater the amount of equity relative to debt, the higher the Club's value, solvency and financial autonomy, as capital invested is financed more by equity than debt. The debt/equity ratio is used as an indicator of solvency and financial autonomy: the lower this ratio, the higher the Club's solvency and financial autonomy.

The debt/equity ratio at June 30, 2024, excluding the stadium remodeling project, was 0.0, which indicates maximum solvency and financial autonomy.

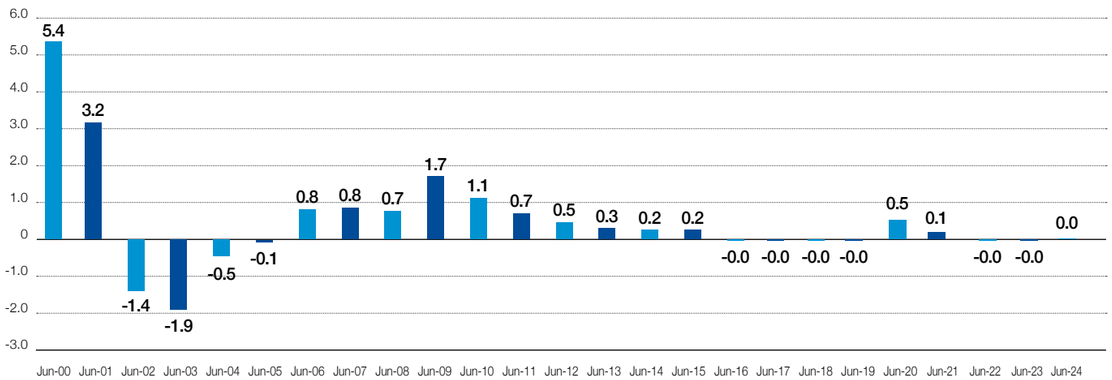
EQUITY

€ MILLION



NET DEBT/EQUITY RATIO

Net debt: Bank borrowings + Payables/Receivables on acquisition/transfer of assets – Cash.
A negative sign means a net liquidity position. Debt also includes the balance of non-current advances.



BALANCE SHEET

ASSETS

€ THOUSAND	06/30/2024	06/30/2023
Sports intangible assets	449,059	324,979
Other intangible assets	45,842	26,736
Property, plant and equipment	1,425,334	1,165,257
Investment properties	11,147	11,144
Non-current player transfers receivable	36,875	70,990
Deferred tax assets	45,678	54,059
Other financial assets	64,937	77,315
TOTAL NON-CURRENT ASSETS	**2,078,872**	**1,730,480**
Assets held for sale	0	11,192
Inventories	18,141	9,271
Current player transfers receivable	48,366	58,557
Trade receivables	324,705	241,409
Current tax assets	4,792	12,076
Cash and cash equivalents	208,265	253,357
Accruals	1,323	1,429
TOTAL CURRENT ASSETS	**605,592**	**587,291**
TOTAL ASSETS	**2,684,464**	**2,317,771**

EQUITY AND LIABILITIES

€ THOUSAND	06/30/2024	06/30/2023
Social fund and reserves	554,510	542,603
Profit (loss) for the year	15,627	11,826
CAPITAL AND RESERVES	**570,137**	**554,429**
Socios externos	401	
Grants received	3,555	3,700
EQUITY	**574,093**	**558,129**
Provisions for liabilities and charges	33,239	45,833
Bank borrowings	37,644	76,573
Non-current payables for player acquisitions	45,631	39,356
Non-current payables for stadium and Real Madrid Sport City works	1,163,921	803,913
Payables for Repurchase of rights/other	395	453
Other non-current payables	6,303	0
Deferred tax liabilities	28,204	37,053
Accruals	1,250	24,137
TOTAL NON-CURRENT LIABILITIES	**1,316,587**	**1,027,318**
Provisions for liabilities and charges	58,301	53,022
Bank borrowings	39,390	38,509
Current payables for player acquisitions	98,853	86,765
Current payables for stadium and Real Madrid City works	77,417	159,000
Current payables for repurchase of rights/others	66	62
Trade and other payables	186,029	121,037
Current tax liabilities	0	0
Wages and salaries payable	219,258	174,852
Accruals	114,199	99,076
TOTAL CURRENT LIABILITIES	**793,783**	**732,323**
TOTAL EQUITY AND LIABILITIES	**2,684,464**	**2,317,771**

Assets/liabilities at June 30, 2024, amounted to €2,684 million, an increase of €367 million from the year before.

Highlights on the assets side: The carrying amount of sports intangible assets increased by €124 million due to the net result of investment made in the year less amortization, disposals, impairment and transfers to held for sale assets.

The value of other intangible assets increased by €19 million due to the investment in car parks recognized under this item as they arose from a concession arrangement, and the development of an IT platform to provide service to both members and fans. The value of property, plant and equipment increased by €260 million due to the net result of investment made in the year (primarily in the stadium remodeling project) less depreciation. The value of other financial assets decreased by €12 million due to the impact of non-current trade receivables and sports personnel contract bonuses. The balance of held for sale assets decreased by €11 million, as there was a €0 balance in the current year since no assets qualified for classification as available for sale. Current and non-current receivables for player transfers decreased by €44 million following receipt of an amount of the outstanding balance of transfers from prior years that was higher than the outstanding amounts added for transfers during the current year, since revenue from transfers decreased. Trade receivables increased by €83 million due to the pickup in business activity. Two-thirds of the increase related to higher stadium revenue since considerable revenue was realized in the latter part of the year and the other third to marketing revenue due to increased merchandising and sponsorship activity. Inventories increased by €9 million on the back of increased merchandising activity. The balance of current tax assets decreased by €7 million as the income tax refund for 2023/2024 in favor of the Club (as prepayments exceed the amount payable according to the settlement at the end of the financial year), which will be received as of January 2025 when the return is filed, is lower than the refund received in 2022/2023. The balance of cash and cash equivalents totaled €208 million, of which: €126 million related to cash from the stadium remodeling project loan facility, €1 million more than the year before as repayments made during the year were offset by the final drawdown of €370 million during the year, and €82 million related to the Club's cash excluding the remodeling project; i.e., €46 million less than the year before for the reasons already explained in other notes in this report.

Highlights on the liabilities side: Bank borrowings decreased by €38 million for the repayment of ICO-backed COVID-19 bank loans taken out in 2020. Outstanding payables on investments (long- and short-term) were €297 million higher. Of the total, an increase of €269 was due to the stadium remodeling project (the balance of the loan increased by €355 million following the final drawdown of €370 million and the repayment of €15 million, while the balance outstanding invoices payable decreased by €87 million). Payables for player acquisitions and other investments increased by €28 million as payments made were smaller than the amounts added to outstanding payments for new acquisitions during the year. The balance of non-current and current provisions for liabilities decreased by €7 million as the amount of provisions recognized in the year was lower than the amount of provisions derecognized the previous years as either the related contingency arose or the provisions was no longer considered to be necessary. There was a balance of €6 million of other non-current payables related to long-term payment obligations with sports personnel. Trade payables rose by €65 million, of which €27 million related to payments owed pursuant to business arrangements, €19 million to the increase in VAT payable in July on transactions carried out in June, and €19 million due to increased operations. Current tax liabilities (income tax payable) amounted to €0 since there was no balance for this item at either June 30, 2024 or June 30, 2023, but rather an amount receivable by the Club was recognized under assets. The balance of remuneration payable increased by €45 million mostly as the expense for bonuses for sports achievements in the current year will be paid in the next reporting period, giving rise to a payable as the rest of the outstanding balance (essentially the second part of the player registration payable in July) was broadly unchanged because the expense was stable. The balance of non-current and current accruals (amounts received which accrue in subsequent periods) was closely in line with the previous year. Equity at the end of the reporting period amounted to €574 million, up €16 million from the year before, due to the profit after tax obtained in 2023/2024.

OTHER MANAGEMENT INFORMATION

NATURE AND EXTENT OF RISKS ARISING FROM FINANCIAL INSTRUMENTS

Real Madrid has established a series of procedures and controls that make it possible to identify, measure, and manage the risks arising from financial instrument activity. Financial instrument activity exposes the Club to credit, market, and liquidity risk.

CREDIT RISK

Credit risk is the risk that a Club counterparty will not meet its contractual obligations, i.e., the possibility that financial assets will not be recovered at their carrying amount within the established time frame.

With regard to trade receivables, the Club has a procedure in place to measure, manage and control the risks arising from each of its loans. The procedure covers risk measurement and the initial authorization, ongoing monitoring of the exposure and subsequent controls. The Club, through its various departments, assesses and monitors these exposures on a monthly basis with a view to identifying risky situations and collection delays, taking the necessary precautions, including legal measures if warranted, to enable recovery of amounts past due as quickly as possible. In many cases, in order to guarantee collection of receivables, the Club often demands suitable collateral and guarantees. As a result of all these measures the Club's losses on uncollectible receivables are insignificant in relation to the its annual revenue.

The Club's investment policies establish that financial investments must be made in accordance with the following guidelines: They must be arranged with financial institutions domiciled in Spain and of renowned solvency and liquidity. Acceptable investment products include bank deposits, repos, commercial paper issued by highly solvent financial institutions, interest-bearing accounts and other similar financial products. Specifically, investment in speculative financial products or those in which the counterparty is not clearly and explicitly identified are expressly prohibited. Investments should be diversified to ensure that the risk is not significantly concentrated in any one institution. However, temporarily, undrawn facilities may, depending on market conditions, concentrated in certain highly solvent institutions. Investments in current financial assets must be liquid assets with a maturity of three months or less, with a repurchase commitment or a secondary market that guarantees their immediate liquidity if required. Compliance with these requirements minimizes investment risk and therefore the Club has seen no impairment on any of its financial investments since 2000, the first year for analysis of the Club's economic and financial performance considered in this management report.

MARKET RISK

Interest rate risk

Market risk entails interest rate risk caused by uncertainty over the future performance of the financial markets and interest rates, which can potentially have a negative impact on the Club's results and cash flows. Financing for the stadium project is for 30 years at fixed rates, thereby eliminating any risk since the transaction is for such a long period of time. Almost the entire amount of new long-term (with maturity to 2026) financing raised in 2019/2020 to cushion the impact of COVID-19 is at fixed rates and, therefore, risk-free. The rest of the Club's financing comprises short-/medium-term credit facilities carrying floating interest rates indexed to the Euribor, of which no amounts had been drawn down as at June 30, 2024. Therefore, the rapid spike in interest rates since the middle of 2022 has barely had any impact on the Club's income statement. Given its financing mix, the Club does not enter into any derivatives as interest rate hedges.

Inflation

Inflation peaked in July 2022 (at 10.8% yoy), before falling sharply to 3.4% yoy in June 2024. In any case, given its cost structure, the Club has seen only a moderate impact of inflation on its expenses. It does not consume any commodities; energy consumption is largely insignificant; and the portion of expenditure on external services and non-sports personnel linked to short-term inflation represents less than 20% of the Club's total expenses. Moreover, the part of the inflation-induced increase in expenses will be offset by corresponding increases in certain revenue items.

LIQUIDITY RISK

Liquidity risk is the risk that the Club will have a shortage of funds or lack access to sufficient funds at an acceptable cost to meet its payment obligations at all times. To address this risk the Club aims to maintain sufficient available funds to carry out its operating activities and make the investments it requires at any given time. As at June 30, 2024, the Club had a cash balance of €208 million (of which €126 million related to the cash inherent in the stadium remodeling project and €82 million to the rest of the Club's cash and cash equivalents) and undrawn credit facilities amounting to €395 million at a floating interest rate plus a highly competitive spread.

These funds, plus the cash flows generated regularly by the Club through its operating activities, allow it to comfortably meet all its payment commitments.

OTRA INFORMACIÓN DE GESTIÓN

AVERAGE SUPPLIER PAYMENT PERIOD

The Club's average supplier payment period in 2023/2024 was 41 days. Payments were made amounting to €370 million, of which €275 million (75% of the total) were paid within 60 days.

PERSONNEL

In 2023/2024, the Club had an average of 1,118 employees, of whom 535 were players and coaches (2021: 974 and 473, respectively).

At June 30, 2024, the Club had 1,163 employees (June 30, 2023: 1,072), of whom 557 (June 30, 2023: 512) were players and coaches.

ENVIRONMENTAL DISCLOSURES

Given the nature of its activities, the Club has no environmental liabilities, expenses, assets, provisions or contingencies that could have a significant effect on its equity, financial position and results.

Real Madrid, in compliance with its sustainability and energy efficiency policy, continues to study and carry out measures to reduce its consumption and ensure the responsible management of resources.

RESEARCH, DEVELOPMENT AND INNOVATION

Given the nature of the Club activities, its most relevant activities in this area are the innovative design of various sections of the stadium remodeling project, and the design and development of the technology platform and other tools to support its digital activities. Also included are sports health-related activities and the development of new IT tool.

TREASURY SHARES

As the Club is a sports association, it has no shares and therefore no treasury shares.

EVENTS AFTER THE REPORTING PERIOD

The most significant events that occurred between the end of the reporting period and the date of authorization for issue of these financial statements were as follows:

- Kylian Mbappé joined the men's first football team in July 2024. No amount was paid to acquire the player's transfer rights.
- Player transfers to other clubs were carried out amounting to approximately €18,350 thousand.

OUTLOOK

Looking ahead to 2024/25, the key matter is completion of stadium remodeling work. During 2023/2024, works were gradually completed on the various structural components (facade, roof, retractable lawn) and part of the works related to development of businesses (VIP area, tour, RM Experience, events, catering, store), which will be completed in 2024/2025 and mark the end of the remodeling project. Therefore, depreciation of the investment will begin next year and borrowing costs will no longer be capitalized.

Completion of the project will have an impact on stadium revenue. Although it increased in 2023/2024, all the businesses of the stadium will be fully operational in 2024/2025, paving the way for considerable additional growth in stadium revenue. Logically, increased revenue will also mean higher operating expenses related to running the stadium.

Regarding commercial activity, in 2023/2024 the Club boosted both merchandising and sponsorship activities. The momentum in commercial activity is set to continue in 2024/2025 and even gather pace in the coming years, underpinned by the Club's strong brand, especially thanks to the composition of teams and sports achievements, not to mention the stadium's remodeling.

The Club expects to build on the success of its sport model, pursuing further sports successes in football and basketball, which have set the Club apart throughout its history and especially in recent years. In this respect, the key highlight was the signing of Kylian Mbappé to the men's first division football team for the 2024/2025 season.

This performance must be supported by an economic model that aims to achieve self-sustaining growth, where, through the combination of diversified revenue and contained costs, a profitability and financial structure are achieved to provide the solvency that enables the Club to make the investments it needs to carry out its business.

CONSOLIDATED FINANCIAL STATEMENTS

For the year ended June 30, 2024.

The Financial Statements of Real Madrid Club de Fútbol and Subsidiaries is presented below.

CONSOLIDATED BALANCE SHEET AS AT JUNE 30, 2024

ASSETS

€ THOUSAND	NOTES	6/30/2024	6/30/2023
NON-CURRENT ASSETS		**2,078,872**	**1,730,480**
Sports intangible assets	4	**449,059**	**324,979**
Other non-sports intangible assets	5	**45,842**	**26,736**
Property, plant and equipment	6	**1,425,334**	**1,165,257**
Investment properties	7	**11,147**	**11,144**
Non-current financial investments	8.1	**62,246**	**106,652**
Non-current accruals	15.1	**39,566**	**41,653**
Deferred tax assets	16	**45,678**	**54,059**
CURRENT ASSETS		**605,592**	**587,291**
Non-current assets held for sale	4.2	**-**	**11,192**
Inventories	9	**18,141**	**9,271**
Trade and other receivables	8.2	**377,863**	**312,042**
Current accruals	15.1	**1,323**	**1,429**
Cash and cash equivalents	10	**208,265**	**253,357**
TOTAL ASSETS		**2,684,464**	**2,317,771**

EQUITY AND LIABILITIES

€ THOUSAND	NOTES	6/30/2024	6/30/2023
EQUITY		**574,093**	**558,129**
Capital and reserves	11	**570,137**	**554,429**
Reserves		498,401	487,997
Revaluation reserve RD 7/96		8,548	8,548
Revaluation reserve law 16/2012		20,277	20,277
Legal reserve		-	1
Capitalization reserve		15,802	13,378
Reserves in fully consolidated companies		11,482	12,402
Profit for the year		15,627	11,826
Grants, donations and bequests received	12	**3,555**	**3,700**
Non-controlling interests	11	**401**	**-**
NON-CURRENT LIABILITIES		**1,316,587**	**1,027,318**
Non-current provisions	13.1	**33,239**	**45,833**
Non-current loans and borrowings	14.1	**1,247,591**	**920,295**
Bank borrowings		37,644	76,573
Other financial liabilities		1,209,947	843,722
Non-current payables	14.1	**6,303**	**-**
Deferred tax liabilities	16	**28,204**	**37,053**
Non-current accruals	15.2	**1,250**	**24,137**
CURRENT LIABILITIES		**793,784**	**732,324**
Current provisions	13.2	**58,301**	**53,022**
Current loans and borrowings	14.3	**215,726**	**284,336**
Bank borrowings		39,390	38,509
Other financial liabilities		176,336	245,827
Trade and other payables	14.4	**405,558**	**295,890**
Current accruals	15.2	**114,199**	**99,076**
TOTAL EQUITY AND LIABILITIES		**2,684,464**	**2,317,771**

CONSOLIDATED INCOME STATEMENT FOR THE YEAR ENDED JUNE 30, 2024

€ THOUSAND	NOTES	2023/2024	2022/2023
CONTINUING OPERATIONS			
Revenue			
Membership fees, ticket sales and stadium revenue		306,970	151,843
International and friendly matches		150,784	136,030
Broadcasting revenue		179,257	186,813
Marketing revenue		406,629	329,812
	17.1	**1,043,640**	**804,498**
Self-constructed assets	17.1	9,437	-
Cost of sales			
Raw materials and other consumables used	17.2	**(65,718)**	**(44,000)**
Other operating income	17.1	**12,052**	**26,715**
Sports and non-sports personnel expenses	17.3	**(504,974)**	**(452,701)**
Other operating expenses			
Losses on, impairment of and changes in trade provisions	17.4	3,157	90
Other operating expenses	17.4	(362,111)	(262,299)
		(358,954)	**(262,209)**
Depreciation and amortization	4, 5, 6, 7	**(134,419)**	**(154,569)**
Non-financial and other capital grants	12.17.1	**193**	**192**
Provision surpluses	13.1, 13.2	**7,890**	**11,613**
Impairment, gains/(losses) on disposal of non-current assets and other exceptional gains/(losses)			
Impairment and losses	17.5	(15,084)	(30,607)
Gains/(losses) on disposal and other	17.5	27,792	104,057
		12,708	**73,450**
OPERATING PROFIT		**21,855**	**2,989**
Finance income			
Marketable securities and other financial instruments	17.6	10,191	12,754
Capitalization of borrowing costs	17.6	29,727	17,917
		39,918	**30,671**
Finance costs	17.6	**(41,854)**	**(25,083)**
NET FINANCE INCOME/(EXPENSE)		**(1,936)**	**5,588**
PROFIT BEFORE TAX		**19,919**	**8,577**
Income tax (expense)/income	16.1	**(4,291)**	**3,249**
PROFIT FOR THE YEAR FROM CONTINUING OPERATIONS		**15,628**	**11,826**
PROFIT FOR THE YEAR		**15,628**	**11,826**
Attributable to equity holders of the parent		**15,627**	**11,826**
Attributable to non-controlling interests		**1**	**-**

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED JUNE 30, 2024

A) Consolidated statement of recognized income and expense for the year ended June 30, 2024.

€ THOUSAND	NOTES	2023/2024	2022/2023
Profit for the year		**15,627**	**11,826**
Income and expense recognized directly in equity		**-**	**-**
Amounts transferred to the income statement			
Grants, donations and bequests received	12	(193)	(192)
Tax effect	12	48	48
Total amounts transferred to the income statement		**(145)**	**(144)**
Total recognized income and expense		**15,482**	**11,682**

B) Consolidated statement of total changes in equity for the year ended June 30, 2024.

€ THOUSAND	RESERVES (NOTE 11)	REVALUATION RESERVES (NOTE 11)	CAPITALIZATION RESERVE (NOTE 11)	RESERVES IN CONSOLIDATED COMPANIES (NOTE 11)	PROFIT FOR THE YEAR	TOTAL EQUITY	GRANTS, DONATIONS AND BEQUESTS RECEIVED (NOTE 12)	NON-CONTROLLING INTERESTS	TOTAL EQUITY
Balance at June 30, 2022	**487,517**	**28,825**	**13,325**	**-**	**12,936**	**542,603**	**3,844**	**-**	**546,447**
Distribution of prior year profit/(loss)	480	-	53	12,403	(12,936)	-	-	-	-
Total recognized income and expense for the year ended June 30, 2023	-	-	-	-	11,826	11,826	(144)	-	11,682
Balance at June 30, 2023	**487,997**	**28,825**	**13,378**	**12,403**	**11,826**	**554,429**	**3,700**	**-**	**558,129**
Distribution of prior year profit/(loss)	10,404	-	1,156	266	(11,826)	-	-	-	-
Transfer to recapitalization reserve	-	-	1,268	(1,268)	-	-	-	-	-
Inclusion of new company to the group	-	-	-	-	-	-	-	400	400
Other changes	-	-	-	81	-	81	-	-	81
Total recognized income and expense for the year ended June 30, 2024	-	-	-	-	15,627	15,627	(145)	1	15,483
Balance at June 30, 2024	**498,401**	**28,825**	**15,802**	**11,482**	**15,627**	**570,137**	**3,555**	**401**	**574,093**

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED JUNE 30, 2024

€ THOUSAND	NOTES	2023/2024	2022/2023
OPERATING ACTIVITIES			
Profit for the year before tax		**19,919**	**8,577**
Adjustments for:		**110,275**	**35,851**
Depreciation and amortization	4, 5, 6, 7	134,419	154,569
Impairment losses	17.5	15,084	30,607
Change in provisions	13.1 13.2 17.4	(10,472)	(38,234)
Grants recognized in the income statement	12	(193)	(194)
Proceeds from derecognition and disposals of non-current assets	17.5	(27,792)	(104,057)
Finance income	17.6	(39,918)	(30,671)
Finance costs	17.6	41,854	25,083
Other income and expenses		(2,707)	(1,252)
Working capital adjustments		**43,660**	**(155,237)**
Inventories		(8,870)	(1,525)
Trade and other receivables		(74,692)	(102,575)
Other current assets		106	790
Trade and other payables		101,138	(5,674)
Other current liabilities		49,330	18,227
Other non-current assets and liabilities		(23,352)	(64,480)
Other cash flows from operating activities		**9,513**	**(33,734)**
Interest paid		(5,998)	(5,662)
Interest received		9,097	2,006
Income tax received/(paid)		6,414	(30,078)
NET CASH FLOWS FROM/(USED IN) OPERATING ACTIVITIES		**183,367**	**(144,543)**
INVESTING ACTIVITIES			
Payments for investments		**(613,838)**	**(416,980)**
Sports intangible assets		(224,876)	(128,315)
Other intangible assets		(11,599)	(21,228)
Property, plant and equipment		(373,602)	(264,837)
Investment properties		(11)	-
Other financial assets		(3,750)	(2,600)
Proceeds from sale of investments		**68,682**	**79,529**
Sports intangible assets		66,859	77,513
Other intangible assets		-	14
Property, plant and equipment		22	2
Other financial assets		1,801	2,000
NET CASH FLOWS USED IN INVESTING ACTIVITIES		**(545,156)**	**(337,451)**
FINANCING ACTIVITIES			
Proceeds from and payments for equity instruments		**401**	**-**
Issue of equity instruments		401	-
Proceeds from and payments for financial liability instruments		**316,296**	**(37,965)**
Proceeds from other loans and borrowings		370,000	-
Redemption and repayment of bank borrowings		(38,297)	(37,965)
Redemption and repayment of other borrowings		(15,407)	-
NET CASH FLOWS FROM/(USED IN) FINANCING ACTIVITIES		**316,697**	**(37,965)**
NET FOREIGN EXCHANGE DIFFERENCE			**-**
NET INCREASE/DECREASE IN CASH AND CASH EQUIVALENTS		**(45,092)**	**(519,959)**
Cash and cash equivalents at beginning of period		253,357	773,316
Cash and cash equivalents at end of period	10	208,265	253,357

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED JUNE 30, 2024

1. CORPORATE INFORMATION

Real Madrid, Club de Fútbol (the "Club") was formed in 1902 as a sports entity to engage in, and use its assets for, primarily and principally, the promotion of football at all levels and ages and, in general, of all sports.

Its sporting activities focus currently on playing and promoting football and basketball. The Club has women's and men's teams competing at various levels in both of these sports.

The Club is the parent of a group composed of the following subsidiaries:

NAME	DATE OF INCORPORATION	COST OF STAKE	% STAKE	REGISTERED ADDRESS	ACTIVITY
Real Madrid Beijing Co, Ltd.	3/24/2015	137	100%	3021-3022 Units, South Tower Beijing Kerry Centre, 1 Guanghua Road, Chaoyang District, Beijing, China	Support Real Madrid's expansion in China and other countries in Asia.
Real Madrid Estadio, S.L.U.	8/27/2021	3	100%	Avda. Concha Espina, 1	Management of all kinds of venues. Car park construction and operation.
Aparcamientos del Santiago Bernabéu, S.L.	10/31/2023	19,600	98%	Avda. Concha Espina, 1	Car park construction and operation.

Real Madrid Aparcamientos del Santiago Bernabéu, S.L., which was newly incorporated, is 98%-owned by subsidiary Real Madrid Estadio, S.L.U and 2% by non-Group company SABA Aparcamientos, S.A.

Real Madrid Club de Fútbol's and Real Madrid Estadio, S.L.U.'s financial year begins on Jully 1 each year and ends on June 30 the following year, whereas the financial year of subsidiaries Real Madrid Beijing, Ltd and Aparcamientos del Santiago Bernabéu, S.L. is the calendar year.

2. BASIS OF PREPARATION

These consolidated financial statements have been authorized for issue by the Board of Directors of Real Madrid Club de Fútbol, the parent of the consolidated group.

The figures shown herein are in thousands of euros (€ thousand), unless stated otherwise.

2.1 FAIR PRESENTATION

The accompanying consolidated financial statements have been prepared from the auxiliary accounting records of the Club and subsidiaries included in the scope of consolidation in accordance with Spanish GAAP (Plan General de Contabilidad) and other prevailing accounting legislation to present fairly the equity, financial position and results of operations of the consolidated group.

Specifically, these consolidated financial statements have been prepared in accordance with Spanish GAAP (Plan General de Contabilidad) approved by Royal Decree 1514/2007, of November 16, which has been amended several times since its publication, the latest by Royal Decree 1/2021, of January 12, and the rules for the preparation of consolidated financial statements approved by Royal Decree 1159/2010, of September 17. They also considered the specifics contained in Spanish GAAP applicable to sporting public limited companies (sociedades anónimas deportivas) and sports entities.

The statement of cash flows was prepared to present fairly the source and use of the Group's cash flows represented by cash and cash equivalents.

2.2 BASIS OF CONSOLIDATION

The consolidated group includes all companies over which the parent, Real Madrid Club de Fútbol, has or could have, directly or indirectly, control, understood to be the power to govern the business and financial policies of a company.

The consolidated financial statements have been prepared applying the full consolidation method.

In preparing the accompanying consolidated financial statements, all significant balances and transactions between consolidated companies and the significant results of those transactions were eliminated.

In addition, in the preparation of the accompanying consolidated financial statements, uniformity adjustments were made to the most significant accounting principles and policies to make them uniform them with those used by the parent. For Aparcamientos del Santiago Bernabéu, S.L. and Real Madrid Beijing Ltd., whose financial year ended December 31, 2023, uniformity of timing adjustments were made at June 30, 2024 to their financial information included in the consolidated financial statements.

2.3 COMPARATIVE INFORMATION

In accordance with company law, for comparative purposes the Group has included, for each item of the balance sheet, the income statement, the statement of changes in equity and the statement of cash flows, in addition to figures for the year ended June 30, 2024, those for the year ended June 30, 2023.

Quantitative information for the previous year is also included in the notes to the financial statements unless an accounting standard specifically states that this is not required.

2.4 CRITICAL ISSUES REGARDING THE MEASUREMENT AND ESTIMATION OF UNCERTAINTIES

The Club's Board of Directors has prepared the consolidated financial statements using estimates based on historical experience and other factors considered reasonable under the circumstances. The carrying amounts of assets and liabilities, which were not readily apparent from other sources, were established on the basis of these estimates. Although the Group reviews these estimates on an ongoing basis, there is a series of risks and uncertainties that depend on the future outcome of certain assumptions and considerations described herein that could result in the need to revise the carrying amounts of assets and liabilities in future periods or other disclosures contained in these notes.

The key assumptions concerning the future and other key sources of estimation uncertainty of estimates at the reporting date, that have significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below.

- **Impairment of non-current assets and non-current assets held for sale recognized as current assets**

The measurement of non-current assets requires estimates to determine their recoverable amount (Notes 3.6) for assessing whether there is any impairment. To determine recoverable amount, where it is not possible to use a market value, the Group's directors estimate, as at the date of authorization for issue of the consolidated financial statements and whenever feasible, the present value of the estimated and probable future

cash flows to be generated by the assets discounted using an appropriate discount rate. The Group also makes estimates to determine fair value less costs to sell for assets classified as non-current assets held for sale (Note 3.5). These estimates are based primarily on offers received by the Group for the assets and on the analysis of comparable transactions in the market.

- **Deferred tax assets**

Deferred tax assets are recognized for the carry forward of unused tax credits and any unused tax losses to the extent that it is probable that the Club and its subsidiaries will have future taxable profit available against which they can be utilized and, accordingly, the assets recovered. To determine the amount of deferred tax assets that can be recognized, the Club and its subsidiaries estimate the amounts and dates on which future taxable profits will be obtained, and the period of reversal of taxable temporary differences.

- **Provisions**

The Group makes judgments and estimates regarding the probability of occurrence of risks that could require the recognition of a provision and, where appropriate, the related amounts. A provision is recognized only when the risk is considered probable, in which case the cost that would be arising from the obligating event is estimated. On other occasions, the cost is determined after the reporting date and prior to the authorization for issue of the consolidated financial statements, once additional information and documentation has been obtained that confirms the assessment or estimate of the risk materializing at the end of the reporting period.

- **Calculation of fair value, value in use and present value**

Calculating fair value, value in use and present value entails, in certain cases, calculating future cash flows and making assumptions on the future amounts of the cash flows, as well as the applicable discount rates. The estimates and related assumptions are based on historical experience and various other factors considered reasonable under the circumstances.

- **Operating lease commitments — The Group as lessor**

The Group has entered into leases to carry out its business. Based on an evaluation of the terms and conditions of the arrangements, it has determined that the lessor retains all the risks and rewards of ownership of the assets. Therefore, it accounts for these arrangements as operating leases. Operating lease payments are recognized as expenses in the income statement on a straight-line basis over the lease term.

2.5 DISTRIBUTION OF PROFIT

Group companies earmark 10% of profit for the Capitalization Reserve in compliance with Article 25 of Law 27/2014 on Corporate Income Tax (the CIT law) to apply the reduction in the tax base provided in that law (see Note 16.3).

The Club allocates the remaining 90% to increase the balance of reserves, while subsidiary Real Madrid Estadio S.L.U. allocates the remainder to increase the balance of voluntary reserves after complying with the legal requirement of Article 274 of the Corporate Enterprises Act approved by Royal Decree-Law 1/2020 of July 2 to earmark 10% of profit for the legal reserve until it reaches 20% of the capital. Meanwhile, Aparcamientos del Santiago Bernabéu, S.L. allocates 10% of its profit to the legal reserve in compliance with that law and the remaining 80% to voluntary reserves.

2.6 BALANCE SHEET REVALUATION

In 1996/1997, the Group availed itself of the balance sheet revaluation provided for in RD Law 7/1996, of June 7, increasing the net value of its property, plant, and equipment by €8,548 thousand. The impact on the depreciation charge for the year ended June 30, 2024 was €160 thousand (June 30, 2023: €160 thousand).

Similarly, in 2013/2014, the Group decided to avail itself of the revaluation provided for in Law 16/2012, of December 27, resulting in a net increase in its property, plant and equipment of €21,344 thousand. At the Extraordinary General Assembly held on September 22, 2013, the revaluations were approved, along with the ad hoc balance sheet issued by the Board of Directors. The ad hoc balance sheet and the breakdown of the revaluations of the various items of property, plant, and equipment were provided in the 2013/14 consolidated financial statements.

The impact on the depreciation charge for the year ended June 30, 2024 was €520 thousand (June 30, 2023: €520 thousand).

3. ACCOUNTING POLICIES

The significant accounting policies applied by the Group in the preparation of the accompanying consolidated financial statements for the year ended June 30, 2024, are as follows:

3.1 SPORTS INTANGIBLE ASSETS

Sports intangible assets includes mainly player transfer rights ("transfers") and the costs incurred to acquire such rights. These rights are measured at acquisition cost and amortized from the moment they are acquired on a straight-line basis over the term of each player's contract. These intangible assets are initially recognized on the date the related acquisition agreement becomes effective.

Following initial recognition, these assets are carried at cost less accumulated amortization and any accumulated impairment.

The cost of the intermediation services in player acquisitions or renewals is recognized as an increase in the acquisition cost and amortized on a straight line basis over the life of the player's contract.

At the end of each half-year interim or full-year reporting period, these intangible assets are assessed for indications of impairment. If there is objective and clear evidence that the Group's sports intangible assets are impaired before the date of authorization for issue of the consolidated financial statements, the related impairment loss is recognized.

Player purchase options not exercised at the end of the reporting period are measured at acquisition cost, given the difficulties inherent in estimating the options' fair value, as there are no active market or comparable transactions for these assets.

In general, players are derecognized at the date of disposal, transfer, cancellation of the contract, or expiry of the contractual rights over the players. Even though contact may have been initiated with other clubs, agents, or the players themselves, for the purpose of negotiating their departure from the Club, and given the difficulties and uncertainties that arise before signing agreements, in general, the related gain or cost is not recognized until either the sale or transfer contract has been signed, or until the player's contract expires, since up to that moment there is no real transfer of rights and risks incidental to ownership of the contractual rights over the Club's players. However, if at the end of the period the Group considers that certain players meet the requirements for the related sports intangible assets to be classified as non-current assets held for sale (Note 3.5), the player is reclassified to this item and measured in accordance with the policy explained in the related note.

3.2 OTHER NON-SPORTS INTANGIBLE ASSETS

Other intangible assets are initially recognized at acquisition cost. The cost of intangible assets acquired in a business combination is their fair value at the date of acquisition. Following initial recognition, these intangible assets are carried at cost less any accumulated amortization and accumulated impairment losses.

This type of intangible asset is recognized if, and only if, it is probable that it will generate future benefits for the Group, its cost can be measured reliably and it is identifiable.

Intangible assets are amortized on a systematic basis in accordance with their estimated useful life and residual value. Amortization methods and periods are reviewed at the end of each reporting period, and adjusted prospectively where applicable. Intangible assets are tested for impairment at least at each financial period end. If any such indication exists, the company estimates the recoverable amount and recognizes the related impairment.

- **Concessions**

This item includes the following concessions:

a) Operating concession

This includes expenditure made to obtain the concession for certain of the Group's activities. These arrangements are amortized on a straight-line basis over the concession term of seven years. The Club's concession assets are fully amortized.

b Operator's license for a TV channel

This line item includes the grant of an operator's license for free-to-air broadcasting via TDT through an HD TV channel.

The license was granted to the Club by the Ministry for Industry via Ministerial Order of November 19, 2015, following a public tender held in accordance with the tender terms approved by the Council of Ministers on April 17, 2015. The amount recognized is the present value of the fees payable for use of the concession over its 15-year term, which is also its amortization period.

c) Concession to build and operate two car parks

In September 2023, the Group was awarded an administrative concession to build and operate two underground car parks located on both sides of the Santiago Bernabéu Stadium. The concession term is 40 years.

The Group classifies the concession arrangement as an intangible asset since the consideration received entails the right to collect rates based on the level of usage of the public service. The Group assumes the demand risk.

Construction of the infrastructure will be carried out by third parties. Therefore, the consideration received is accounted for at the fair value of the infrastructure received, which is equal to the cost plus the construction margin. During the construction period, the liability assumed with third parties is recognized as an advance of an intangible asset.

Also included under this item is the present value of the annual fee payable to the Town Council over the term of the arrangement.

- **Patents, licenses, trademarks, and similar rights**

This items reflects the amounts paid to register the Club's trademark. This asset is amortized on a straight-line basis over a period of 10 years.

- **Computer software and IT platforms**

These assets are amortized on a straight-line basis over periods ranging from three to four years. Software maintenance costs are recognized as an expense when incurred.

- **Other non-sports intangible assets**

This item includes:

a) Merchandising rights

Merchandising rights includes the value of rights repurchased by the Club on June 26, 1998, for €80,070 thousand, for merchandising, rights to use the sporting facilities, and adjacent bars and restaurants, audiovisual broadcasting rights to matches in European competitions, and static and dynamic in-game advertising and sponsorship of the football and basketball teams. These rights were amortized on a straight-line basis over periods ranging from four to 21 years, which ended in previous years, and were fully amortized as at June 30, 2024 and 2023.

These rights also include other management and exploitation rights repurchased by the Club in 2002/03 over several boxes located in the Santiago Bernabéu Stadium from Palcos Blancos, S.L. for €9,423 thousand. These rights were fully amortized as at June 30, 2024 and 2023.

Finally, this item includes the merchandising, image, website and distribution rights repurchased by the Club from the former owners of the discontinued Real Madrid Gestión de Derechos, S.L. subsidiary for €29,610 thousand. These rights were fully amortized at June 30, 2024 and 2023.

b) Exploitation rights to stadium boxes acquired in business combinations

This item includes the rights acquired in 2002/03 arising from the business combination carried out by the Club that year with Inversiones Incas 2000, S.L. and Real Madrid Eventos Deportivos, S.L. These two companies operated a number of boxes in the Santiago Bernabéu Stadium that were acquired by the Club that year for €955 thousand and €4,029 thousand, respectively. These rights were fully amortized as at June 30, 2024 and 2023.

c) Other rights

This includes the recovery by the Group of €16,164 thousand of rights to use seats for the season in the stadium included in the collective bargaining agreement in favor of employees. These rights were recovered in the first half of 2022/23 and will be amortized over a period of 25 years, i.e. the remaining years of useful life of the rights at the time of recovery.

3.3 PROPERTY, PLANT AND EQUIPMENT

Property, plant, and equipment are measured initially at cost, determined as the purchase price or production cost, including all costs and expenses related directly to the assets acquired until they are in operating condition. Cost also includes the revaluations made in accordance with legislation (Note 2.6).

After initial recognition, property, plant and equipment are carried at cost less accumulated depreciation and accumulated impairment losses, if any.

Borrowing costs arising from external financing to construct property, plant and equipment accrued until assets that required more than one year to be brought into working condition are ready to enter service are included in the purchase price or production cost of the asset.

Expenses for repairs that do not extend the useful life of the assets, as well as maintenance expenses, are taken to the income statement in the year incurred. Costs incurred to enlarge or improve items of property, plant and equipment which increase capacity or productivity or extend the useful life of the asset are capitalized as an increase in the value of the asset.

When available for use, property, plant and equipment are depreciated on a straight-line basis over their estimated useful life.

The years of estimated useful life of property, plant and equipment are as follows:

	YEARS OF USEFUL LIFE
Sports stadiums and pavilions	50
Other installations, equipment and furniture	5 - 25
Other property, plant and equipment	5 - 10

The Group reviews the assets' residual value, useful lives and depreciation methods at the end of each reporting year or period and adjusts them prospectively where applicable.

Items of property, plant and equipment are derecognized on disposal or when no future economic benefits are expected from them. The gain or loss on derecognition of an item of property, plant or equipment (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognized in the consolidated income statement for the year or period when the asset is derecognized.

3.4 INVESTMENT PROPERTIES

Investment property include assets held to earn rentals or for capital appreciation, as well as assets that are not used in operations and do not form part of the Group's ordinary course of business. The Santiago Bernabéu Stadium facilities leased to third parties are classified as investment properties.

The criteria set out for measuring and depreciating property, plant, and equipment are applied to investment properties.

3.5 NON-CURRENT ASSETS HELD FOR SALE

The Group classifies a non-current asset as held for sale if its carrying amount will be recovered principally through a sale transaction rather than through continuing use and provided that the following requirements are met:

- the asset is available for immediate sale in its present condition subject only to terms that are usual and customary for sales of such assets;
- an active program to locate a buyer has been initiated; and
- the sale is highly probable within a year from the date of classification as a non-current asset held for sale.

Non-current assets held for sale are measured at the lower of their carrying amount and fair value less costs to sell. These assets are not depreciated and, where necessary, the corresponding impairment is recognized so that the carrying amount does not exceed the fair value less costs to sell.

When an asset no longer meets the conditions for classification as held for sale, it is reclassified according to its nature and measured at the lower of the carrying amount before it was classified as held for sale, adjusted for any depreciation, amortization or impairment that would have been recognized had the asset not been classified as held for sale, and the recoverable amount at the reclassification date. Any difference is recognized in the income statement according to its nature.

These measurement provisions do not apply to deferred tax assets, assets arising from employee benefits and financial assets not related to equity investments in group companies, jointly controlled companies and associates included in the category of assets non-current assets held for sale, which are covered by specific standards.

Any related liabilities that may be canceled when the asset is sold are classified under "Liabilities associated with non-current assets held for sale".

3.6 IMPAIRMENT OF NON-FINANCIAL ASSETS

The Group assesses, at least at the end of each financial year or period, whether there is an indication that a non-current asset or, where applicable, a cash-generating unit, may be impaired. If any such indication exists, the Club estimates the asset's recoverable amount and recognizes an impairment.

Impairment and any reversals thereof are recognized in the income statement. Impairment losses are reversed only if the circumstances that gave rise to the impairment cease to exist. Impairment is only reversed up to the limit of the carrying amount of the asset that would have been determined had the impairment loss not been recognized.

To determine whether there are indications of impairment, the Group carries out the following analysis:

a) **Sports intangible assets / Sports property, plant and equipment**

For sports intangible assets, the Group considers that, due to the complexity of negotiations to determine market value upon acquisition of the sports intangible asset, the lack of an active and transparent market, the difficulties identifying comparable transactions and the significant changes in market value that can occur from one day to the next as a function of player performance and/or injuries, the differing economic circumstances of the selling and buying clubs, and the stance of players/agents, among others, in general it is not possible to determine the fair value of each of these assets objectively and reasonably until their sale. Nevertheless, the Club performs a detailed (individual and collective) analysis of the value of players' potential based on certain sports and financial parameters to identify whether there are any indications that a sports intangible asset may be impaired. If any clear indication or object evidence of impairment exists, the Club's management estimates the asset's recoverable amount based on the best information available at the date of authorization for issue of the consolidated financial statements and recognizes an impairment loss.

Sports property, plant, and equipment (e.g., sports stadiums and pavilions) present the same challenges to determine the market value, as there is no active and transparent market in which comparable transactions can be identified. To assess whether these assets may be impaired, the Club analyzes whether the future cash flows are sufficient to cover the carrying amounts of the assets to the extent necessary to cover the related depreciation charges and other operating expenses.

b) **Other intangible assets, other property, plant and equipment and investment property**

The recoverable amount is the higher of fair value less costs to sell and value in use. The asset is considered impaired when its carrying amount exceeds its recoverable amount. The value in use is the present value of the expected future cash flows, discounted using a market risk-free rate and adjusted for any risks specific to the asset. For those assets that do not generate cash inflows that are largely independent of those from other assets or groups of assets, the recoverable amount is determined for the cash-generating unit to which the asset belongs.

In addition, the Group recognizes impairment on assets classified as non-current assets held for sale (Notes 2.4, 3.1 and 3.5).

3.7 LEASES

Arrangements are classified as finance leases when the economic conditions of the lease indicate that substantially all the risks and rewards incidental to ownership of the asset are transferred. All other lease arrangements are classified as operating leases.

- **Group as lessee**
  Operating lease payments are recognized as expenses in the income statement when accrued.

- **Group as lessor**
  Rental income from operating leases is recognized in the income statement when accrued.

3.8 FINANCIAL ASSETS

a) Classification, recognition and initial measurement

The Group classifies all its financial assets, at initial recognition, into one of the categories listed below, which determines how the asset will be measured initially and subsequently:

- Financial assets at fair value through profit or loss
- Financial assets at amortized cost
- Financial assets at fair value through equity
- Financial assets at cost

Given the Group's activity, it only has financial assets at amortized cost and financial assets at cost.

- **Financial assets at amortized cost**

The Group classifies a financial asset into this category, even if it is admitted to trading on an exchange, when the financial asset is held within a business model whose objective is to collect contractual cash flows.

In general, this category includes receivables from trade transactions and receivables from non-trade transactions.

Financial assets classified in this category are measured initially at fair value. In the absence of evidence to the contrary, this is presumed to be the transaction price, which is equivalent to the fair value of the consideration given plus directly attributable transaction costs. These are costs inherent in the transaction, which are capitalized.

Nonetheless, trade receivables falling due within one year for which there is no contractual interest rate and loans to personnel, dividends receivable and receivables on called-up equity instruments expected to be collected in the short term are measured at their nominal amount, provided that the effect of not discounting the cash flows is not material.

Security deposits provided on operating leases are measured at the amount given, which does not differ significantly from fair value.

They are measured subsequently at amortized cost. Accrued interest is recognized in profit or loss as finance income using the effective interest rate method.

Receivables falling due within one year, as explained previously, are measured both initially and subsequently at their nominal amount unless they are credit-impaired.

In general, when the contractual cash flows of a financial asset at amortized cost are modified as a result of financial difficulties of the issuer, the Group tests the asset for impairment.

These amounts are classified as current (less than a year) or non-current (more than a year) depending on the period of settlement.

- **Financial assets at cost**

The Group includes, in any event, the following assets in this category:

- Equity investments in group companies, jointly controlled entities and associates (in the separate financial statements).
- Other equity investments whose fair value cannot be determined by reference to a quoted price in an active market for an identical instrument or cannot be estimated reliably, and derivatives in which the underlyings are these investments.
- Contributions made under unincorporated joint venture or similar agreements.
- Any other financial asset classified initially in the portfolio of financial assets at fair value through profit or loss when it is not possible to obtain a reliable estimate of fair value.

The investments included in this category are initially measured at cost, which is equivalent to the fair value of the consideration delivered plus directly attributable transaction costs. These are costs inherent in the transaction, which are capitalized.

The investment is also subsequently measured at cost, less any accumulated impairment.

Contributions made under unincorporated joint venture agreements are measured at cost, increased or decreased by the share of profits or losses, respectively, that correspond to the Company as non-managing venturer, less impairment losses, if any.

b) Derecognition

Financial assets are derecognized when the contractual rights to the cash flows from the financial asset expire or have been transferred, provided that substantially all the risks and rewards of ownership have been transferred.

If the Group has neither transferred nor retained substantially all the risks and rewards, it derecognizes the financial asset when it has not retained control over that asset. If the Group retains control over the asset, it continues to recognize the asset at the amount of the exposure to variability in the value of the transferred asset; that is, to the extent of its continuing involvement in the financial asset. The associated liability is also recognized.

The gain or loss on derecognition of the financial asset is determined as the difference between the consideration received net of attributable transaction costs, including any new asset obtained less any liability assumed, and the carrying amount of the financial asset, plus any accumulated amount recognized directly in equity. The gain or loss is recognized in profit or loss for the reporting period in which it arises.

c) Impairment of financial assets

The Group adjusts the carrying amount of financial assets with a charge to profit or loss when there is objective evidence that the asset is impaired.

- **Financial assets at amortized cost**

At least at the end of each reporting period, the Group assesses whether there is objective evidence that a financial asset, or group of financial assets with similar risk characteristics assessed on a collective basis, is impaired as a result of one or more events that occurred after initial recognition that result in a reduction or delay in the estimated future cash flows due to debtor insolvency.

Where such evidence exists, the impairment loss is calculated as the difference between the carrying amount of the asset and the present value of the future cash flows, including any cash flows from enforcement of collateral and personal guarantees, expected to be generated by the asset discounted at the effective interest rate calculated at initial recognition. For floating-rate financial assets, the effective interest rate at the reporting date, in accordance with the contractual terms, is used. The Group uses formula-based approaches or statistical methods to determine impairment losses in a group of financial assets.

Impairment losses and reversals thereof where the amount of the impairment loss decreases due to an event occurring after recognition are recognized as an expense or income, respectively, in profit or loss. The reversal is limited to the carrying amount of the asset that would have been recognized at the reversal date had no impairment loss been recognized.

- **Financial assets at cost**

In this case, the impairment loss is measured as the difference between the carrying amount and the recoverable amount. The recoverable amount is the higher of the fair value less costs to sell and the present value of future cash flows from the investment, estimated as either those from dividends expected to be received from the investee and the disposal or derecognition of the investment, or from the share in the cash flows expected to be generated by the investee in the ordinary course of business and from disposal or derecognition. When estimating impairment of these types of assets, the investee's equity is taken into consideration, corrected for any unrealized gains existing at the measurement date, net of the related tax effect, unless better evidence of the recoverable amount of the investment in equity instruments is available.

Impairment losses are recognized as an expense in profit or loss by directly reducing the carrying amount of the equity instrument. Where applicable, reversals of impairment are recognized as income in profit or loss. The loss can only be reversed up to the limit of the carrying amount of the investment that would have been disclosed at the reversal date had the impairment loss not been recognized.

d) Interest and dividends from financial assets

Interest and dividends accrued on financial assets after acquisition are recognized in profit or loss. Interest is accounted for using the effective interest rate method, while dividends are recognized when the right to receive payment is established.

If distributed dividends are clearly derived from profits generated prior to the acquisition date because amounts have been distributed which are higher than the profits generated by the investee since acquisition, the difference is accounted for as a reduction in the carrying amount of the investment and not recognized as income. Judgment about whether gains have been generated by the investee is made based exclusively on profits recognized in the separate financial statements from the acquisition date, unless the dividend charged to those profits clearly represents a recovery of the investment for the entity receiving the dividend.

3.9 FINANCIAL LIABILITIES

a) Classification, recognition and initial measurement

The Group classifies all its financial liabilities, at initial recognition, into one of the categories listed below, which determines how the liability will be measured initially and subsequently:

- Financial liabilities at amortized cost.

- Financial liabilities at fair value through profit or loss.

The Group only has financial liabilities at amortized cost.

- **Financial liabilities at amortized cost**

This category includes financial liabilities arising on the purchase of goods and services in the course of the Group's trade operations, and non-trade payables that are not derivatives.

Financial liabilities included in this category are initially measured at fair value. In the absence of evidence to the contrary, this is the transaction price, which is equivalent to the fair value of the consideration, adjusted for directly attributable transaction costs. These are costs inherent in the transaction, which are capitalized.

Nonetheless, trade payables falling due within one year for which there is no contractual interest rate and called-up equity holdings expected to be settled in the short term are measured at their nominal amount, provided that the effect of not discounting the cash flows is immaterial.

They are measured subsequently at amortized cost. Accrued interest is recognized in profit or loss as a finance cost using the effective interest rate method.

Nonetheless, payables falling due within one year measured at the nominal amount, in accordance with the preceding section, continue to be measured at that amount.

Contributions received under unincorporated joint venture agreements or similar are measured at cost, increased or decreased by the share of profits or losses, respectively, that correspond to the non-managing venturers.

b) Derecognition

The Group recognizes a previously recognized financial liability when the obligation is extinguished because the debtor has paid the creditor to discharge the liability (with cash or other goods or services) or the debtor is legally released from any responsibility for the liability.

Derecognition of a financial liability is accounted for as follows: the difference between the carrying amount of a financial liability (or part of that liability) extinguished and the consideration paid, including attributable transaction costs and any non-cash asset transferred or liability assumed, is recognized in profit or loss for the reporting period in which it arises.

3.10 FAIR VALUE

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Fair value is determined without any deduction for transaction costs that may be incurred on sale or other disposal. The amount an entity would receive or pay in a forced transaction, involuntary liquidation or distress sale is not considered fair value.

Fair value is estimated for a specific date and given that market conditions can vary over time, that value might not be valid for another date. In addition, in estimating fair value the Company takes into account the characteristics of the asset or liability if market participants would take those characteristics into account when pricing the asset or liability at the measurement date.

As a general rule, fair value is calculated by reference to a reliable market input. The fair value of financial assets and liabilities for which there is an active market is determined using valuation models and techniques. Those models and valuation techniques include referencing recent arm's length transactions between knowledgeable, willing parties, if available, and the fair value of substantially identical assets, discounted cash flow methodology and the models widely used to value options.

In all instances the valuation techniques used must be consistent with the methodologies widely accepted by and used in the market to set prices, using to the extent possible the methodology that has proven the most reliable estimator of prices. The calculations rely on observable market data and other factors market participants would take into account when pricing the asset, minimizing the use of subjective judgments or unobservable or unverifiable data.

The Group assesses the effectiveness of the valuation techniques it uses regularly using observable prices in recent transactions in the same asset class as is being measured and prices based on data or indices that are observable in the market that are available and applicable.

3.11 INVENTORIES

Inventories are measured at purchase price. The purchase price comprises the amount invoiced by the seller, after deducting any discounts, rebates or other similar items, plus any additional costs incurred to bring the goods to a saleable condition.

As the Group's inventories do not require a period of more than one year to be in a saleable condition, purchase price or production cost does not include borrowing costs.

The Group uses the weighted average cost method to allocate value to inventories.

When the net realizable value of inventories is lower than cost, the Club recognizes an impairment loss with an expense in the income statement.

3.12 CASH AND CASH EQUIVALENTS

Cash and cash equivalents include cash, current accounts, short-term deposits and purchases of assets under resale agreements which meet the following criteria:

- They are convertible to cash,
- They have a maturity of three months or less from the date of acquisition,
- There is no significant risk of changes in value, and
- They form part of the Group's usual cash management strategy.

For the purposes of the statement of cash flows, cash may also include occasional overdrafts when these form an integral part of the Group's cash management.

3.13 PROVISIONS

The Group recognizes provisions when it has a present obligation (legal, contractual, constructive or tacit) arising from past events that is known before the end of the financial year or reporting period, it is probable that an outflow of resources will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

In other situations where no present obligation exists yet or there is clear uncertainty with respect to the outcome of an event (e.g., claims, appeals), the Group and its legal or tax advisors assess the prospects of a future event that could result in a gain or loss for the Group. If the future occurrence of a particular event is highly probable, the resulting contingent asset or liability is estimated.

Provisions are measured at the present value of the best estimate of the amount required to settle the obligation or transfer it to a third party. Adjustments arising from the discounting of the provision are recognized as a finance expense when accrued. Provisions expiring within one year are not discounted where the financial effect is not material. Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate of the obligation at the date of authorization for issue of the consolidated financial statements.

3.14 LIABILITIES ARISING FROM LONG-TERM EMPLOYEE BENEFITS

Neither the Group employees to which its collective labor agreement is applicable nor management are entitled to any supplementary pension benefits.

3.15 INCOME TAX

Income tax expense (tax income) for the year is calculated as the sum of current tax expense (current tax income) resulting from applying the corresponding tax rate to taxable profit (tax loss) for the year, less deductions and other tax relief, taking into account changes during the year in recognized deferred tax assets and liabilities. The tax expense (tax income) is recognized in the income statement, except when it relates to transactions recognized directly in equity, in which case the related tax is likewise recognized in equity.

Deferred taxes are recognized for temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts. The tax base of an asset or liability is the amount attributed to it for tax purposes.

The tax effect of temporary differences is included in “Deferred tax assets” or “Deferred tax liabilities” on the balance sheet, as applicable.

Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities using the tax rates prevailing at the reporting date, including any other adjustments for taxes from prior years. Companies in the tax group distribute the tax charge so that the parent settles the tax assets and liabilities arising with subsidiaries from taxable profits or tax losses contributed by them to the tax group.

The Group recognizes deferred tax liabilities for all temporary differences, except where disallowed under prevailing tax legislation.

The Group recognizes deferred tax assets for all deductible temporary differences, the carry forward of unused tax credits and any unused tax losses. Deferred assets are recognized to the extent that it is probable that taxable profit will be available against which the deferred tax assets can be utilized, except where disallowed by prevailing tax legislation.

At the end of each reporting period, the Group reassesses recognized and previously unrecognized deferred tax assets. Based on this analysis, the Group then derecognizes previously recorded deferred tax assets when recovery is no longer probable, or recognizes a previously unrecorded deferred tax asset to the extent that it is probable that future taxable profit will enable its application.

Deferred tax assets and liabilities are measured using the tax rates expected to prevail upon their reversal, based on tax legislation approved, and in accordance with the manner in which the assets are reasonably expected to be recovered and liabilities settled.

Deferred tax assets and deferred tax liabilities are not discounted and are classified as non-current assets or non-current liabilities.

3.16 CURRENT VERSUS NON-CURRENT CLASSIFICATION

Assets and liabilities are presented in the balance sheet based on current/non-current classification. Accordingly, assets and liabilities are classified as current when they are associated with the Group’s normal operating cycle and it is expected that they will be sold, consumed, realized or settled within that cycle; they are expected to mature, or to be sold or realized within one year; they are held for trading; or are cash and cash equivalents whose use is not restricted for a period of over one year.

3.17 REVENUE AND EXPENSES

a) Recognition and measurement

In accordance with the accruals principle, revenue and expenses are recognized when the goods or services represented by them take place, regardless of when actual payment or collection occurs. Amounts received in a period related to income of the subsequent period are recognized under liabilities in the balance sheet as current or non-current accruals, as appropriate. Amounts paid in a period related to expenses of the subsequent period are recognized under assets in the balance sheet as current or non-current accruals, as appropriate.

The Group recognizes revenue following a five-step process:

- Identify the contract(s) with the customer, understood as an agreement between two or more parties that creates enforceable rights and obligations.

- Identify the performance obligation or obligations in the contract, i.e. the promise to transfer goods or provide services to the customer.

- Determine the transaction price, or the amount of consideration to which it expects to be entitled from the contract in exchange for transferring promised goods or services to a customer.

- Allocate the transaction price to the performance obligations on a relative stand-alone selling price basis of each distinct good or service promised in the contract or, where applicable, based on an estimate of the stand-alone selling price when it is not directly observable.

- Recognize revenue when (or as) the Group satisfies a performance obligation by transferring a promised good or service. A good or service is considered to be transferred when the customer obtains control, so the amount of revenue recognized is the amount allocated to the performance obligation satisfied.

- **Recognition**

The Group recognizes revenue from a contract when it transfers to the customer control of the promised goods or services (i.e., the performance obligation or obligations).

For each performance obligation identified, the Group determines at contract inception whether it satisfies the performance obligation over time or at a point in time.

Revenue from performance obligations satisfied over time is recognized in general on a straight-line basis over that period of time provided that the stage of completion or progress towards complete satisfaction of the contractual obligations cannot be measured.

For contractual obligations satisfied at a point in time, the contract revenue is recognized on satisfaction at that date.

Revenue is recognized when it is probable that the profit or economic benefits associated with the transaction will flow to the Group and the amount of revenue and costs incurred or to be incurred can be measured reliably.

The recognition criteria for the main revenue by type are explained in Note 15.2.

- **Measurement**

Revenue from the sale of goods and the rendering of services is measured at the monetary amount or, where applicable, the fair value of the consideration received or receivable. The consideration is the agreed price for the assets transferred to the customer less the amount of any trade discount, rebates or similar items granted by the Group.

b) Contract balances

- **Contract assets**

Unconditional right to consideration
When the Group has an unconditional right to consideration, irrespective of whether control of the assets has been transferred, it recognizes the right in the corresponding line items of trade receivables under current or non-current assets as appropriate in accordance with its maturity and bearing in mind the normal operating cycle. However, trade receivables that, while still within the normal operating cycle, fall due in over one year (long-term) are classified as “Trade and other receivables” under current assets.

Entitlement to consideration for the transfer of control
When the Group transfers control of a contract asset without having an unconditional right to receive revenue, the Group

recognizes a right to consideration for the transfer of control. That right to consideration for the transfer of control is derecognized when the Group has an unconditional right to that consideration. Contract assets are assessed for impairment the end of each reporting period in the same manner as receivables.

Contract assets are likewise presented within “Trade and other receivables”. They are classified as current or non-current depending on their maturity.

Costs incurred to obtain a contract
Costs incurred to obtain a contract are included under current or non-current accruals, as appropriate.

- **Contract liabilities**

Contractual obligations
If a customer pays consideration or has a right to an amount of consideration that is unconditional before the Group transfers a good or service to the customer, the Group recognizes a contract liability when the payment is made or is due.

These contract liabilities are presented within “Trade payables - Other payables - Advances from customers”, or current or non-current accruals on their maturity.

3.18 FOREIGN CURRENCY TRANSACTIONS

The Group’s functional and presentation currency is the euro.

Foreign currency transactions are translated into euros at the spot exchange rate prevailing at the date of the transaction.

Monetary assets and liabilities denominated in foreign currency are translated at the spot rate prevailing at the reporting date.

Exchange gains or losses arising on this process and on settlement of these assets and liabilities are recognized in the income statement for the financial year or reporting period in which they occur.

3.19 JOINT OPERATIONS

In 2017/18, the Group signed an unincorporated joint venture agreement related to management of its sponsorship revenue (Note 17.1.4), as regulated by articles 239 to 243 of the Spanish Commercial Code. The Group, acting as “managing venturer” recognizes any operating profit or loss related to management of its sponsorship income, calculated in accordance with the annual contribution of the “non-managing venturer.”

3.20 GOVERNMENT GRANTS

Monetary grants are measured at the fair value of the consideration awarded.

Grants are classified as non-refundable when the conditions attaching to them are met, at which time they are recognized directly in equity, net of the related tax effect.

Repayable grants are recognized as liabilities until they meet the criteria for classification as non-repayable. Until then, no income is recorded.

Grants awarded to finance specific expenses are recognized as income in the reporting period in which the financed expenses are incurred. Grants awarded to acquire property, plant and equipment or settle liabilities are recognized as income for the reporting period in proportion with the depreciation charges for those assets.

3.21 ENVIRONMENTAL ASSETS AND LIABILITIES

Expenses relating to decontamination and restoration work in contaminated areas, as well as the elimination of waste and other expenses incurred to comply with environmental protection legislation, are recognized in the year in which they are incurred, unless they correspond to purchases of assets incorporated in equity to be used over an extended period. In this case, they are recognized in the corresponding line of “Property, plant and equipment” and depreciated using the same criteria as described in Note 3.3 above.

At June 30, 2024, the Group had not incurred any such environmental expenditure or recognized any property, plant or equipment of this kind in the balance sheet.

3.22 RELATED PARTY TRANSACTIONS

Related party transactions are measured using the same criteria described above.

The Group considers members of the Club’s Board of Directors, key managers, and the Real Madrid Foundation as related parties.

4. SPORTS INTANGIBLE ASSETS AND NON-CURRENT ASSETS HELD FOR SALE

Reconciliation of the carrying amount of sports intangible assets at the beginning and end of the year:

2023/2024

€ THOUSAND	OPENING BALANCE	ADDITIONS AND ALLOWANCES	RETIREMENTS AND DISPOSALS	TRANSFERS FROM CURRENT (*)	TRANSFERS TO CURRENT (*)	CLOSING BALANCE
Men's football						
Cost	725,513	238,795	(53,453)	11,192	-	922,047
Accumulated amortization	(400,760)	(117,258)	53,199	-	-	(464,819)
Impairment	-	(8,249)	-	-	-	(8,249)
Net carrying amount	**324,753**	**113,288**	**(254)**	**11,192**	**-**	**448,979**
Women's football						
Cost	410	20	(197)	-	-	233
Accumulated amortization	(295)	(109)	197	-	-	(207)
Impairment	-	-	-	-	-	-
Net carrying amount football	**115**	**(89)**	**-**	**-**	**-**	**26**
Basketball						
Cost	4,324	30	(2,760)	-	-	1,594
Accumulated amortization	(4,213)	(60)	2,733	-	-	(1,540)
Impairment	-	-	-	-	-	-
Net carrying amount	**111**	**(30)**	**(27)**	**-**	**-**	**54**
TOTAL NET CARRYING AMOUNT	**324,979**	**113,169**	**(281)**	**11,192**	**-**	**449,059**

* Transfers to/from current = Transfers to/from non-current assets held for sale.

2022/2023

€ THOUSAND	OPENING BALANCE	ADDITIONS AND ALLOWANCES	RETIREMENTS AND DISPOSALS	TRANSFERS FROM CURRENT (*)	TRANSFERS TO CURRENT (*)	CLOSING BALANCE
Men's football						
Cost	857,262	200,643	(340,623)	36,513	(28,282)	725,513
Accumulated amortization	(564,232)	(138,744)	296,425	-	5,791	(400,760)
Impairment	-	(11,299)	-	-	11,299	-
Net carrying amount	**293,030**	**50,600**	**(44,198)**	**36,513**	**(11,192)**	**324,753**
Women's football						
Cost	314	116	(20)	-	-	410
Accumulated amortization	(213)	(102)	20	-	-	(295)
Impairment	-	-	-	-	-	-
Net carrying amount	**101**	**14**	**-**	**-**	**-**	**115**
Basketball						
Cost	5,264	60	(1,000)	-	-	4,324
Accumulated amortization	(5,129)	(79)	995	-	-	(4,213)
Impairment	-	-	-	-	-	-
Net carrying amount	**135**	**(19)**	**(5)**	**-**	**-**	**111**
TOTAL NET CARRYING AMOUNT	**293,266**	**50,595**	**(44,203)**	**36,513**	**(11,192)**	**324,979**

* Transfers to/from current = Transfers to/from non-current assets held for sale.

4.1 DESCRIPTION OF THE MAIN MOVEMENTS IN THE PERIOD

Additions of sports intangible assets relate to investments in new players for the professional football and basketball teams and include the amount of transfers and other acquisition costs incurred in the related transactions.

The acquisition cost recorded in the period for intermediation or agency services, including the tax expense assumed for taxation on payments, amounted to €48,110 thousand (2022/2023: €49,235 thousand).

Transfers relate to the reclassifications explained in Note 4.2 Non-current assets held for sale.

As explained in Note 3.6, the Group recognizes impairment when there are clear indications and evidence of impairment of its sports intangible assets up to the date of authorization of the financial statements. Impairment losses are reversed only if the circumstances that gave rise to the impairment cease to exist.

In this respect, the Group, where required and based on the best information available at the date of authorization for issue of the financial statements, recognized impairment losses with a write down to realizable value for a total of €8,249 thousand (2022/2023: €11,299 thousand).

4.2 NON-CURRENT ASSETS HELD FOR SALE

As explained in Note 3.5, the Group classifies a non-current asset as held for sale if its carrying amount will be recovered principally through a sale transaction rather than through continuing use and provided that the following requirements are met: the asset is available for immediate sale, an active program to locate a buyer has been initiated, and the sale is highly probable within a year. Non-current assets held for sale are measured at the lower of their carrying amount and fair value less costs to sell.

At the end of the previous reporting period, the Group reclassified certain sports intangible assets that met these requirements to non-current assets held for sale. The net amount reclassified was €11,192 thousand, which related to the assets' fair value less costs to sell.

The Club reclassified assets temporarily derecognized during the present season for being loaned to other clubs to sports intangible assets since they no longer met the requirements for consideration as non-current assets held for sale at their carrying amount before classification as non-current assets; i.e., €11,192 thousand (June 30, 2023: €16,523 thousand), and recognized a provision for impairment of €5,596 thousand (June 30, 2023: €5,509 thousand).

For assets that were definitively derecognized, the Group utilized the impairment provision recognized for the purpose in an amount of €5,703 thousand (2022/2023: €41,217 thousand).

Summary of movements in the period:

2023/2024

€ THOUSAND	TRANSFERS TO NON-CURRENT ASSETS	UTILIZATION OF ALLOWANCE FOR IMPAIRMENT	REVERSAL OF IMPAIRMENT
Players added to the team	-	-	-
Players loaned out to other clubs	11,192	5,596	-
Players derecognized	-	5,703	
Total	**11,192**	**11,299**	**-**

2022/2023

€ THOUSAND	TRANSFERS TO NON-CURRENT ASSETS	UTILIZATION OF ALLOWANCE FOR IMPAIRMENT	REVERSAL OF IMPAIRMENT
Players added to the team	19,990	-	14,148
Players loaned out to other clubs	16,523	5,509	-
Players derecognized	-	41,217	-
Total	**36,513**	**46,726**	**14,148**

4.3 OTHER INFORMATION

For the year ended June 30, 2024, the Group obtained revenue of approximately €27,876 thousand (June 30, 2023: €99,837 thousand) on disposals from the transfer of rights over several players to other clubs. The net gain from all disposals after deducting the carrying amount was €20,957 thousand (June 30, 2023: €55,634 thousand) (Note 17.5).

Fully amortized player acquisition rights at June 30, 2024 amounted to €50,914 thousand (June 30, 2023: €114,301 thousand).

At June 30, 2024, there were no firm investment or firm player transfer commitments (June 30, 2023: €145,000 thousand and €0, respectively).

There were no player purchase options measured at either June 30, 2024 or June 30, 2023.

The average duration of the contracts of players signed to the National Professional Football League (LNFP for its initials in Spanish) is five years.

The Group's policy is to arrange the insurance policies necessary to cover any risk to which members of its professional football and basketball squads may be exposed.

5. OTHER NON-SPORTS INTANGIBLE ASSETS

Reconciliation of the carrying amount at the beginning and end of the year:

2023/2024

€ THOUSAND	OPENING BALANCE	ADDITIONS AND ALLOWANCES	RETIREMENTS AND DISPOSALS	TRANSFERS	CLOSING BALANCE
Cost:					
Concessions	2,934	3,996	-	-	6,930
Patents, licenses, trademarks, and similar rights	1,308	211	-	-	1,519
Computer software	21,876	28	-	2,147	24,051
Other intangible assets	141,211	392	-	1,013	142,616
Advances	1,210	16,028	-	(2,147)	15,091
Total cost	**168,539**	**20,655**	**-**	**1,013**	**190,207**
Accumulated amortization:					
Concessions	(2,577)	(97)	-	-	(2,674)
Patents, licenses, trademarks, and similar rights	(811)	(113)	-	-	(924)
Computer software	(12,678)	(1,705)	-	-	(14,383)
Other intangible assets	(125,692)	(647)	-	-	(126,339)
Total accumulated amortization	**(141,758)**	**(2,562)**	**-**	**-**	**(144,320)**
Impairment:					
Computer software	**(45)**	**-**	**-**	**-**	**(45)**
NET CARRYING AMOUNT	**26,736**	**18,093**	**-**	**1,013**	**45,842**

2022/2023

€ THOUSAND	OPENING BALANCE	ADDITIONS AND ALLOWANCES	RETIREMENTS AND DISPOSALS	TRANSFERS	CLOSING BALANCE
Cost:					
Concessions	2,934	-	-	-	2,934
Patents, licenses, trademarks, and similar rights	1,190	118	-	-	1,308
Computer software	13,027	-	-	8,849	21,876
Other intangible assets	125,047	16,164	-	-	141,211
Advances	5,081	4,978	-	(8,849)	1,210
Total cost	**147,279**	**21,260**	**-**	**-**	**168,539**
Accumulated amortization:					
Concessions	(2,530)	(47)	-	-	(2,577)
Patents, licenses, trademarks, and similar rights	(704)	(107)	-	-	(811)
Computer software	(12,107)	(571)	-	-	(12,678)
Other intangible assets	(125,045)	(647)	-	-	(125,692)
Total accumulated amortization	**(140,386)**	**(1,372)**	**-**	**-**	**(141,758)**
Impairment:					
Computer software	**(45)**	**-**	**-**	**-**	**(45)**
NET CARRYING AMOUNT	**6,848**	**19,888**	**-**	**-**	**26,736**

Note 3.2 “Other non-sports intangible assets” describes the most significant operating rights held by the Group at June 30, 2024.

The increase during the current period to “Other intangible assets” was due primarily to the award in September 2023 of the administrative concession to subsidiary Real Madrid Estadio, S.L.U. to build and operate two underground car parks located on both sides of the Santiago Bernabéu Stadium. Subsidiary Aparcamientos del Santiago Bernabéu, S.L. will operate the concession, over a term of 40 years.

“Concessions” includes the present value of the annual fee of €150,000, with year-on-year increases of 1%, payable to the Town Council over the concession term.

“Advances” includes capitalized costs related to construction of the car parks which, as explained in Note 3.2, are recognized as intangible assets. Also included are developments in progress related to the members and fans service platform and software for internal use by Group companies.

5.1 OTHER INFORMATION

The following table presents a summary of the cost of fully amortized non-sports intangible assets:

€ THOUSAND	6/30/2024	6/30/2023
Concessions	2,103	2,103
Patents, licenses, trademarks, and similar rights	351	221
Computer software	12,973	11,781
Other intangible assets	125,047	125,047
	140,474	**139,152**

6. PROPERTY, PLANT AND EQUIPMENT

Reconciliation of the carrying amount of property, plant and equipment at the beginning and end of the year:

2023/2024

€ THOUSAND	OPENING BALANCE	ADDITIONS AND ALLOWANCES	RETIREMENTS AND DISPOSALS	TRANSFERS	CLOSING BALANCE
Cost:					
Sports stadiums and pavilions	325,325	-	-	638	325,963
Other land and buildings	70,380	9	-	-	70,389
Technical installations and other items	122,326	8,010	(105)	502	130,733
Property, plant and equipment under construction and advances	891,701	267,515	-	(2,153)	1,157,063
Total cost	**1,409,732**	**275,534**	**(105)**	**(1,013)**	**1,684,148**
Accumulated depreciation:					
Sports stadiums and pavilions	(128,684)	(6,983)	-	-	(135,667)
Other buildings	(16,231)	(1,954)	-	-	(18,185)
Technical installations and other items	(98,893)	(5,485)	83	-	(104,295)
Total accumulated depreciation	**(243,808)**	**(14,422)**	**83**	**-**	**(258,147)**
Impairment					
Buildings and other property, plant, and equipment	**(667)**	**-**	**-**	**-**	**(667)**
NET CARRYING AMOUNT	**1,165,257**	**261,112**	**(22)**	**(1,013)**	**1,425,334**

2022/2023

€ THOUSAND	OPENING BALANCE	ADDITIONS AND ALLOWANCES	RETIREMENTS AND DISPOSALS	TRANSFERS	CLOSING BALANCE
Cost:					
Sports stadiums and pavilions	324,518	616	-	191	325,325
Other land and buildings	69,350	254	-	776	70,380
Technical installations and other items	120,380	1,264	-	682	122,326
Property, plant and equipment under construction and advances	538,361	354,989	-	(1,649)	891,701
Total cost	**1,052,609**	**357,123**	**-**	**-**	**1,409,732**
Accumulated depreciation:					
Sports stadiums and pavilions	(121,777)	(6,907)	-	-	(128,684)
Other buildings	(14,093)	(2,138)	-	-	(16,231)
Technical installations and other items	(93,675)	(5,218)	-	-	(98,893)
Total accumulated depreciation	**(229,545)**	**(14,263)**	**-**	**-**	**(243,808)**
Impairment					
Buildings and other property, plant, and equipment	**(667)**	**-**	**-**	**-**	**(667)**
NET CARRYING AMOUNT	**822,397**	**342,860**	**-**	**-**	**1,165,257**

6.1 DESCRIPTION OF THE MAIN MOVEMENTS IN THE PERIOD

Aside from minor investments in the Sports City, additions in the year related entirely to work on the Santiago Bernabéu Stadium remodeling project, the major portion of which is nearing completion.

On May 8, 2019, the Board of Directors awarded the remodeling contract to FCC Construcción, with a term of 39 months.

The remodeling work is being carried out without affecting the matches scheduled or the stadium's normal activities

The new stadium presents an immersive and avant-garde image thanks to a skin of steel bands and variable lines. The project includes a fixed and retractable roof over the playing field protecting all seats.

The demolition of the shopping center and construction of two new towers on Paseo de la Castellana make the stadium safer and make access and evacuation easier. Spectator traffic will be safer and smoother, with new ramps, escalators, elevators and more entrance doors. This reform includes removal of architectural barriers to make room for nearly 1,000 new seats for people with various abilities.

Work is also being carried out to enhance the entire urban surrounding, with a large square on the Castellana of more than 20,000 square meters and another on the corner of Padre Damián of 5,500 square meters. Calle Rafael Salgado Street will be turned into a pedestrian street and the entire surroundings will be improved with a project covering over 66,000 square meters.

All the spaces and galleries inside the stadium will be transformed so spectators can enjoy a new entertainment and service offering. The current museum near the La Castellana will be much bigger and be converted into a new interactive museum equipped with the latest virtual reality technologies. The experience of the Bernabéu Tour will be extended with the creation of a panoramic tour around the entire stadium and a new entertainment and food service offering, making it one of the main attractions for tourists visiting Madrid. It is a new stadium, with new, cutting-edge stores and a broader offering and type of restaurants and gastronomic experiences.

Technology is pioneering and an essential feature of this major reform, with a spectacular video scoreboard that will be one of the most emblematic features of the new Santiago Bernabéu Stadium. It

is a large digital stadium that turns into a large technological platform for interacting with fans, leading a real digital transformation.

The original project was subsequently expanded to include a large underground greenhouse, which was not included because of its complexity, but a technological solution was subsequently found. This greenhouse allows for the automatic removal of the pitch and its preservation in optimal conditions and in perfect shape to be used when a football match is to be held. In this way, the number of events that can be held without impacting the grass will be maximized.

The new Santiago Bernabéu Stadium is one of Real Madrid's biggest projects for the future, aiming to become a benchmark for the 21st century and an avant-garde and universal icon, and marks a major upgrade for the Club, not to mention its surroundings. It will be a modern, cutting-edge stadium, with maximum comfort and safety, using latest generation technology making it a venue where fans can feel one-of-a-kind sensations.

The remodeling will also provide a new and important source of revenue for the Club. Forecasts point to a sharp increase in revenue generation by the stadium on both match days and from the stadium's daily commercial operation. Higher net cash inflows will allow the Club to pay off the remodeling investment, while it continues to grow and remain competitive in an increasingly tough international football environment.

To fund the remodeling project, on April 12, 2019, the Real Madrid Board of Directors, under authorization by the Extraordinary General Assembly of Delegated Members held on September 23, 2018, arranged financing of €575 million for a term of 30 years and a fixed rate of 2.5%. The financing was structured through a loan with three drawdowns, one each in July 2019, July 2020 and July 2021, in line with scheduled payments for the works. The facility also includes a three-year grace period for repayment of principal. Therefore, Real Madrid will pay a fixed annual amount for these €575 million of approximately €29.5 million as from July 30, 2023, until maturity on July 30, 2049.

Subsequently, pursuant to the authorization received from the Extraordinary General Assembly of Delegated Members held on November 20, 2021, Real Madrid signed an extension of the financing of the works not originally included in the remodeling project on December 7, 2021, via the extension of the €225 million loan facility to 27 years, carrying a fixed interest rate of 1.53%. The amount was drawn down on May 31, 2022. The facility also includes a grace period for repayment of principal, whereby Real Madrid will not begin to repay the financing until July 30, 2024. Therefore, for these €225 million, Real Madrid will pay a fixed annual amount of approximately €10.5 million as from July 30, 2024, until maturity on July 30, 2049.

In addition, pursuant to the authorization received from the Extraordinary General Assembly of Delegated Members held on November 9, 2023, on November 15, 2023, Real Madrid signed an extension of the financing of the works, for a loan amount of €370 million and repayment over a 30-year period, with a 3-year grace period on repayment of principal. Real Madrid will not begin repaying the loan until November 15, 2027. From then, Real Madrid will pay a fixed annual amount of €26 million for these €370 million until maturity on November 15, 2053.

As a result, loans taken out to finance the stadium's remodeling total €1,170 million, with final maturity in November 2053 and carrying an average fixed interest rate of 3.2%. As at June 30, 2024, the loans had been drawn down in full.

Real Madrid closed these deals without having to provide any mortgage guarantees (only pledges on certain stadium revenue) or accepting any restrictions on the Group s management or debt (only compliance with a certain coverage ratio between the pledged stadium revenue and debt service, which it met), so it can carry out its normal activity with no impact from payment of the works.

After the addition of works not included originally in the project, the Group continued with execution. It expects the crucial part of the project to be completed by the end of 2024.

6.2 URBAN DEVELOPMENT UNITS

The Club acquired urban development units to existing plots in the Valdebebas area. These units were registered with the respective property registers (as an annotation in the original property inscription).

These development units have, for all intents and purposes, the same consideration as the land contributed, since the units are ultimately what generate the right to obtain a plot adjudication once the Reparcelling Project is prepared. In fact, both the purchase deeds and the registry inscriptions establish that these units will be applied to the resulting plot earmarked for private sports usage in the amount of 16,401.6 development units and approximately 1,200,000m2 of land under the Reparcelling Project.

Real Madrid Club de Fútbol presented these development rights to the "Parque de Valdebebas" Compensation Board, and on November 25, 2009, definite approval was received from the Madrid City Council through administrative channels for the Reparcelling Project, by virtue of which Real Madrid won the replacement plot. Real Madrid Club de Fútbol was duly registered as the owner of said plot in Madrid Property Registries 11 and 33.

Following the definitive approval of the Reparcelling Project, the Madrid taxation authorities issued payment notices to the former owners for capital gains tax arising from the increase in the value of the related urban land. These payment notices were appealed, since both the former owners and the Club disagree, given that the Club assumed the obligation to pay or put up surety for this tax in the purchase deeds. Prior to the appeals process, the Club provided the required guarantees for the amounts claimed, which total approximately €2.3 million. The majority of the rulings in the appeals process have been in favor of the Club. It will be able to release the bulk of the amount guaranteed once the rulings are final and the guarantee is released.

6.3 OPERATING LEASES

- **Group as lessee**

As at June 30, 2024 and 2023, the Group had entered into operating leases on certain items of property, plant, and equipment, primarily buildings, technical installations and computer hardware. The lease terms range from one to five years, depending on the leased asset. In most cases, the leases are updated in accordance with the annual CPI. The Club is in no way encumbered by virtue of these leases.

Payments in the year ended June 30, 2024 on these leases amounted to €3,337 thousand (June 30, 2023: €2,725 thousand) (Note 17.4).

Future minimum rentals payable under operating leases are as follows:

€ THOUSAND	6/30/2024	6/30/2023
Within one year	2,648	2,029
After one year but not more than five years	1,221	778
More than five years		
	3,869	**2,807**

6.4 OTHER INFORMATION

As at June 30, 2024, fully depreciated items of property, plant, and equipment, mainly technical installations, amounted to €79,382 thousand (June 30, 2023: €72,766 thousand).

As at June 30, 2024, the Group had purchase commitments with suppliers for costs related to the Santiago Bernabéu Stadium remodeling project (Note 6.1). Although there is still some work remaining to complete the project, the investment made as at the reporting date represents the bulk of the total planned investment.

As explained in Note 3.3, borrowing costs in 2023/2024 amounting to €29,727 thousand were capitalized (Note 17.6) (2022/2023: €17,917), related to the interest accrued in the period on loans to fund the remodeling project (Note 6.1).

The Group's policy is to arrange the insurance policies necessary to cover the risks to which its property, plant and equipment are exposed.

In previous years, the Club received a grant related to assets amounting to €9,607 thousand to finance the acquisition of property, plant and equipment. The breakdown of these assets is as follows:

2023/2024

€ THOUSAND	COST	ACCUMULATED DEPRECIATION	NET CARRYING AMOUNT
Buildings	9,607	(4,865)	4,742

2022/2023

€ THOUSAND	COST	ACCUMULATED DEPRECIATION	NET CARRYING AMOUNT
Buildings	9,607	(4,673)	4,934

As at June 30, 2024, this grant was recognized in equity for an amount of €3,555 thousand (Note 12) (June 30, 2023: €3,700 thousand) and in deferred tax liabilities for €1,185 thousand (June 30, 2023: €1,233 thousand) (Note 16.2).

7. INVESTMENT PROPERTIES

Reconciliation of the carrying amount of investment properties at the beginning and end of the year:

2023/2024

€ THOUSAND	OPENING BALANCE	ADDITIONS AND ALLOWANCES	RETIREMENTS AND DISPOSALS	TRANSFERS	CLOSING BALANCE
Cost					
Land	13,620	-	-	-	13,620
Buildings	379	-	-	-	379
Installations	48	-	-	-	48
Construction in progress	15	11	-	-	26
Total cost	**14,062**	**11**	**-**	**-**	**14,073**
Accumulated depreciation					
Buildings	(131)	(8)	-	-	(139)
Installations	(47)	-	-	-	(47)
Total accumulated depreciation	**(178)**	**(8)**	**-**	**-**	**(186)**
Impairment					
Buildings	-	-	-	-	-
Land	(2,740)	-	-	-	(2,740)
Construction in progress	-	-	-	-	-
Total impairment	**(2,740)**	**-**	**-**	**-**	**(2,740)**
NET CARRYING AMOUNT	**11,144**	**3**	**-**	**-**	**11,147**

2022/2023

€ THOUSAND	OPENING BALANCE	ADDITIONS AND ALLOWANCES	RETIREMENTS AND DISPOSALS	TRANSFERS	CLOSING BALANCE
Cost					
Land	13,620	-	-	-	13,620
Buildings	379	-	-	-	379
Installations	48	-	-	-	48
Construction in progress	15	-	-	-	15
Total cost	**14,062**	**-**	**-**	**-**	**14,062**
Accumulated depreciation					
Buildings	(123)	(8)	-	-	(131)
Installations	(46)	(1)	-	-	(47)
Total accumulated depreciation	**(169)**	**(9)**	**-**	**-**	**(178)**
Impairment					
Buildings	-	-	-	-	-
Land	(2,740)	-	-	-	(2,740)
Construction in progress	-	-	-	-	-
Total impairment	**(2,740)**	**-**	**-**	**-**	**(2,740)**
NET CARRYING AMOUNT	**11,153**	**(9)**	**-**	**-**	**11,144**

"Land" includes mainly the plots related to the agreement signed with the Madrid City Council, and correspond to the sale of plots 1, zones 1 and 3, 4 and 5 zone 2 of the API 11.12 "Mercedes Arteaga, Jacinto Verdaguer" and the TER. 02. 189-A1 tertiary plot of the 4.01 UPN "Ciudad Aeroportuaria parque de Valdebebas" obtained through the segregation of the TER. 02 189-A plot.

"Buildings" includes mainly capital expenditure by the Group to equip a number of premises for hospitality and catering usage, operated by third parties which pay Real Madrid Club de Fútbol a royalty. The direct royalty revenue generated by this activity in the year ended June 30, 2024 amounted to €158 thousand (June 30, 2023: €158 thousand).

Impairment was recognized on the real estate assets, based on market value for land and expectations regarding use for buildings.

Future minimum rentals receivable under operating leases are as follows:

€ THOUSAND	6/30/2024	6/30/2023
Within one year	3,678	578
After one year but not more than five years	17,855	2,310
More than five years	19,375	1,050
	40,908	**3,938**

8. FINANCIAL ASSETS

The breakdown of financial assets, excluding investments in group companies, jointly controlled entities and associates, is as follows:

2023/2024

€ THOUSAND	EQUITY INSTRUMENTS	LOANS AND OTHER FINANCIAL ASSETS	TOTAL
Non-current financial assets			
Financial assets at amortized cost	-	59,901	59,901
Financial assets at cost	2,345	-	2,345
	2,345	**59,901**	**62,246**
Current financial assets			
Financial assets at amortized cost (*)	-	294,114	294,114
	-	**294,114**	**294,114**
TOTAL FINANCIAL ASSETS	**2,345**	**354,015**	**356,360**

(*) Does not include public administrations.

2022/2023

€ THOUSAND	EQUITY INSTRUMENTS	LOANS AND OTHER FINANCIAL ASSETS	TOTAL
Non-current financial assets			
Financial assets at amortized cost	-	103,879	103,879
Financial assets at cost	2,773	-	2,773
	2,773	**103,879**	**106,652**
Current financial assets			
Financial assets at amortized cost (*)	-	214,675	214,675
	-	**214,675**	**214,675**
TOTAL FINANCIAL ASSETS	**2,773**	**318,554**	**321,327**

(*) Does not include public administrations.

8.1 NON-CURRENT FINANCIAL INVESTMENTS

The breakdown and movement in this item are as follows:

2023/2024

€ THOUSAND	OPENING BALANCE	ADDITIONS	RETIREMENTS AND DISPOSALS	TRANSFERS TO CURRENT	CLOSING BALANCE
Equity instruments	2,773	-	(428)	-	2,345
Non-current receivables from sports entities for player transfers	70,990	6,145	-	(40,260)	36,875
Non-current trade receivables	29,362	-	-	(14,103)	15,259
Other non-current receivables	3,047	3,856	(416)	-	6,487
Other financial assets	480	807	(7)	-	1,280
Total non-current financial investments	**106,652**	**10,808**	**(851)**	**(54,363)**	**62,246**

2022/2023

€ THOUSAND	OPENING BALANCE	ADDITIONS	RETIREMENTS AND DISPOSALS	TRANSFERS TO CURRENT	CLOSING BALANCE
Equity instruments	2,773	-	-	-	2,773
Non-current receivables from sports entities for player transfers	55,539	50,268	-	(34,817)	70,990
Non-current trade receivables	19,250	10,112	-	-	29,362
Other non-current receivables	3,596	2,600	(2,002)	(1,147)	3,047
Other financial assets	481	5	(6)	-	480
Total non-current financial investments	**81,639**	**62,985**	**(2,008)**	**(35,964)**	**106,652**

- "Equity instruments" includes the Group's ownership interests in several unlisted entities that organize competitions in which the Club's professional teams participate and over which the Group exercises neither control nor significant influence. The Group has measured these investments at cost rather than at fair value, as it does not have sufficient information to determine their fair value reliably.

  The most significant amount relates to European Superleague Company, S.L., in which Real Madrid Club de Fútbol has an interest together with other European clubs to promote new competitions.

- "Non-current receivables from sports entities for player transfers" includes the amounts receivable from a number of sports entities primarily relating to the sale of rights over professional players. These amount do not accrue explicit interest. The detail by maturity is as follows:

€ THOUSAND	6/30/2024	6/30/2023
Year 2	31,585	37,691
Year 3	1,890	28,957
Year 4 and beyond	3,400	4,342
	36,875	**70,990**

The aforementioned amounts are recognized using the amortized cost method, which includes the financial effect of discounting. Accrued finance income in the year ended June 30, 2024 amounted to €1,279 thousand (June 30, 2023: €1,474 thousand) (Note 17.6).

Additions during the year corresponded mainly to the sale of player transfer rights. Transfers to current liabilities include balances on loans which fall due within one year from the date of the accompanying balance sheet.

- "Non-current trade receivables" includes outstanding amounts receivable on trade transactions with long-term maturities arising from multi-year sponsorship agreements.
- "Other non-current receivables" includes primarily amounts receivable on basketball player disposals and other receivables from several entities.

8.2 TRADE AND OTHER RECEIVABLES

The breakdown of "Trade and other receivables" is as follows:

€ THOUSAND	6/30/2024	6/30/2023
Trade receivables (Note 17.1)		
Stadium revenues	70,696	8,504
Broadcasting rights	1,094	715
Marketing revenues	104,704	74,123
	176,494	83,342
Receivables from sports entities		
Player transfers	48,366	58,557
Other receivables from sports entities (Note 17.1)	14,629	17,094
	62,995	75,651
Other financial assets		
Other receivables	33,198	37,630
Personnel	21,427	18,052
	54,625	55,682
Total current financial assets	**294,114**	**214,675**
Current tax assets and other (Note 16)	4,792	12,076
Other receivables from public administrations (Note 16)	47,518	61,765
Madrid City Council for the EU Las Tablas proceedings (Note 13.4)	23,526	23,526
Madrid City Council for the property tax Adjustments (Note 13.4)	7,913	-
Total receivables from public administrations	**83,749**	**97,367**
TOTAL TRADE AND OTHER RECEIVABLES	**377,863**	**312,042**

- **Trade receivables**

The balance of "Trade receivables" is presented net of loss allowance. Changes in loss allowance:

€ THOUSAND	6/30/2024	6/30/2023
Initial loss allowance	18,412	19,642
Arising during the year (Note 17.4)	1,031	4,356
Utilized during the year (Note 17.4)	(4,162)	(769)
Unused amounts reversed (Note 17.4)	(232)	(4,453)
Transfer in the year	-	(364)
Final loss allowance	**15,049**	**18,412**

The breakdown of foreign currency balances included in this item as at June 30, 2024 is as follows:

THOUSANDS	FOREIGN CURRENCY AMOUNT	EURO AMOUNT
US dollars	2,519	2,353
Pound sterling	130	154
Australian dollars	24	15
Total		**2,522**

The breakdown of foreign currency balances included in this item as at June 30, 2023 is as follows:

THOUSANDS	FOREIGN CURRENCY AMOUNT	EURO AMOUNT
US dollars	3,879	3,570
Pound sterling	43,352	50,510
Australian dollars	24	15
Total		**54,095**

- **Current receivables from sports entities**

The balance of "Current receivables from sports entities" is presented net of loss allowance. Changes in loss allowance:

€ THOUSAND	6/30/2024	6/30/2023
Initial loss allowance	206	181
Arising in the year (Note 17.4)	-	25
Utilized in the year	-	-
Unused amounts reversed (Note 17.4)	(36)	(28)
Transfer in the year	28	28
Final loss allowance	**198**	**206**

"Other receivables from sports entities" as at June 30, 2024 includes a balance with the National Professional Football League of €3,975 thousand confirmed with the latter (June 30, 2023: €2,710 thousand).

The breakdown of foreign currency balances included in this item as at June 30, 2024 is as follows:

IMPORTES EN MILES	SALDO EN MONEDA DISTINTA DEL EURO	SALDO EN EUROS
Libras Esterlinas (LIB)	28.881	34.123
		34.123

The breakdown of foreign currency balances included in this item as at June 30, 2023 is as follows:

IMPORTES EN MILES	SALDO EN MONEDA DISTINTA DEL EURO	SALDO EN EUROS
Libras Esterlinas (LIB)	43.273	50.248
		50.248

- **Madrid City Council for the property tax adjustments**

This amount reflects the total excess amounts paid by the Club for property taxes on Real Madrid City for the 2010 to 2023 periods as the value for tax purposes did not match the amounts of the property taxes charged. Claims have been submitted and are in different legal stages, but the Town Council has yet to refund the excess amounts. Nevertheless, the Group considers collection of the amount recognized to be highly probable.

9. INVENTORIES

The value of inventories in the balance sheet as at June 30, 2024 was €18,141 thousand (June 30, 2023: €9,271 thousand) and included a write-down of €292 thousand (June 30, 2023: €292 thousand).

10. CASH AND CASH EQUIVALENTS

The breakdown of these items is as follows:

€ THOUSAND	6/30/2024	6/30/2023
Demand current accounts	208,265	253,357
Cash and cash equivalents	**208,265**	**253,357**

The cash balance as at June 30, 2024, was composed of:

- €126 million in the cash account related to the stadium remodeling project.
- €82 million in the Group's general cash accounts.

11. EQUITY - CAPITAL AND RESERVES AND NON-CONTROLLING INTERESTS

The reconciliation of "Capital and reserves" at the beginning and end of the year is shown in the statement of changes in equity.

- **Reserves**

"Reserves" consists mainly of the initial endowment and subsequent contributions arising from the distribution of profits. In addition, the impact of the transition to the new General Accounting Plan in Spain were recognized under this item which, as required therein, must be recorded in unrestricted reserve accounts.

- **Revaluation reserve RD 7/96**

The revaluation reserve allocated by the Club in 1996/1997 may be used to offset tax losses or to increase the "Reserves" account or unrestricted reserves, once the revalued assets have been fully depreciated or derecognized from inventories.

- **Revaluation reserve law 16/2012**

In 2013/2014 the Club availed itself of the balance sheet revaluation provided in Law 16/2012 of December 27 (Note 2.5). Amounts arising from the accounting revaluations were recognized under "Revaluation Reserve Law 16/2012 of December 27". Since the period for verifying the revaluation by the Taxation Authorities has expired, the balance of this account may be used to offset losses and increase share capital, or after 10 years have transpired from the date of the balance sheet in which the revaluations were made, allocated to unrestricted reserves.

This balance may only be distributed, indirectly or directly, when the revalued assets have either been fully depreciated, disposed of or derecognized.

- **Capitalization reserve**

In accordance with article 25 of the CIT Law, the Group includes in the calculation of income tax a reduction in taxable profit for the year of 10% of the increase in equity of the prior year, up to 10% of taxable profit for the year.

During the current year, the Group allocated the "Capitalization reserve" in compliance with the requirements of the CIT Law to be eligible for this reduction. This reserve is restricted for a period of five years.

- **Non-controlling interests**

The balance of "Non-controlling interests" reflects the 2% shareholding and the share of profit for the year attributable to Real Madrid Aparcamientos del Santiago Bernabéu, S.L. as non-controlling shareholder (see Note 1).

12. EQUITY - GRANTS, DONATIONS, AND BEQUESTS RECEIVED

Changes in non-repayable capital grants included the consolidated statement of changes in equity:

2023/2024

€ THOUSAND	OPENING BALANCE	ADDITIONS	TAX EFFECT OF ADDITIONS	AMOUNTS TRANSFERRED TO PROFIT OR LOSS (NOTE 17.1)	TAX EFFECT OF TRANSFERS	CLOSING BALANCE
Non-repayable grants	3,700	-	-	(193)	48	3,555
Total non-repayale grants	**3,700**	**-**	**-**	**(193)**	**48**	**3,555**

2022/2023

€ THOUSAND	OPENING BALANCE	ADDITIONS	TAX EFFECT OF ADDITIONS	AMOUNTS TRANSFERRED TO PROFIT OR LOSS (NOTE 17.1)	TAX EFFECT OF TRANSFERS	CLOSING BALANCE
Non-repayable grants	3,844	-	-	(192)	48	3,700
Total non-repayable grants	**3,844**	**-**	**-**	**(192)**	**48**	**3,700**

The grants awarded are mainly grants related to assets from by sports bodies, primarily the National Professional Football League, Spain in conjunction with certain capital expenditure made by the Club during the 1996/1997 season (Note 6.4).

The Club's Board believes it fulfilled all the conditions attaching to the grants for consideration as non-repayable.

13. PROVISIONS AND CONTINGENCIES

13.1 NON-CURRENT PROVISIONS

Carrying amount at the beginning and end of the year:

2023/2024

€ THOUSAND	OPENING BALANCE	AIRISNG IN THE YEAR	UTILIZED	UNUSED AMOUNTS REVERSED	NET TRANSFERS	CLOSING BALANCE
Other provisions	45,833	15,490	(18,307)	(4,847)	(4,930)	33,239
Total non-current provisions	**45,833**	**15,490**	**(18,307)**	**(4,847)**	**(4,930)**	**33,239**

2022/2023

€ THOUSAND	OPENING BALANCE	AIRISNG IN THE YEAR	UTILIZED	UNUSED AMOUNTS REVERSED	NET TRANSFERS	CLOSING BALANCE
Other provisions	66,014	8,466	(8,536)	(11,613)	(8,498)	45,833
Total non-current provisions	**66,014**	**8,466**	**(8,536)**	**(11,613)**	**(8,498)**	**45,833**

This year, based on available estimates, the Group recognized provisions for liabilities and charges of €15,490 thousand to cover certain risks (2022/2023: €8,466 thousand).

In addition, in 2023/2024, the Group utilized €18,307 thousand of provisions for their intended purpose (2022/2023: €8,536 thousand) and reversed €4,847 thousand of unused provisions since the circumstances that gave rise to them no longer existed (2022/2023: €11,613 thousand).

13.2 CURRENT PROVISIONS

Carrying amount at the beginning and end of the year:

2023/2024

€ THOUSAND	OPENING BALANCE	ARISING IN THE YEAR	UTILIZED	UNUSED AMOUNTS REVERSED	NET TRANSFERS	CLOSING BALANCE
Current provisions for liabilities and charges	53,022	32,635	(29,243)	(3,043)	4,930	58,301
Total current provisions	**53,022**	**32,635**	**(29,243)**	**(3,043)**	**4,930**	**58,301**

2022/2023

€ THOUSAND	OPENING BALANCE	ARISING IN THE YEAR	UTILIZED	UNUSED AMOUNTS REVERSED	NET TRANSFERS	CLOSING BALANCE
Current provisions for liabilities and charges	70,985	9,878	(36,339)	-	8,498	53,022
Total current provisions	**70,985**	**9,878**	**(36,339)**	**-**	**8,498**	**53,022**

In the current year, the Group recognized provisions for liabilities and charges amounting to €32,635 thousand (2022/2023: €9,878 thousand) to cover certain risks that could materialize in the short term.

Meanwhile, it utilized provisions for their intended purposes in 2023/2024 in an amount of €29,243 thousand (2022/2023: €36,339 thousand) and reversed €3,043 thousand of unused provisions (2022/2023: €0).

13.3 GUARANTEES AND DEPOSITS GIVEN

The Group has granted guarantees and deposits to third parties for different purposes.

The breakdown of these guarantees by maturity is as follows:

€ THOUSAND	6/30/2024	6/30/2023
Indefinite	28,817	40,616
2022/2023	-	-
2023/2024	-	-
2024/2025	169	700
2025/2026	700	-
2028/2029	173	-
Total guarantees and deposits given	**29,859**	**41,316**

The bulk of the amount drawn down on guarantees with indefinite maturity relate to guarantees issued to ensure fulfillment of the obligations related to urban work and waste treatment during the stadium remodeling project, to claims arising from settlement of tax on the increase in the value of urban land in Valdebebas (Note 6.2), and to guarantees provided to comply with the commitments of the grant of a license to broadcast an HD channel through TDT and the concession to build and operate two car parks around the Santiago Bernabéu Stadium.

No liabilities are expected to arise from these guarantees.

13.4 COMMITMENTS, CONTINGENT ASSETS, AND LIABILITIES

For some of the following agreements, information is provided regarding different issues without any indication of financial amounts, as this is confidential commercial information and its disclosure could be damaging for the Group.

1. As at June 30, 2024, variable collection rights from different clubs and image/sponsorship contracts were recognized amounting to €16,050 thousand (June 30, 2023: €21,050 thousand), while liabilities related to these variable rights amounting to €33,750 thousand were recognized (June 30, 2023: €6,000 thousand).

There are also potential assets related to agreements with sports entities and sponsorship agreements that are contingent upon fulfillment of established sports objectives in future seasons. In the unlikely event that all the objectives were met, the maximum amount to be received over the term of all the agreements up until their expiration would be €41,950 thousand (June 30, 2023: €74,150 thousand).

In addition, there are potential liabilities arising from agreements with sports entities that would be triggered if certain sports objectives are achieved in future seasons. In the unlikely event that all the objectives were to be met, the maximum amount to be recognized over the term of all the agreements up until their expiration would amount to €36,250 thousand (June 30, 2023: €63,000 thousand). If payment were made, these amounts would be correlated to increased revenue from sports competitions, especially the Champions League.

2. On July 29, 2011, an agreement was signed and ratified by public deed on December 21, 2011 with the Madrid City Council legalizing the earlier agreements entered into between the two parties on May 29, 1998 and December 20, 2001.

This agreement included compensation from the Madrid City Council due to the legal impossibility of transferring the entire “Las Tablas” plot as stipulated in the agreement signed on May 29, 1998, as well as Real Madrid Club de Fútbol’s compensation for breach of the main obligation of the underground parking lot on the Paseo de la Castellana’s lateral section established in the Agreement dated December 20, 2001.

The Madrid City Council paid the compensation by transferring a plot of land located between Rafael Salgado, Paseo de la Castellana, and Concha Espina on API 05.12 “Santiago Bernabéu”, recognized in property, plant and equipment (Note 6) and Plots 1, zone 1 and 3, 4 and 5 Zone 2 of API 11.12 “Mercedes Arteaga, Jacinto Verdaguer” and the tertiary plot TER. 02 189-A1 of UNP 4.01 “Ciudad Aeroportuaria parque de Valdebebas” obtained by segregating plot TER.02 189-A. The “Mercedes Arteaga, Jacinto Verdaguer” plots and the Valdebebas tertiary plot are recognized under investment properties (Note 7).

All the property, plant, and equipment included in the scope of the agreement were appraised by the Technical Services Department of the Sub-Directorate General of Urban Adaptation under the General Directorate for Town Planning Management of the Government, Development and Housing Area.

At the end of each reporting period, the Group engages an independent expert to appraise its real estate assets (see Note 3.6), recognizing an impairment loss to reduce the carrying amount of the assets to market value where appropriate. The impairment loss in the year ended June 30, 2024, amounted to €2,740 thousand (Note 7), unchanged from the year before since the appraisal of the market value of the land was broadly unchanged.

On March 21, 2012, Madrid Federal Court of Appeals 14 upheld the request for an injunction filed regarding the agreement between the Club and the Madrid City Council on July 21, 2011, entailing suspension of enforcement of the agreement. Both the Club and the City Council appealed the injunction, and on July 12, 2012, the Administrative Appeals section of the Madrid Supreme Court handed down a sentence revoking the injunction issued by the Judge from the Madrid Court of Administrative Appeals 14, considering that there were no grounds for the injunction.

Regarding the main legal proceeding, on April 25, 2012, a claim was filed before the Court against the agreement signed on July 29, 2011, seeking its annulment and restitution of the assets to their situation prior to the signing of the agreement, along with the related cancellation of any files on register, and requiring a new appraisal of the obligations arising from the agreements signed in 1991 and 1998. The Administrative Appeals court handed down a ruling on October 10, 2013, notified on October 15, 2013, rejecting the appeal and upholding the sentence, which was ruled as final through an organization procedure dated November 20, 2013.

For its part, the European Commission notified Spain of its decision to initiate proceedings regarding alleged State aid arising from the appraisal of a plot of land located in Las Tablas (Madrid), which the Madrid City Council was forced to turn over to Real Madrid Club de Fútbol, in compliance with a land-swap agreement signed by the parties in 1998. Due to the legal impossibility of handing the plot over, it was appraised by the City Council at its value for tax purposes, and replaced by other land of equivalent value.

On July 4, 2016, the European Commission issued a decision concluding that the Club obtained an advantage of €18.4 million from the over-evaluation of a plot of land. The Club, considering that this did not constitute State aid since the Club received, via the delivery of other land, an amount equivalent to that which it was entitled to receive, appealed this decision before the General Court of the European Union seeking the annulment of the decision.

Irrespective of the appeal, on October 28, 2016, the Club paid the City Council the required €18.4 million plus €1.9 million of late payment interest (for a total of €20.33 million).

On May 22, 2019, the General Court of the European Union issued its judgment, annulling the contested decision of the European Commission of July 4, 2016, which concluded that the Madrid Town Council granted State aid to Real Madrid of €18.4 million. The European Commission had two months from notification of the ruling (i.e. to July 23, 2019) to bring an appeal before the European Court of Justice. It did not file an appeal, so the ruling became final during 2019/2020. As a result, Real Madrid Club de Fútbol claimed reimbursement of undue revenue with the Madrid City Council. It requested reimbursement of the €20,330 thousand paid on October 28, 2016, plus late payment interest from that date to the date of the reimbursement. Accordingly, in the 2020/2021 season,

the Club recognized in the income statement the income from the reimbursement and accrued late payment interest for a total of €23,145 thousand. It recognized the related receivable from the City Council under trade and other receivables in the balance sheet since the reimbursement has yet to be made.

During 2021/2022, the Club learned that the Commission, using a real estate expert, appraised the plots of land given to the Club by the City Council as compensation for the appraisal of the land of Las Tablas according to the 2011 agreement. The result of this new appraisal was similar to the one used in the agreement. After the Commission reopened the procedure for State aid, this appraisal was performed as provided for in the 2019 ruling of the EU General Court, which rendered the Commission's state aid decision null on the grounds that it had failed to appraise those plots when it made its decision. Following this assessment, the Commission will likely defend the legality of the decision annulled and issue a new decision on State aid for a similar amount to the one issued in 2016.

As a result of this situation, although the Club and its expert advisors disagree strongly with the appraisals of both the Las Tablas land and the plots and will therefore continue to file the appropriate appeals, the Club has recognized a provision amounting to €23,145 thousand (Note 8.2) to cover the potential risk of the receivable from the City Council not being paid, at least in the near future.

3. In December 2013, the European Commission notified Spain of its decision to commence proceedings regarding alleged State aid to different Spanish football clubs, including Real Madrid Club de Fútbol, for applying legislation to this type of entity that, for tax purposes, included a lower tax rate.

On July 4, 2016, the European Commission issued a decision in which it considered that by being taxed at a lower rate, the clubs benefited by an estimated €0 to €5 million per club, the precise amount of which the Spanish authorities needed to determine on a case-by-case basis. The Club considers that the application of this legislation did not constitute state aid, since the tax benefits come in addition to other prejudices; an analysis of the years contemplated by the European Commission regarding the Club's tax returns showed that the Club would have suffered economic damage amounting to €7 million had it been taxed as a limited liability company. This favorable economic assessment for the Club was also included in the European Commission's decision of July 4, 2016.

In addition, the previous year the Club was subject to a tax audit regarding the EU case by the Spanish taxation authorities. This procedure was resolved without requiring any material adjustment to the economic loss estimated by the Club.

In light of this situation, in FY 2016/2017, the Club commenced a procedure to claim reimbursement of the amount of economic loss caused by the discriminatory treatment of the legislation, plus late payment interest. It subsequently filed an appeal with the Supreme Court. On February 12, 2019, the Supreme Court issued its judgment, rejecting the appeal and considering unjustified the claim for reimbursement on the grounds that the liability suit was brought before there was any effective loss since the Commission's decision was not final as other clubs had contested it and since the procedure for recovering the State aid granted had just begun when the financial liability claim was lodged.

On February 26, 2019, the General Court of the European Union issued a judgment annulling the Commission's decision of July 4, 2016 classifying the tax regime of four Spanish professional football clubs as State aid. The Commission appealed this ruling before the Court of Justice, which on March 4, 2021 overturned the General Court's ruling.

On April 24, 2019, the taxation authorities ruled on the procedure for recovering State aid, rejecting the request for reimbursement presented by the Club. It considered that the reimbursement arises directly from the Commission decisions annulled by the General Court, so the request should be denied. In addition, the recovery of the aid is not warranted since it would imply the return of the €7 million higher amount taxed relative to the general regime claimed by the Club and recognition of tax assets for an equal amount, which would go against the purpose pursued in the proceedings of State aid.

The Club filed an appeal against the decision by the Tax Agency that is pending a vote on and ruling by the National Court of Administrative Appeals.

Also, after the Commission's decision was considered final through a ruling by the Court of Justice of the European Union of March 4, 2021, the Club, on March 4, 2022, refiled its claim for reimbursement against the State, requesting compensation of €6,631 thousand (equivalent to the excess taxation borne by the Club from FY 1999/00 to FY 2014/15, compared to the tax it would have borne had it been taxed under the general regime) plus related interest.

4. On April 30, 2015, Royal Decree Law 5/2015 governing the joint operation of TV rights was approved. This Royal Decree became effective in the 2016/17 season, marking the first year that clubs no longer had individual rights.

Real Madrid filed an appeal against this agreement with the LFP in its Assembly held during the 2015/2016 season regarding the distribution of the year's TV broadcast rights, as it considered that since the Royal Decree had not yet entered into force during the season, the distribution of the capital gains generated by the overall management of the individual contracts made by the LFP was not yet applicable. It considered that, in accordance with the LFP bylaws for the distribution of the remaining joint LFP income (e.g. sponsorships, advertising, football pool revenue), the distribution should be made by attributing 60% of income to the 20 first division clubs (an even 3% each), and 40% for the 22 second division clubs (an even 1.82% each). Failing this, Real Madrid proposed an even distribution between the 42 LFP clubs.

A decision on the appeal was handed down on June 29, 2023, by the National Court of Administrative Appeals partially upholding the appeal. However, regarding the specific part related to the distribution referred to above, the Court stated that it was not the court of competent jurisdiction for ruling on this matter.

5. In October of 2014, the Club signed an agreement with International Petroleum Investment Company (IPIC) as its new sponsor for the 2014/15, 2015/16 and 2016/17 seasons. In December 2014, the sponsorship agreement was partially assigned by IPIC to CEPSA. This assignment was still effective at June 30, 2017. The agreement with IPIC included the possibility of extending the sponsorship agreement for another two seasons, which occurred de facto in the 2017/2018 season according to Club criteria. Therefore, last season the related invoices were issued.

The agreement stated the possibility of IPIC having Stadium naming rights in upcoming seasons, in which case the amounts receivable and the term of the agreement would increase significantly.

The effectiveness of the naming right was contingent on acceptance by IPIC to comply with certain legal requirements regarding town planning. Although Real Madrid notified IPIC of compliance prior to June 30, 2017, this compliance was still being discussed between the parties. Therefore, in 2018, as provided for in the agreement, the Club applied for arbitration by the International Court of Arbitration of the International Chamber of Commerce.

The Arbitration Court issued a ruling in favor of IPIC on May 3, 2023 (notified on May 12, 2023), but the decision did not have any impact on the consolidated financial statements since it entailed a claim over future income.

As a result of this ruling, during the current period the Group adjusted the invoices in dispute. The adjustments did not have a significant impact on the consolidated financial statements since provisions had been recognized for the full amounts.

14. FINANCIAL LIABILITIES

The breakdown of "Financial liabilities" is as follows:

2023/2024

€ THOUSAND	BANK BORROWINGS	OTHER FINANCIAL LIABILITIES	TOTAL
Non-current financial liabilities			
Financial liabilities at amortized cost			
Non-current loans and borrowings	37,644	1,209,947	1,247,591
Non-current payables	-	6,303	6,303
	37,644	**1,216,250**	**1,253,894**
Current financial liabilities			
Financial liabilities at amortized cost			
Current loans and borrowings	39,390	176,336	215,726
Trade and other payables (*)	-	362,417	362,417
	39,390	**538,753**	**578,143**
TOTAL FINANCIAL LIABILITIES	**77,034**	**1,755,003**	**1,832,037**

(*) Does not include public administrations.

2022/2023

€ THOUSAND	BANK BORROWINGS	OTHER FINANCIAL LIABILITIES	TOTAL
Non-current financial liabilities			
Financial liabilities at amortized cost			
Non-current loans and borrowings	76,573	843,722	920,295
	76,573	**843,722**	**920,295**
Current financial liabilities			
Financial liabilities at amortized cost			
Current loans and borrowings	38,509	245,827	284,336
Trade and other payables (*)	-	271,763	271,763
	38,509	**517,590**	**556,099**
TOTAL FINANCIAL LIABILITIES	**115,082**	**1,361,312**	**1,476,394**

(*) Does not include public administrations.

14.1 NON-CURRENT LOANS AND BORROWINGS

The breakdown of "Non-current loans and borrowings" is as follows:

€ THOUSAND	6/30/2024	6/30/2023
Bank borrowings	**37,644**	**76,573**
Other financial liabilities		
Suppliers of fixed assets	38,610	32,960
Sports entities for player transfers	39,465	25,994
Other financial liabilities	1,131,872	784,768
	1,209,947	**843,722**
TOTAL NON-CURRENT LOANS AND BORROWINGS	**1,247,591**	**920,295**

- **Bank borrowings**

In April 2020, the Group took out four bank loans with four different banks for a total amount of €155,000 thousand. The loans are backed by Spain's official credit institute, Instituto de Crédito Oficial (ICO), as part of the facilities provided by the government to mitigate the impact of COVID-19. These loans originally matured at 5 years, with a 1-year grace period for payment of principal. Subsequently, both the grace period and the maturity were extended by one year in accordance with RDL 34/2020 of November 17.

The nominal amount of outstanding principal as at June 30, 2024, on the four loans stood at €37,683 thousand, with long-term maturities net of expenses of €37,644 thousand (June 30, 2023: €76,659 thousand and €76,573 thousand, respectively).

Meanwhile, the Group had credit facilities as at June 30, 2024 totaling €395,000 thousand, with no amounts drawn down and of which €370,000 thousand have long-term maturities (June 30, 2023: €265,000 thousand, with no amounts drawn down and of which €125,000 thousand had long-term maturities).

Virtually all ICO transactions are at fixed rates, while the rest are floating-rate borrowings indexed to the Euribor rate plus a market spread.

The repayment schedule for the nominal amounts of long- and short-term loans is as follows:

JUNE 30, 2024

€ THOUSAND	2024/2025	2025/2026	2026/2027	2027/2028	SUBSEQUENT YEARS	TOTAL
Bank borrowings	39,030	37,683	-	-	-	76,713

JUNE 30, 2023

€ THOUSAND	2023/2024	2024/2025	2025/2026	2026/2027	SUBSEQUENT YEARS	TOTAL
Bank borrowings	38,351	39,046	37,613	-	-	115,010

- **Other financial liabilities**

The breakdown of this item by year of maturity is as follows:

JUNE 30, 2024

€ THOUSAND	2025/2026	2026/2027	2027/2028	2028/2029	SUBSEQUENT YEARS	TOTAL
Suppliers of fixed assets	29,220	3,247	1,209	122	4,812	38,610
Sports entities for player transfers	39,465	-	-	-	-	39,465
Other financial liabilities	23,381	24,051	30,929	31,788	1,021,723	1,131,872
Total	**92,066**	**27,298**	**32,138**	**31,910**	**1,026,535**	**1,209,947**

JUNE 30, 2023

€ THOUSAND	2024/2025	2025/2026	2026/2027	2027/2028	SUBSEQUENT YEARS	TOTAL
Suppliers of fixed assets	31,131	1,451	71	127	180	32,960
Sports entities for player transfers	25,994	-	-	-	-	25,994
Other financial liabilities	23,071	23,381	23,876	24,383	690,057	784,768
Total	**80,196**	**24,832**	**23,947**	**24,510**	**690,237**	**843,722**

"Suppliers of fixed assets" includes, in addition to borrowings for purchases of property, plant and equipment, non-sports intangible assets, and investment properties, liabilities arising from managing intermediation services in player acquisitions or renewal, with long-term maturities. "Sports entities for player acquisitions" includes amounts owed on player acquisitions. These payables do not bear explicit interest. These amounts were measured at amortized cost, which includes the financial effect of discounting. Accrued finance expenses in the year ended June 30, 2024, amounted to €5,664 thousand (June 30, 2023: €1,618 thousand).

The balance of "Other financial liabilities" at June 30, 2024 includes unmatured long-term principal and interest on loans taken out to fund the stadium remodeling (see Note 6.1). These loans have mandatory debt service coverage ratios throughout the contractual term. All of the covenants were met as at June 30, 2024.

There were no non-current loans and borrowings denominated in foreign currency as at June 30, 2024 and 2023.

14.2 NON-CURRENT PAYABLES

The breakdown of this item by year of maturity is as follows:

€ THOUSAND	2025/2026	2026/2027	2027/2028	2028/2029	SUBSEQUENT YEARS	TOTAL
Non-current payables	1,333	4,970	-	-	-	6,303

This item includes payables for long-term sports personnel contract bonuses.

These amounts were measured at amortized cost, which includes the financial effect of discounting. Accrued finance expenses in the year ended June 30, 2024, amounted to €479 thousand.

14.3 CURRENT LOANS AND BORROWINGS

The breakdown of "Current loans and borrowings" is as follows:

€ THOUSAND	6/30/2024	6/30/2023
Bank borrowings	**39,390**	**38,509**
Other financial liabilities		
Suppliers of fixed assets	43,622	153,922
Sports entities for player transfers	81,559	59,550
Other financial liabilities	51,155	32,355
	176,336	**245,827**
TOTAL CURRENT LOANS AND BORROWINGS	**215,726**	**284,336**

- **Bank borrowings**

As explained in Note 14.1 above, the Group has four loans, of which €39,030 thousand of outstanding principal is payable in the short term, along with €39,390 thousand of interest and expenses.

Regarding the credit facilities described in Note 14.1, of the total €395,000 thousand, €25,000 thousand mature in the short term (June 30, 2023: €140,000 thousand of short-term credit facilities). At June 30, 2024 and 2023, there were no current loans and borrowings since no amounts had been drawn down.

- **Other financial liabilities**

Other financial liabilities include balances of the same items as in Note 14.1; i.e., payables to suppliers of fixed assets, payables to sports entities for player transfers, and loans from companies to fund stadium remodeling work.

In 2023/2024, payments for managing intermediation in player acquisition, renewal and transfer amounted to €51,202 thousand (2022/2023: €43,136 thousand).

14.4 TRADE AND OTHER PAYABLES

The breakdown of "Trade and other payables" is as follows:

€ THOUSAND	6/30/2024	6/30/2023
Trade payables	113,522	82,854
Marketing payables	18,688	4,074
Sports entities for services rendered	10,679	10,058
Sports personnel	205,188	163,246
Non-sports personnel	14,340	11,606
Total financial liabilities	**362,417**	**271,838**
Other payables to public administrations (Note 16)	43,141	24,052
Current tax liabilities	-	-
Total payables to public administrations	**43,141**	**24,052**
TOTAL TRADE AND OTHER PAYABLES	**405,558**	**295,890**

"Marketing payables" includes the amounts owed in respect of the unincorporated joint venture agreement which, according to its terms and conditions, includes provisional annual settlement with a single maturity in June and adjustment in July once definitive data are available.

The amount of "Sports personnel" relates primarily to remuneration payable to players and coaches of the first football team in accordance with their contracts, the terms of which stipulate that these payments are made generally in July and December. Also included are performance bonuses for sports achievements which, under the terms of the contracts, are paid the following season. Therefore, at June 30, 2024, the second amount maturing for 2023/2023 was payable which, contractually, will be made in July of the 2024/2025. Also, as stipulated, payments of bonuses for sports achievements accrued in 2022/2023 were paid in 2023/24. As at June 30, 2024, payment of bonuses for sports achievements accrued in 2023/2024 were pending.

Meanwhile, the increase in the balance of "Other payables to public administrations" related primarily to indirect taxes in June, which are settled in July (see Note 16).

The breakdown of "Sports personnel" is as follows:

€ THOUSAND	6/30/2024	6/30/2023
First football team players and coaching staff	201,315	156,581
Other football team players and coaching staff	100	53
Basketball players and coaching staff	3,773	6,612
Total payables to sports personnel	**205,188**	**163,246**

The breakdown of foreign currency balances is as follows:

JUNE 30, 2024

THOUSANDS	FOREIGN CURRENCY AMOUNT	EURO AMOUNT
US dollars	64	59
Pound sterling	3,566	4,213
Moroccan dirham	694	65
Total		**4,337**

JUNE 30, 2023

THOUSANDS	FOREIGN CURRENCY AMOUNT	EURO AMOUNT
US dollars	20	19
Pound sterling	232	270
Moroccan dirham	694	65
Total		**354**

14.5 WORKING CAPITAL

Working capital is the difference between current assets and current liabilities on the balance sheet.

Working capital at June 30, 2024 was a negative €188 million (June 30, 2023: €-145 million).

In line with historical trends, working capital was negative again after several atypical years in which it was positive, caused by the effects of funding of the Santiago Bernabéu Stadium remodeling project and the Sixth Street agreement (Note 17.1.6).

The Group's working capital is inherently negative, in line with the intrinsic workings of the Group, the large operations-driven accounts payable (purchases and services, player signings, upfront collection of membership dues/season tickets), which are recurring; i.e. renewed annually.

Current recurring payables at June 30, 2024 amounted to €520 million (purchases and services: €186 million; signings/other personnel: €220 million; and accruals of €114 million), up from €395 million at June 30, 2023 (purchases and services: €122 million; signings/other personnel: €174 million; and accruals of €99 million). These recurring balances contribute the most negative effect on working capital at the end of each reporting period.

These balances will be rolled over, and therefore will reflect similar amounts at each year-end. Accruals are amounts collected before the end of the previous period or beginning of the current period, which generate an accrued liability that is canceled over the entire season and does not represent any payment.

The remaining current loans and borrowings as at June 30, 2024 related to amounts owed for investments, which will be paid comfortably with the cash flows generated by the Group each month from operating activities, plus available cash and undrawn facilities.

In sum, important here is that with the stadium remodeling completed and with growth in revenue from the reform now consolidated, the Group expects to deliver considerable operating profit, with operating income outstripping operating expenses. Therefore, the Group will generate a considerable cash surplus after meeting the payment obligations arising from its operations to meet its investment payment commitments.

Considering the above and taking into account the current cash balance, cash projections made using conservative assumptions for the coming seasons, and the undrawn available credit lines at June 30, 2024, of €395 million, of which €370 million are long-term (Note 14.1), the Group should be able to meet its payment obligations comfortably. Therefore, there are no doubts surrounding potential liquidity risk or the Group's financial position due to working capital.

15. ACCRUALS IN ASSETS AND LIABILITIES

15.1 ACCRUALS IN ASSETS

Non-current and current accruals in assets:

€ THOUSAND	6/30/2024	6/30/2023
Non-current accruals	39,566	41,653
Current accruals	1,323	1,429

- **Non-current accruals**

These relate mainly to sports personnel contract bonuses accruing in the long term.

- **Current accruals**

These relate to a variety of prepaid expenses accrued during the next calendar year.

15.2 ACCRUALS IN LIABILITIES

Non-current and current accruals:

€ THOUSAND	6/30/2024	6/30/2023
Non-current accruals		
Non-current advances	1,250	24,137
	1,250	**24,137**
Current accruals		
Membership fees, ticket sales and stadium revenue	70,642	67,980
International and friendly matches	13	-
Broadcasting revenue	157	229
Marketing revenue	43,387	30,867
	114,199	**99,076**

- **Non-current advances**

This item relates primarily to discounted amounts received in advance and pending accrual arising on various marketing agreements.

- **Deferred income**

a) **Membership fees, ticket sales and stadium revenue**
This item comprises mainly membership fees and season tickets and income from stadium boxes received before June 30, 2024, which accrue in 2024/2025.

b) **Marketing revenue**
The balance of this item relates to the amounts received by the Group under business agreements entered into before June 30, 2024, which accrue in 2024/2025.

16. TAXATION

The Group availed itself of the special tax regime provided for in Chapter VII of Title VII of the CIT Law for tax periods beginning on or after July 1, 2022. The tax consolidation group is composed of Real Madrid Club de Fútbol (the parent) and Real Madrid Estadio S.L.U. (subsidiary) as stipulated in article 58.1 of that law. Companies in the tax group distribute the tax charge so that the parent settles the tax assets and liabilities arising with subsidiaries from taxable profits or tax losses contributed by them to the tax group.

Tax consolidation applies only to corporate income tax. All other taxes are settled individually by each company. Therefore, the consolidated financial statements may present amounts receivable from or payable to the taxation authorities at the end of the reporting period.

The breakdown of tax assets is as follows:

€ THOUSAND	6/30/2024	6/30/2023
VAT and similar taxes refundable	310	-
Recoverable taxes	47,208	61,765
Other receivables from public administrations (Note 8.2)	**47,518**	**61,765**
Withholdings and payments on account	4,792	12,076
Current tax assets (note 8.2)	**4,792**	**12,076**
Deferred tax assets for deductible temporary differences	18,460	19,353
Tax credits	27,218	34,706
Deferred tax assets (non-current assets)	**45,678**	**54,059**

The amount of tax receivable relates to the refund from the tax authorities due, first, to the request by the Group for reimbursement of undue revenue after adapting the accounting treatment to the criteria of the last audit with assessments signed in agreement over the tax treatment of payments made by the Group for services rendered and invoiced to the Group by agents in purchases and sales of player transfer rights (Note 16.4.7), and second, the impacts of the decisions by Supreme Court and National Court in favor of the Club in the same connection with respect to the tax assessments, complementary tax returns and rectification requests explained in Notes 16.4.1 to 16.4.5.

Also included is the amount of current tax of the previous period; i.e., the balance of income tax refundable in the income

tax statement filed in January each year for the previous financial year.

The breakdown of tax liabilities is as follows:

€ THOUSAND	6/30/2024	6/30/2023
VAT payable	35,564	16,375
Personal income tax payable	4,036	3,686
Corporate income tax payable (non-resident income tax)	27	38
Local income tax payable	2,222	2,739
Social security payable	1,292	1,214
Other payables to public administrations (Note 14.4)	**43,141**	**24,052**
Income tax liabilities, current tax (Note 14.4)	**-**	**-**
Liabilities arising from taxable temporary differences	28,204	37,053
Deferred tax liabilities	**28,204**	**37,053**

The Group is current with all its tax obligations and has no past-due amounts with the taxation authorities, or agreements with the taxation authorities for deferring any payments.

Accordingly, all amounts recognized under tax liabilities at the end of the reporting period are the result of applying ordinary tax regulations:

- VAT payable: balance payable for transactions in the month of June, with settlement on July 30.
- Personal income tax payable: balance payable for transactions in the month of June, with settlement on July 20.
- Local income tax payable: expense accrued from January to June for local taxes, mainly regarding property and business taxes, with settlement in November.
- Social Security payable: balance payable for Social Security obligations in the month of June, with settlement on July 30.
- Liabilities arising from taxable temporary differences: the balance of corporate income tax to be settled by deferred payments, in accordance with tax deferral regulations (e.g. reinvestment of profits, accelerated depreciation) (see Note 16.2).

16.1 CALCULATION OF INCOME TAX EXPENSE

On March 29, 2022, the Board of the Club, as parent, agreed to begin filing consolidated taxes in accordance with Chapter VI of Title VII of Law 27/2014, of November 27, on Corporate Income Tax.

It notified this to the tax authorities on April 26, 2022, and received authorization on July 8, 2022, applicable for tax periods beginning on or after July 1, 2022.

In accordance with article 58.1 of that law, the tax consolidation group is composed of entities resident in Spanish territory that meet the legal requirements and permanent establishments of non-resident entities in Spain that likewise meet the requirements. Real Madrid Group's tax consolidation group is composed of Real Madrid Club de Fútbol and Real Madrid Estadio S.L.U.

Companies in the tax group distribute the tax charge so that the parent settles the tax assets and liabilities arising with subsidiaries from taxable profits or tax losses contributed by them to the tax group.

In accordance with article 62.1.a of the CIT Law, the Group's taxable profit or tax loss is the aggregate of the individual taxable profits and tax losses of all Group companies. Therefore, if one entity generates taxable profit and another a tax loss, the two are offset for inclusion in the tax group's aggregate taxable profit or tax loss. The aggregated tax base is taxed at a 25% rate, although certain reductions to the tax base or deductions to the resulting tax payable may be applied.

The reconciliation of net income and expense with taxable profit (tax loss) in the provision for income tax recognized at the end of each period is as follows:

2023/2024

€ THOUSAND	PROFIT/(LOSS) FOR THE YEAR	INCOME AND EXPENSE RECOGNIZED DIRECTLY IN EQUITY
Income and expense for the year		
Continuing operations	15,628	-
Income tax		
Continuing operations	4,291	-
Income and expense for the year before tax	**19,919**	**-**
Permanent differences	**13,365**	**-**
Temporary differences		
Originating in the current year	21,483	-
Originating in prior years	10,419	-
	31,902	
Reduction of taxable profit arising from the recapitalization reserve	**(2,476)**	**-**
Utilization of tax losses	**(45,602)**	**-**
TAXABLE PROFIT (TAX LOSS) FOR THE YEAR	**17,108**	**-**

2022/2023

€ THOUSAND	PROFIT/(LOSS) FOR THE YEAR	INCOME AND EXPENSE RECOGNIZED DIRECTLY IN EQUITY
Income and expense for the year		
Continuing operations	11,826	-
Income tax		
Continuing operations	(3,249)	-
Income and expense for the year before tax	**8,577**	**-**
Permanent differences	**(18,388)**	**-**
Temporary differences		
Originating in the current year	(35,533)	-
Originating in prior years	(51,303)	-
	(86,836)	
Reduction of taxable profit arising from the recapitalization reserve	**-**	**-**
Utilization of tax losses	**-**	**-**
TAXABLE PROFIT (TAX LOSS) FOR THE YEAR	**(96,647)**	**-**

The amount of permanent differences reflects the contributions made to Real Madrid Foundation to carry out its initiatives. These contributions are recovered through tax credits for donations and, primarily, amortization and losses on player disposals related to intermediation expenses capitalized as an increase in player acquisition costs, as described in Note 4.1.

Reconciliation of income tax expense/(income) recognized and the result of multiplying total recognized income and expenses by the applicable tax rate, differentiating the amount reported in the income statement, is as follows:

2023/2024

€ THOUSAND	PROFIT/(LOSS) FOR THE YEAR	INCOME AND EXPENSE RECOGNIZED DIRECTLY IN EQUITY
Income and expense for the year before tax	19,919	-
Permanent differences	13,365	-
	33,284	-
Effective tax rate	25%	-
Theoretical tax charge	**8,321**	**-**
Tax credits	**(3,482)**	**-**
Adjustment for provision/settlement of income tax 2022/23	**2**	**-**
Adjustment of non-tax-deductible expenses from temporary to permanent	**68**	**-**
Capitalization reserve	**(618)**	**-**
EFFECTIVE INCOME TAX EXPENSE	**4,291**	**-**

2022/2023

€ THOUSAND	PROFIT/(LOSS) FOR THE YEAR	INCOME AND EXPENSE RECOGNIZED DIRECTLY IN EQUITY
Income and expense for the year before tax	8,577	-
Permanent differences	(18,388)	-
	(9,811)	-
Effective tax rate	25%	-
Theoretical tax charge	**(2,453)**	**-**
Tax credits	**(3,178)**	**-**
Adjustments to income tax for assessments	**356**	**-**
Capitalization reserve	**2,027**	**-**
EFFECTIVE INCOME TAX EXPENSE	**(3,248)**	**-**

The breakdown of income tax expense/(income) is as follows:

2023/2024

€ THOUSAND	PROFIT/(LOSS) FOR THE YEAR	INCOME AND EXPENSE RECOGNIZED DIRECTLY IN EQUITY
Current tax	2,116	-
Utilization of tax losses	11,400	-
Tax credits and other relief	(1,982)	-
Changes in deferred tax assets for deductible temporary differences	893	-
Changes in deferred tax liabilities for taxable temporary differences	(8,801)	-
Grants, donations and bequests received	-	(48)
Double taxation deductions utilized in the year	665	-
Adjustment of prior year income tax	-	-
Total income tax expense/(refund)	**4,291**	**(48)**

2022/2023

€ THOUSAND	PROFIT/(LOSS) FOR THE YEAR	INCOME AND EXPENSE RECOGNIZED DIRECTLY IN EQUITY
Current tax	-	-
Recognized tax losses	(24,161)	-
Unused tax credits and other tax relief	(3,179)	-
Changes in deferred tax assets for deductible temporary differences	21,128	-
Changes in deferred tax liabilities for taxable temporary differences	2,608	-
Grants, donations and bequests received		(48)
Double taxation deductions arising and utilized in the year	-	-
Adjustment of prior year income tax	356	-
Total income tax expense/(refund)	**(3,248)**	**(48)**

The calculation of income tax recoverable or payable is as follows:

€ THOUSAND	6/30/2024	6/30/2023
Current tax	(2,116)	-
Withholdings	1,254	595
Payments on account	5,653	11,481
Current tax assets/(liabilities)	**4,791**	**12,076**

16.2 DEFERRED TAX ASSETS AND LIABILITIES

Reconciliation of the balances items comprising deferred tax assets and deferred tax liabilities at the beginning and end of the year:

2023/2024

€ THOUSAND	CHANGES REFLECTED IN			
	OPENING BALANCE	PROFIT/(LOSS) FOR THE YEAR	EQUITY	CLOSING BALANCE
Deferred tax assets				
Deferred tax assets for deductible temporary differences				
Provisions and other	18,753	(714)	-	18,039
Amortization and depreciation	600	(179)	-	421
Tax credits				
Tax credits and tax relief	3,697	1,982	-	5,679
Double taxation deductions	633	1,930	-	2,563
Tax credit for capitalization reserve (Note 16.3)	-	-	-	-
Carry forward of unused tax losses	30,376	(11,400)	-	18,976
	54,059	**(8,381)**	**-**	**45,678**
			-	
Deferred tax liabilities				
Liabilities for taxable temporary differences				
Deferred capital gains for reinvestment	2,400	(82)	-	2,318
Deferred capital gains due to deferred payment	32,301	(8,688)	-	23,613
Free depreciation	869	(31)	-	838
Grants (Note 6.4)	1,233	-	(48)	1,185
Other	250	-	-	250
	37,053	**(8,801)**	**(48)**	**28,204**

2022/2023

€ THOUSAND	CHANGES REFLECTED IN			
	OPENING BALANCE	PROFIT/(LOSS) FOR THE YEAR	EQUITY	CLOSING BALANCE
Deferred tax assets				
Deferred tax assets for deductible temporary differences				
Provisions and other	39,181	(20,428)	-	18,753
Amortization and depreciation	1,300	(700)	-	600
Tax credits				
Tax credits and tax relief	518	3,179	-	3,697
Double taxation deductions	-	633	-	633
Tax credit for capitalization reserve (Note 16.3)	-	-	-	-
Carry forward of unused tax losses	6,215	24,161	-	30,376
	47,214	**6,845**	**-**	**54,059**
Deferred tax liabilities				
Liabilities for taxable temporary differences				
Deferred capital gains for reinvestment	2,483	(83)	-	2,400
Deferred capital gains due to deferred payment	29,579	2,722	-	32,301
Free depreciation	900	(31)	-	869
Grants (Note 6.4)	1,281	-	(48)	1,233
Other	250	-	-	250
	34,493	**2,608**	**(48)**	**37,053**

- **Deferred tax assets - Unused tax credits**

The Group has double taxation deductions from withholdings on income from abroad. There are no time limits on the recovery of these withholdings through income tax, although they may not exceed 50% of the tax expense of each year.

Meanwhile, at the end of each reporting period, the Group recognizes tax credits and relief to the extent that it is probable that sufficient taxable profit will be available against which they can be utilized. There is no time limit on recognizing these credits, although there are certain limits depending on the type of credit:

- Credits for investment in R&D - Cannot exceed 25% of the tax expense adjusted for double taxation deductions.
- Credits for contributions to not-for-profit organizations - Subject to two limits. They may not exceed 10% of taxable profit and they may not exceed 25% of the tax expense adjusted for double taxation deductions.

Reconciliation of unused tax credits and deductions:

2023/2024

€ THOUSAND	OPENING BALANCE	ARISING DURING THE YEAR	TRANSFERS	DECREASES	CLOSING BALANCE
Double taxation deductions	**633**	**2,585**	**10**	**(665)**	**2,563**
Deductions for R&D expenditure	2,064	2,110	-	(901)	3,273
Tax credits for donations	1,633	1,371	-	(598)	2,406
Other tax credits and relief	**3,697**	**3,481**	**-**	**1,498**	**5,679**

2022/2023

€ THOUSAND	OPENING BALANCE	ARISING DURING THE YEAR	TRANSFERS	DECREASES	CLOSING BALANCE
Double taxation deductions	**-**	**633**	**-**	**-**	**633**
Deductions for R&D expenditure	-	2,064	-	-	2,064
Tax credits for donations	518	1,115	-	-	1,633
Other tax credits and relief	**518**	**3,179**	**-**	**-**	**3,697**

- **Deferred tax assets – Carry forward for unused tax losses**

The Group has €121,504 thousand of cumulative tax losses carried forward, mostly due to changes in deductible temporary differences. The Group recognized the tax credit from those tax losses for a cumulative amount of €30,376 thousand since they may be offset with taxable profits obtained in future periods.

As at June 30, 2024, after the tax group obtain taxable profit of €65,146 thousand (accounting profit of €65,186 thousand), the Group utilized €45,602 thousand of tax losses, reducing its tax

credit by €11,400 thousand (June 30, 2023: tax losses of €96,646 thousand with recognition of a tax credit of €24,161 thousand).

There is no time limit on the carry forward of unused tax losses, although there is an annual limit. For the Group, in light of the recent Constitutional Court decision rendering null several provisions of Royal Decree-Law 3/2026, the limit is 70% of taxable profit before the reduction of the capitalization reserve.

- **Deferred tax liabilities – deferral for reinvestment**

These liabilities result from the tax treatment applicable to capital gains on certain transfers of players' federative rights, as well as on merchandising, internet, image and distribution rights transferred and on a portion of the land at the Club's former sporting complex, whose recognition in taxable profit has been deferred.

The aforementioned tax treatment consisted of applying the tax credit for reinvestment of extraordinary gains provided for in article 21 of the CIT Law (Law 43/1995, of December 27) to the gains generated from 1996/1997 to 2001/2002 on the disposal of certain assets, thereby acquiring a commitment to reinvest the full sale proceeds at some point within the period elapsing between the year prior to the sale and the three years following it. These gains were reinvested in player federative rights, other intangible assets and items of property, plant, and equipment, as well as financial assets.

The total amount of deferred income in accordance with article 21 of the CIT Law, the recognition method and the amounts already reinvested and pending reinvestment are set out in the following table (€ thousand):

JUNE 30, 2024

€ THOUSAND

FINANCIAL YEAR	ASSETS SOLD	DEFERRED GAIN	AMOUNT TO BE REINVESTED	AMOUNT REINVESTED	GAIN INCLUDED IN TAXABLE PROFIT	GAIN PENDING INCLUSION	LAST FY FOR INCLUDING GAINS	METHOD FOR INCLUDING GAIN
1996/1997	Player federative rights	8,084	11,239	11,239	8,084	-	2006/2007	Sevenths
1997/1998	Player federative rights	3,865	5,421	5,421	3,865	-	2007/2008	Sevenths
1998/1999	Player federative rights	14,135	17,159	17,159	14,135	-	2008/2009	Sevenths
1999/2000	Player federative rights	20,358	25,142	25,142	20,358	-	2009/2010	Sevenths
2000/2001	Other rights	115,995	117,197	117,197	115,995	-	2010/2011	Sevenths
2000/2001	Player federative rights	24,523	25,243	25,243	24,523	-	2010/2011	Sevenths
2001/2002	Land	203,443	204,142	204,142	203,443	-	2011/2012	Sevenths
2001/2002	Land	15,714	15,768	15,768	6,441	9,273	2011/2051	% of depreciation of reinvested assets
Total		**406,117**	**421,311**	**421,311**	**396,844**	**9,273**		
Deferred tax (25%)						**2,318**		

JUNE 30, 2023

€ THOUSAND

FINANCIAL YEAR	ASSETS SOLD	DEFERRED GAIN	AMOUNT TO BE REINVESTED	AMOUNT REINVESTED	GAIN INCLUDED IN TAXABLE PROFIT	GAIN PENDING INCLUSION	LAST FY FOR INCLUDING GAINS	METHOD FOR INCLUDING GAIN
1996/1997	Player federative rights	8,084	11,239	11,239	8,084	-	2006/2007	Sevenths
1997/1998	Player federative rights	3,865	5,421	5,421	3,865	-	2007/2008	Sevenths
1998/1999	Player federative rights	14,135	17,159	17,159	14,135	-	2008/2009	Sevenths
1999/2000	Player federative rights	20,358	25,142	25,142	20,358	-	2009/2010	Sevenths
2000/2001	Other rights	115,995	117,197	117,197	115,995	-	2010/2011	Sevenths
2000/2001	Player federative rights	24,523	25,243	25,243	24,523	-	2010/2011	Sevenths
2001/2002	Land	203,443	204,142	204,142	203,443	-	2011/2012	Sevenths
2001/2002	Land	15,714	15,768	15,768	6,112	9,602	2011/2051	% of depreciation of reinvested assets
Total		**406,117**	**421,311**	**421,311**	**396,515**	**9,602**		
Deferred tax (25%)						**2,400**		

These gains have been included in taxable profit as a general rule in seven equal parts from year three, except where the proceeds were reinvested in fixed assets, in which case the income is included in taxable profit in the tax periods in which the related assets are depreciated.

- **Deferred tax liabilities – Deferral of capital gains due to deferred payment**

In FY 2009/10, and in accordance with article 19.4 of Legislative Royal Decree 4/2004 of the Consolidated Text of the Spanish Corporate Income Tax Law (TRLIS in Spanish), the Group decided to recognize, for tax purposes, the capital gains on asset transfers in transactions involving deferred payment based on the collections carried out

This gave rise to a deferred tax liability amounting to €1,995 thousand in the year ended June 30, 2024 (2022/2023: €14,478 thousand) related to the deferred capital gains during the year, and the cancellation of €10,683 thousand from collection of deferred capital gains from the previous year (2022/2023: €11,756 thousand).

- **Deferred tax liabilities - free depreciation**

Pursuant to Royal Decree Law 13/2010, of December 3, on measures designed to boost competitiveness, effective for financial years beginning on or after January 1, 2011, the Club availed for the first time in FY 2011/12 the free depreciation of its investments in the new property, plant and equipment and investment properties covered under this law, and is not required to maintain employment, which was a condition in the

previous regulation. Free depreciation generated a deferred tax amounting to €1,533 thousand in 2011/2012.

In 2023/2024, a total of €31 thousand was canceled (2022/2023: €31 thousand) related to the accounting depreciation of the assets to which free depreciation was applied.

16.3 CAPITALIZATION RESERVE

In accordance with Article 25 of Corporate Income Tax (CIT) Law 27/2014, of November 27, taxpayers that pay tax at the rate provided in sections 1 to 6 of Article 29 of the CIT will be eligible for a reduction in taxable profit of 10% of the increase in capital and reserves provided the following conditions are met:

a) The increase in capital and reserves must be maintained for a period of five years from the end of the tax period to which the reduction relates, except in the event of tax losses.

b) The amount of the reduction must be appropriated to a reserve, which must appear on the face of the balance sheet as a separate heading and will be non-distributable for the aforementioned time period.

In no circumstance may the reduction in taxable profit exceed 10% of taxable profit for the tax period prior to the reduction and the integration referred to in section 12 of article 11 of the CIT and prior to the offset of tax losses.

To comply with its requirements, the Group set aside the related reserve within the term provided for in company law for the approval of the consolidated financial statements (see Note 2.5).

16.4 OTHER INFORMATION

1. Tax assessments 2010- 2014

In January 2016, tax assessments were signed under protest relating to personal income tax, non-resident income tax, value added tax and corporate income tax for 2010 to 2014. The Club was notified in May 2016 of the resolutions regarding final settlement, for €10.8 million. The assessments arose due to discrepancies regarding the tax treatment of payments made by the Club for services rendered and invoiced to the Club by agents. The Spanish tax authorities considered that these payments were made on behalf of players where a relationship was deemed to exist between the agent and player. The Club expressed its disagreement and filed appeals with the Central Economic Administrative Tribunal (TEAC). However, in keeping with criteria of maximum prudence, the Club recognized the entire expense and paid the amount of the assessments in the year ended June 30, 2016.

In January 2017, the Club was notified of the commencement of penalty proceedings regarding the 2010- 2014 assessments, even those the inspections did not uncover any indications that the Club had committed an offense. The proceedings concluded with a €6.4 million settlement agreement. The Club expressed its disagreement and filed appeals with the Central Economic Administrative Tribunal (TEAC). Nevertheless, in keeping with criteria of maximum prudence the Club paid the entire amount of those assessments in 2016/17, although this did not affect accounting profit that year since it was recognized against provisions already set aside at the end of 2015/16.

The TEAC rejected all the claims, so the Club has filed the administrative appeals before the National Court of Administrative Appeals against the decisions handed down for personal income tax, non-resident income tax and corporate income tax. The National Court ruled against the appeal regarding VAT.

The Club received decisions in its favor by the Supreme Court regarding VAT and by the National Court regarding non-resident income tax and corporate income tax. After the annulment of the assessments contested (settlement and penalties), the Club recovered of most of the amounts unduly paid in compliance with the ruling before the authorization of issue of these financial statements.

During the current year, a decision in favor by the National Court regarding personal income tax withholding was received and a further €2,475 thousand was recovered in relation to VAT, thereby enforcing the Supreme Court's decisions.

2. Complementary tax self-assessments in 2016 of personal income tax withholding, non-resident income tax and VAT for 2015

As a result of the tax assessments, the Club decided, in keeping with the principle of prudence and to avoid penalties, to make additional self-assessments on payments to agents not included in the inspection period to become compliant in accordance with the administrative criteria set out in the inspection proceedings for 2010 to 2014. Specifically, it filed additional self-assessments in July and October 2016 for personal income tax, VAT and non-resident income tax for 2015 for a total of €6.1 million. As explained, the Club disagreed with the criterion used by the Tax

Agency in the assessments, challenging in 2016 the previous complementary self-assessments and claiming reimbursement of the amount unduly paid.

All the requests for rectification of self-assessments of personal income tax and non-resident income tax, and part the self-assessments of VAT, for a total of €5.7 million, were absorbed under the framework of the 2014-January 2016 inspection discussed below and rejected through the settlement agreements of the inspection. Of the remaining requests for rectification of VAT self-assessments, €0.4 million were appealed by the Club before the TEAC after rejection by the Tax Agency, but they were ruled against by that court in January 2020. The Club filed administrative appeals with the National Court in May 2020, which were dismissed in June 2021. The Club filed an appeal for an overturn with the Supreme Court before the legal deadline. During the year, it received a decision in its favor, annulling the rulings contested and ordering reimbursement of the amounts paid plus late payment interest.

In keeping with criteria of maximum prudence, all these complementary self-assessments, although contested, were recognized as a cost for the Club in the related years and adjusted during the previous year.

During the current year, it was reimbursed a further €0.5 million, leaving an outstanding balance of €0.3 million.

3. Tax assessments 2014-January 2016

On July 22, 2016, the Club was notified of the commencement of a tax audit of corporate income tax for the tax period from July 1, 2014 to June 30, 2016 on the enforcement procedure for state aid in relation to the European Commission's decision of July 4, 2016 regarding alleged state aid granted to four Spanish football clubs, including Real Madrid Club de Fútbol, for applying legislation to this type of entity that, for tax purposes, includes a lower tax rate (see Note 13.4.3).

The tax audit began on October 25, 2016, and subsequently expanded to include the following taxes:

ITEM	PERIOD
Income tax	7/2014 to 6/2015
Value added tax	7/2014 to 6/2015
Withholding/payments on account of personal income tax	2015 and January 2016
Withholdings on account of non-resident tax	2015 and January 2016

Therefore, the aforementioned tax audits of income tax for the 7/1/2014 to 6/30/2015 period regarding the enforcement of state aid were replaced by the new tax audits.

In January 2017, the Club signed assessments under protest for the taxes and periods indicated. As with the previous tax audits for the 2010-2014 period, this amount was due to discrepancies in the tax treatment of payments made by the Group for services rendered and invoiced to the Club by agents. After the end of 2016/2017, the final settlement agreements in relation to these assessments for personal income tax, VAT and non-resident income tax for €1.2 million were issued. They did not have any impact on accounting profit for 2016/2017 as they were recognized with a charge to provisions already set aside at the end of 2015/2016.

The Club filed appeals before the TEAC against the settlement agreements indicated (€1.2 million), including rejection of the requests for reimbursement of the complementary settlements for 2016 indicated above (€5.7 million), which were dismissed by that court. The Club filed an administrative appeal before the National Court of Administrative Appeals. The Club received a ruling rejecting its appeal regarding the VAT assessment and requests for reimbursement , so it filed an appeal for an overturn with the Supreme Court before the legal deadline. The previous year, decisions were issued in its favor by the Supreme Court annulling the debts and ordering their reimbursement plus late payment interest. In the wake of the Supreme Court's decisions, the National Court of Administrative Appeal upheld the rest of the appeals. The TEAC is enforcing the rulings and reimbursing the amounts paid by the Club plus the related interest.

On April 24, 2019, the taxation authorities ruled on the procedure for recovering State Aid and issued a resolution on the final settlement of 2014/15 income tax, resulting in a refund of €193 thousand to the Club. The assessments do not affect, in any significant way, the amount that the Club estimated as the damage incurred for the different tax treatment relating to the aforementioned European Commission case. The Club filed an appeal against the decision by the Tax Agency that is pending a vote on and ruling by the National Court of Administrative Appeals.

4. Complementary tax self-assessments filed in January 2017 for personal income tax withholding for 2016 and VAT for 2015/16

Again, in keeping with the same principle of prudence explained regarding the complementary tax self-assessments of 2016 and to avoid additional penalties, the Club made additional

self-assessments on payments to agents not included in the inspection period to become compliant in accordance with the administrative criteria set out in the inspection proceedings for 2011 to 2014 and 2015 to 2016. Specifically, it filed additional self-assessments in January 2017 for a total of €1 million. As explained, the Club disagrees with the criterion used by the Tax Agency in the assessments, challenging in 2017 the previous complementary self-assessments and claiming reimbursement of the amount unduly paid. The Tax Agency rejected the requests and the TEAC rejected the related appeals, prompting the Club to file additional administrative appeals with the National Court. As in previous periods, the Club received rulings rejecting its appeal regarding the VAT self-assessments and filed appeals for overturn with the Supreme Court before the legal deadlines. It received a decision in its favor, annulling the debts and ordering the reimbursement of the amounts paid. After the Supreme Court's rulings, the National Court upheld the decision regarding personal income tax withholding.

All these complementary self-assessments, although contested, were recognized as a cost for the Club in the related years and adjusted during the previous year based on those decisions.

5. Tax self-assessments filed subsequently for personal income tax withholding and VAT to December 2018

Using the same criteria as before, for tax self-assessments not filed before the tax inspections for 2010 to 2014 and 2015 to 2016 had concluded, the Club followed the administrative criterion set out in the settlement agreements. However, given the dispute with the administrative criterion, it requested rectification to the assessments and reimbursement of amounts paid. Specifically, for the tax self-assessments up to December 2018 for which the request for rectification was submitted in 2019, the Club had paid, and was therefore claiming reimbursement of, a total amount of €33.4 million.

Regarding the resolution of these claims, €18 million was included in the new tax inspection commenced in July 2019, as explained below. As at the date of authorization for issue of these consolidated financial statements, the National Court of Administrative Appeals had yet to vote on and issue a ruling on the remaining appeals, for €15.4 million.

Again, in keeping with criteria of maximum prudence, all these complementary self-assessments, contested, were recognized as a cost for the Club in the related years and adjusted in the current year.

6. Tax assessments July 2015 - June 2018

On July 12, 2019, the Club was notified of the commencement of inspections for a number of taxes and tax periods. On September 6, 2019, it was notified of a change in the extension of certain tax periods. Accordingly, the taxes and taxes periods under inspection are:

ITEM	PERIOD
Income tax	7/2015 to 6/2018
Value added tax	7/2015 to 6/2018
Withholding/payments on account of investment income	7/2015 to 6/2018
Withholding/payments on account of personal income tax	2/2016 to 6/2018
Withholdings on account of non-resident tax	2/2016 to 6/2018

The inspection concluded in December 2021 with signing of the assessments relating to all taxes in agreement, for which the Club paid €2,200 thousand.

The only area of dispute and adjustment related to payments to agents. No adjustments were made to refunds or payments in any other of the Club's tax returns related to the rest of its activities since the inspection found them to be in compliance.

The Club, which always bases its actions on the principle of tax legality, while awaiting the outcome of the ongoing legal proceedings signed these assessments in agreement to obtain equality and legal certainty, eliminating the litigation expected with taxation authorities regarding the tax treatment afforded to payments to agents.

7. Self-assessments and request for undue revenue submitted July 2022 regarding VAT, personal income tax and non-resident tax from July 2018 to December 2021

After signing these assessments as explained previously and in line with the same criteria used for the audit underlying those assessments, the Club, in keeping with prevailing legal procedure, adjusted the input VAT from July 2018 to December 2021 in July 2022. A tax audit commenced for those periods and taxes which concluding with the signing of an uncontested assessment, with the Club accept the adjustment made.

The Club also requested rectification of the personal income tax and non-resident income tax self-assessments filed in relation to the same periods. The taxation authorities rejected the requests for rectification regarding personal income tax and non-resident income tax, prompting the Club in April 2023 to file an appeal with the TEAC. As at the date of authorization for issue of these financial statements, a ruling has yet to be issued.

8. Other information

During the year, after receiving the amounts from enforcement of the Supreme Court's and National High Court's decisions described above, the Club is receiving notifications of the commencement of tax audits for the same items and periods as those affected by the positive decisions received in application of the jurisprudential doctrine of double effect.

The audit of non-residential income tax for 2015 (01) to 2016 (01) ended with a settlement agreement, giving rise to a tax liability payable of €973 thousand. The Group's advisors consider that there are sufficiently strong grounds to defend the nullity of that settlement and that, in any event, it would not affect the Agency's obligation to reimburse the previous amounts.

Under prevailing tax regulations, tax returns may not be considered final until they have either been inspected by the tax authorities or until the four-year inspection period has expired. However, due to the self-assessments filed in July 2022 to adapt the tax returns to the criteria of the assessments based on the latest last audit (Note 16.4.7), the general statutes of limitations were suspended, whereby as at June 30, 2023, the Club has open to inspection of income tax (personal income tax withholding and non-resident income tax) and VAT from July 2018 and the corporate tax from 2018/2019 onwards.

After the end of the reporting period, notification was received on the commencement of inspections regarding personal income tax withholding on contract terminations for the periods from July 2018 to December 2019 and VAT for player transfers for the periods from January 2018 to August 2023.

The Group considers that there are no material contingencies that could arise from current or future tax inspections.

17. REVENUE AND EXPENSES

17.1 OPERATING INCOME

The accompanying income statement includes the following items:

€ THOUSAND	6/30/2024	6/30/2023
Revenue	1,043,640	804,498
Self-constructed assets	9,437	-
Other operating income	12,052	26,715
Grants (Note 12)	193	192
Provision surpluses (Notes 13.1 and 13.2)	7,890	11,613
Total operating income before disposals	**1,073,212**	**843,018**
Gains/(losses) on disposal and other (Note 17.5)	**27,792**	**104,057**
TOTAL OPERATING INCOME	**1,101,004**	**947,075**

"Revenue" includes the amount of subsidies from National the Professional Football League and the Spanish Professional Football Association for maintenance of stadium access points and the share of football pool revenue, amounting to €234 thousand (June 30, 2023: €273 thousand).

- **Revenue**

The breakdown of the Group's revenue from continuing operations by business category and geographical market is as follows:

€ THOUSAND	6/30/2024	6/30/2023
By operating segment:		
La Liga revenue	77,949	44,975
King's Cup (Copa de S.M. El Rey) revenue	23	9,289
Spanish Super Cup revenue	7,593	7,443
Champions League revenue	160,895	119,940
European Super Cup revenue	-	4,546
FIFA Club World Cup revenue	-	4,714
Revenue from friendly matches	11,648	11,123
Basketball competitions revenue	10,353	8,315
Other revenue	82,992	6,847
Total box office and competition revenue	**351,453**	**217,192**
Total revenue from membership fees and season tickets	**60,165**	**51,493**
Tour and RM Experience	30,277	17,655
Events and concerts	8,546	402
Food, beverages and catering	6,649	358
Other	665	773
Total stadium revenue	**46,137**	**19,188**
Total broadcasting revenue	**179,257**	**186,813**
Revenue from store sales	81,939	52,542
Revenue from sponsorships and licenses	264,548	231,700
Advertising revenue	1,047	1,052
Other revenue	59,094	44,518
Total commercialization and advertising revenue	**406,628**	**329,812**
TOTAL REVENUE	**1,043,640**	**804,498**

Box office and competition revenue increased in 2023/2024 by €134,261 thousand. Alongside growth in La Liga and Champions League revenue driven by increased seating capacity and VIP areas, other revenue also increased by €76,145 thousand. This was mostly due to the start of marketing of personal seat licenses (PSLs), which entails a package of exclusive services for VIP area customers. Holders of these licenses are entitled to buy season tickets each year for a certain seat during a period of 30 years. They are also entitled to purchase certain additional services available in the Santiago Bernabéu Stadium. In addition, the holder can sell the license to someone else provided certain contractual requirements are met.

€ THOUSAND	6/30/2024	6/30/2023
By geographical market:		
Spain	595,360	480,972
Other	448,280	323,526
	1,043,640	**804,498**

Meanwhile, the breakdown of the Group's revenue by the timing of recognition is as follows:

JUNE 30, 2024

€ THOUSAND	UNCONDITIONAL RIGHT	FOR TRANSFER OF CONTROL	TOTAL
By timing of revenue recognition:			
Membership fees, ticket sales and stadium revenue	113,009	193,961	306,970
International and friendly matches	138,004	12,780	150,784
Broadcasting revenue	-	179,257	179,257
Marketing revenue	104,809	301,820	406,629
	355,822	**687,818**	**1,043,640**

JUNE 30, 2023

€ THOUSAND	UNCONDITIONAL RIGHT	FOR TRANSFER OF CONTROL	TOTAL
By timing of revenue recognition:			
Membership fees, ticket sales and stadium revenue	72,200	79,643	151,843
International and friendly matches	121,417	14,613	136,030
Broadcasting revenue	-	186,813	186,813
Marketing revenue	66,450	263,362	329,812
	260,067	**544,431**	**804,498**

- **Contract balances**

The disclosure of balances receivable from contracts with customers by timing of revenue recognition is as follows:

JUNE 30, 2024

€ THOUSAND	UNCONDITIONAL RIGHT	FOR TRANSFER OF CONTROL	TOTAL
By timing of revenue recognition:			
Non-current contract assets	**-**	**15,259**	**15,259**
Trade receivables (Note 8.2)	48,396	128,098	176,494
Other receivables from sports entities (Note 8.2)	331	14,297	14,628
Current contract assets	**48,727**	**142,395**	**191,122**
TOTAL CONTRACT ASSETS	**48,727**	**157,654**	**206,381**

JUNE 30, 2023

€ THOUSAND	UNCONDITIONAL RIGHT	FOR TRANSFER OF CONTROL	TOTAL
By timing of revenue recognition:			
Non-current contract assets	**-**	**29,362**	**29,362**
Trade receivables (Note 8.2)	31,054	52,288	83,342
Other receivables from sports entities (Note 8.2)	6,800	10,294	17,094
Current contract assets	**37,854**	**62,582**	**100,436**
TOTAL CONTRACT ASSETS	**37,854**	**91,944**	**129,798**

The movement during the year in contract liabilities and the offsetting entries recognized in revenue:

2023/2024

€ THOUSAND	OPENING BALANCE	BILLING/ COLLECTIONS	RECOGNITION IN REVENUE	TRANSFERS	CLOSING BALANCE
Non-current accruals					
Non-current advances	24,137	-	-	(22,887)	1,250
	24,137	**-**	**-**	**(22,887)**	**1,250**
Current accruals					
Membership fees, ticket sales and stadium revenue	67,980	126,545	(123,388)	(495)	70,642
International and friendly matches	-	75,298	(75,285)	-	13
Broadcasting revenue	230	159,968	(160,041)	-	157
Marketing revenue	30,866	169,645	(178,756)	21,632	43,387
	99,076	**531,456**	**(537,470)**	**21,137**	**114,199**

2022/2023

€ THOUSAND	OPENING BALANCE	BILLING/ COLLECTIONS	RECOGNITION IN REVENUE	TRANSFERS	CLOSING BALANCE
Non-current accruals					
Non-current advances	47,024	-	-	(22,887)	24,137
	47,024	**-**	**-**	**(22,887)**	**24,137**
Current accruals					
Membership fees, ticket sales and stadium revenue	43,671	104,985	(80,677)	1	67,980
International and friendly matches	-	35,999	(35,999)	-	-
Broadcasting revenue	252	156,280	(162,393)	6,091	230
Marketing revenue	36,924	107,422	(150,987)	37,507	30,866
	80,847	**404,686**	**(430,056)**	**43,599**	**99,076**

- **Agreements in force**

1. Real Madrid Club de Fútbol and German multinational enterprise Adidas had maintained a strategic alliance for over 30 years through a successful sponsorship arrangement. During this

time, through successive renewals, the agreement has gradually improved in terms of guaranteed minimums and percentage of royalties. The latest extension was signed in May 2019, effective in full as of July 1, 2020 and ending on June 30, 2028. It represented a marked increase in the Club's sponsorship revenue.

2. On June 27, 2020, with economic effect from July 1, 2020, the Club entered into an agreement with Legends Hospitality España, S.L.U. for management of the exploitation rights for sports material and licensed products in physical stores and on-line sales. This agreement is designed to drive business in the retail area and reinforce its management control mechanisms. The contract was novated last year to extend the term until June 30, 2034.

In May 2023, with economic effects as of July 1, 2023, two new contracts were entered into for operation of the Santiago Bernabéu stadium bars and management of merchandising product licenses, expiring on June 30, 2035, and June 30, 2034, respectively.

Legends manages the activities, acting in its own name and on behalf of the Club in accordance with the Club's instructions and guidelines. The Club recognizes the revenue, cost of sales and inventories arising from the activities, which do not have a significant impact on the net profit from the agreement.

3. In the 2012/13 season, a sponsorship agreement was signed with Emirates Spain Branch for the 2013/14, 2014/15, 2015/16, 2016/17 and 2017/18 seasons entailing higher income than the previous sponsor's contract. This agreement was renewed during the 2016/2017 season and extended to the end of the 2021/2022 season, with an increase in guaranteed income. This agreement was renewed during the 2021/22 season and extended to the end of the 2025/26 season.

This locks in revenue for the Club over the coming years from the two main sponsors of its jerseys.

4. An agreement became effective in 2017/18 (see Note 3.20) subject to the growth and development of sponsorship revenue for an initial period of four years, with possibility of extension by one or two year in accordance with the level of achievement of certain economic terms. The agreement covers all territories and sponsorship categories, except sports and commercial sponsorships of jerseys and stadiums and training fields naming rights.

This agreement was renegotiated in FY 2019/20, resulting in an increase in income and an extension of the potential years of validity to up to nine years.

5. In the 2016/17 season, once the individual contracts entered into by the clubs concluded, Royal Decree Law 5/2015, of April 30, governing joint exploitation of audiovisual rights of professional football competitions (first and second Spanish football divisions, the King's Cup and the Spanish Super Cup) became fully effective.

The legislation establishes a joint revenue-sharing scheme based on category (first or second division), performance and social acceptance, measured by membership fees and average box office revenue, and the share of the contribution to the generation of income from the marketing of TV broadcasts.

It also establishes a mandatory contribution system (expenditure in accordance with income obtained) to sustain other football categories and associations, and to promote sports in general.

6. During the 2021/2022 season, an agreement was entered into with Delantero Inversiones y Operaciones S.L.U., a subsidiary of US investment firm Sixth Street, and Legends, company specialized in stadium management and premium experiences for sports organizations and organization of major events. The agreement includes the transfer of management of the operation of certain new businesses of the Santiago Bernabéu Stadium, based on forecasts for new cash flow generation, with the objective of elevating the Santiago Bernabéu Stadium as a unique venue and a worldwide benchmark for leisure and entertainment.

As part of the long-term partnership, Real Madrid Club de Fútbol receives approximately €360 million to be invested across any of the Group activities. Through this alliance, Sixth Street acquires the right to participate in the operation of certain new businesses of the Santiago Bernabéu Stadium for 20 years, while Legends contributes its experience and knowledge in the operation of large stadiums and leisure centers, allowing for the optimization of the management of the Santiago Bernabéu Stadium.

The transformation of the Santiago Bernabéu Stadium will be a turning point in the history of Real Club de Fútbol. This alliance with Sixth Street and Legends, world leaders in their respective disciplines, will be fundamental in providing unique experiences in a stadium where multiple events can be hosted throughout the year. This agreement strengthens the Group's goal of continuing to significantly increase the stadium's revenues from both sporting and other types of events.

7. In December 2023, the Group signed a global technology sponsorship agreement with HP Inc. for the 2023/2024, 2024/2025, 2025/2026 and 2026/2027 seasons, and a renewal option for the 2027/2028 season.

The deal will provide an additional source of revenue and makes HP the first brand to appear on Real Madrid's uniform sleeves, for both its men's and women's teams.

17.2 RAW MATERIALS AND OTHER CONSUMABLES USED

The detail of consumption of raw materials and other consumables during the year is as follows:

€ THOUSAND	6/30/2024	6/30/2023
Sports materials used		
Purchases	7,636	8,113
Change in inventories	(821)	(1,869)
Other consumables used		
Purchases	66,952	37,411
Change in inventories	(8,049)	345
Total cost of sales	**65,718**	**44,000**

The breakdown of purchases by geographical market is as follows:

€ THOUSAND	6/30/2024	6/30/2023
Spain	67,514	45,335
Intra-EU	7,074	189
Total	**74,588**	**45,524**

17.3 PERSONNEL EXPENSES

The breakdown of "Personnel expenses" is as follows:

2023/2024

€ THOUSAND	SALARIES AND WAGES	IMAGE RIGHTS	TERMINATION BENEFITS/ DEPARTURES	GROUP BONUSES	SOCIAL SECURITY	OTHER EMPLOYEE BENEFITS EXPENSE	TOTAL PERSONNEL EXPENSES
First football team players and coaching staff	320,537	-	-	35,129	341	1,174	357,181
First football team staff who cannot be registered	2,613	-	-	1,438	234	-	4,285
Second football team players and coaching staff	5,524	-	-	-	478	-	6,002
Lower division football team players and coaching staff	10,833	-	2	100	1,881	2,239	15,055
Players and women's team coaching staff	3,788	-	-	-	887	596	5,271
Non-sports personnel	70,449	-	383	600	8,311	1,302	81,045
Total football	**413,744**	**-**	**385**	**37,267**	**12,132**	**5,311**	**468,839**
Basketball players and coaching staff	28,530	-	-	3,400	571	1,199	33,700
Non-sports basketball personnel	1,988	-	-	200	247	-	2,435
Total basketball	**30,518**	**-**	**-**	**3,600**	**818**	**1,199**	**36,135**
TOTAL PERSONNEL EXPENSES	**444,262**	**-**	**385**	**40,867**	**12,950**	**6,510**	**504,974**

The breakdown of personnel expenses in the preceding table between sports staff who can be registered in the LNFP (1st and 2nd division A players and coaches) and those who cannot (other football and basketball divisions) is as follows:

€ THOUSAND	SALARIES AND WAGES	IMAGE RIGHTS	TERMINATION BENEFITS/ RETIREMENTS AND DISPOSALS	GROUP BONUSES	SOCIAL SECURITY	OTHER EMPLOYEE BENEFITS EXPENSE	TOTAL PERSONNEL EXPENSES
Staff who can be registered in the LNFP	320,537	-	-	35,129	341	1,174	357,181
Staff who cannot be registered in the LNFP	51,288	-	2	4,938	4,051	4,034	64,313
Total sports personnel expenses	**371,825**	**-**	**2**	**40,067**	**4,392**	**5,208**	**421,494**

2022/2023

€ THOUSAND	SALARIES AND WAGES	IMAGE RIGHTS	TERMINATION BENEFITS/ RETIREMENTS AND DISPOSALS	GROUP BONUSES	SOCIAL SECURITY	OTHER EMPLOYEE BENEFITS EXPENSE	TOTAL PERSONNEL EXPENSES
First football team players and coaching staff	309,526	-	6,221	(2,341)	443	974	314,823
First football team staff who cannot be registered	3,618	-	3,650	316	198	-	7,782
Second football team players and coaching staff	6,809	-	-	110	454	-	7,373
Lower division football team players and coaching staff	8,181	-	18	-	1,489	1,852	11,540
Players and women's team coaching staff	3,395	-	18	-	806	524	4,743
Non-sports personnel	58,845	-	5	-	7,308	1,020	67,178
Total football	**390,374**	**-**	**9,912**	**(1,915)**	**10,698**	**4,370**	**413,439**
Basketball players and coaching staff	28,805	-	50	6,712	470	1,063	37,100
Non-sports basketball personnel	2,023	-	-	-	139	-	2,162
Total basketball	**30,828**	**-**	**50**	**6,712**	**609**	**1,063**	**39,262**
TOTAL PERSONNEL EXPENSES	**421,202**	**-**	**9,962**	**4,797**	**11,307**	**5,433**	**452,701**

The breakdown of personnel expenses in the preceding table between sports staff who can be registered in the LNFP (1st and 2nd division A players and coaches) and those who cannot (other football and basketball divisions) is as follows:

€ THOUSAND	SALARIES AND WAGES	IMAGE RIGHTS	TERMINATION BENEFITS/ DEPARTURES	GROUP BONUSES	SOCIAL SECURITY	OTHER EMPLOYEE BENEFITS EXPENSE	TOTAL PERSONNEL EXPENSES
Staff who can be registered in the LNFP	309,526	-	6,221	(2,341)	443	974	314,823
Staff who cannot be registered in the LNFP	50,808	-	3,736	7,138	3,417	3,439	68,538
Total sports personnel expenses	**360,334**	**-**	**9,957**	**4,797**	**3,860**	**4,413**	**383,361**

The following table presents the total sports personnel expenses based on the budget preparation guidelines of the clubs, as well as the LNFP's public limited sports companies (Sociedades anónimas deportivas or "SADS").

2023/2024

€ THOUSAND	PERSONNEL EXPENSES	DEPRECIATION AND AMORTIZATION	IMPAIRMENT AND LOSSES	(INCOME)/ EXPENSE FROM TRANSFERS	TOTAL
Staff who can be registered in the LNFP	357,181	113,568	6,832	4,375	481,956
Staff who cannot be registered in the LNFP	64,313	3,860	8,252	2,118	78,543
Total sports personnel expenses	**421,494**	**117,428**	**15,084**	**6,493**	**560,499**

2022/2023

€ THOUSAND	PERSONNEL EXPENSES	DEPRECIATION AND AMORTIZATION	IMPAIRMENT AND LOSSES	(INCOME)/ EXPENSE FROM TRANSFERS	TOTAL
Staff who can be registered in the LNFP	314,823	135,076	38,835	-	488,734
Staff who cannot be registered in the LNFP	68,538	3,851	5,920	(726)	77,583
Total sports personnel expenses	**383,361**	**138,927**	**44,755**	**(726)**	**566,317**

17.4 OTHER OPERATING EXPENSES

- **Losses on, impairment of and changes in trade provisions**

The breakdown of "Losses on, impairment of and changes in trade provisions" is as follows:

€ THOUSAND	6/30/2024	6/30/2023
Impairment of "trade receivables" (Note 8.2)	1,031	4,356
Losses on "trade receivables"	242	779
Reversal of impairment of "trade receivables" (Note 8.2)	(232)	(4,453)
Utilization of loss allowance for "trade receivables" (Note 8.2)	(4,162)	(769)
Impairment of "Current receivables from sports entities" (Note 8.2)	-	25
Reversal of impairment on "Current receivables from sports entities" (Note 8.2)	(36)	(28)
Total losses, impairment and changes in trade provisions	**(3,157)**	**(90)**

- **Other operating expenses**

The breakdown of "Other operating expenses" is as follows:

€ THOUSAND	6/30/2024	6/30/2023
External services	211,788	160,124
Taxes	4,772	4,744
Transport	13,499	19,646
Player transfer and acquisition expenses	6,523	1,036
Other operating expenses	125,529	76,749
Total other operating expenses	**362,111**	**262,299**

"Other operating expenses" includes the mandatory contributions regulated by Royal Decree 5/2015 (see Note 17.1.6) and provisions for certain expenses not attributable to other items.

The breakdown of "External services" is as follows:

€ THOUSAND	6/30/2024	6/30/2023
Leases of assets (Note 6.3)	3,337	2,725
Other leases, royalties and other services	75,432	56,498
Repairs and maintenance	41,374	29,652
Professional services	74,414	55,906
Insurance premiums	4,544	4,182
Advertising, publicity and public relations	7,739	6,729
Utilities	4,948	4,432
Total external services	**211,788**	**160,124**

"Other leases, royalties and other services" includes, inter alia, operating fees, TV production expenses, catering, hostess and event expenses, and costs of editing and mailing publications.

Fees paid for audit and other review and assurance engagements provided to the Group by the audit firm are as follows:

€ THOUSAND	6/30/2024	6/30/2023
Audit	192	188
Review and assurance work	64	53
Total services	**256**	**241**

Meanwhile, fees in 2023/2024 related to other services provided by companies in the audit firm's international network amounted to approximately €293 thousand (2022/2023: €286 thousand).

17.5 IMPAIRMENT AND GAINS/(LOSSES) ON DISPOSAL OF NON-CURRENT ASSETS

The breakdown of "Impairment and gains/(losses) on disposal of non-current assets and other exceptional gains/(losses)" is as follows:

€ THOUSAND	6/30/2024	6/30/2023
Change in impairment and other gains/(losses) on sports intangible assets (Notes 4.1 and 4.2)	(8,249)	2,849
Disposals of sports intangible assets	(6,835)	(33,456)
Total change in impairment and losses	**(15,084)**	**(30,607)**
Gains/(losses) on disposal of sports intangible assets	27,792	104,041
Gains/(losses) on disposal of non-sports intangible assets	-	14
Gains/(losses) on disposal of property, plant and equipment	-	2
Gains on disposal and other (Note 17.1)	**27,792**	**104,057**
TOTAL IMPAIRMENT, GAINS/(LOSSES) ON DISPOSAL OF NON-CURRENT ASSETS AND OTHER EXCEPTIONAL GAINS/(LOSSES)	**12,708**	**73,450**

17.6 FINANCE INCOME AND EXPENSES

The breakdown of finance income and expenses is as follows:

€ THOUSAND	6/30/2024	6/30/2023
Finance income from marketable securities and other financial instruments.		
Interest on term and other deposits	4,594	1,179
Exchange gains	139	384
Unrealized exchange gains	301	74
Other finance income	3,878	9,643
Finance income on remeasurement of financial assets (Note 8.1)	1,279	1,474
	10,191	**12,754**
Capitalization of borrowing costs (Note 6.4)	**29,727**	**17,917**
Finance costs		
Bank service fees	536	626
Exchange losses	458	477
Unrealized exchange losses	20	85
Loan interest costs	34,214	21,332
Other finance costs	483	945
Finance costs on remeasurement of financial liabilities (Notes 14.1 and 14.2)	6,143	1,618
	41,854	**25,083**

"Loan interest costs" included the interest expenses on financing of the Santiago Bernabéu Stadium remodeling project (Note 6.1). In according with accounting standards, these costs are recognized in the balance sheet under "Capitalization of borrowing costs" (see Note 6.4).

"Other finance income" includes €2,351 thousand of interest on the outstanding reimbursement of excess amounts paid to the Town Council in property taxes (see Note 8.2). It also includes an amount of €1,443 thousand for late payment interest on reimbursements by the Tax Agency derived from decisions by the Supreme Court and National Court in favor of the Club (see Note 16.4).

17.7 FOREIGN CURRENCY TRANSACTIONS

Transactions carried out in currencies other than the euro are as follows:

2023/2024

THOUSAND

PURCHASES OF NON-CURRENT ASSETS		SALES		SERVICES RECEIVED	
CURRENCY	NOTIONAL	CURRENCY	NOTIONAL	CURRENCY	NOTIONAL
USD	-	USD	20,480	USD	5,575
GBP	-	GBP	390	GBP	4,938
JPY	-	JPY	13	JPY	2
CHF	-	CHF	-	CHF	3
CNY	-	CNY	-	CNY	2
SAR (Saudi riyals)	-	SAR (Saudi riyals)	-	SAR (Saudi riyals)	143
	-		**20,883**		**10,663**

2022/2023

THOUSAND

PURCHASES OF NON-CURRENT ASSETS		SALES		SERVICES RECEIVED	
CURRENCY	NOTIONAL	CURRENCY	NOTIONAL	CURRENCY	NOTIONAL
USD	119	USD	21,355	USD	7,479
GBP	-	GBP	70,657	GBP	779
JPY	-	JPY	13	JPY	-
CHF	-	CHF	-	CHF	2
MXN (Mexican pesos)	-	MXN (Mexican pesos)	-	MXN (Mexican pesos)	3
QAR (Qatari riyals)	-	QAR (Qatari riyals)	-	QAR (Qatari riyals)	2
MAD (Moroccan dirham)	-	MAD (Moroccan dirham)	-	MAD (Moroccan dirham)	69
SAR (Saudi riyals)	-	SAR (Saudi riyals)	-	SAR (Saudi riyals)	148
	119		**92,025**		**8,482**

17.8 CONSOLIDATED PROFIT OR LOSS BY GROUP COMPANIES

The contribution by company to the Group's consolidated profit or loss was as follows:

€ THOUSAND	6/30/2024	6/30/2023
Real Madrid Club de Fútbol	15,265	11,560
Real Madrid Estadio, S.L.U.	334	266
Aparcamientos del Santiago Bernabéu, S.L.	32	-
Real Madrid Beijing Co, Ltd	(3)	-
Profit/(loss) for the year	**15,628**	**11,826**

18. RELATED PARTY TRANSACTIONS

Related parties with which the Group carried out transactions in the year ended June 30, 2024, and the nature of the relationship, are as follows:

	NATURE OF THE RELATIONSHIP
Board of Directors	Directors
Senior management	Directors
Real Madrid Foundation	Shared directors between the Foundation and the Club

18.1 BOARD OF DIRECTORS AND SENIOR MANAGEMENT

The members of the Board of Directors and those holding other management positions at the Group, both those serving at the date of authorization for issue of these annual consolidated financial statements and former members, did not undertake any transactions other than in connection with the ordinary course of the Group's business.

The Group's policy is to arrange third-party liability insurance of Group directors for damages caused by acts or omission in the discharge of their directorships. The amount paid in 2023/2024 was €113 thousand (2022/2023: €95 thousand).

1. Director compensation

The members of the Board of Directors did not accrue any compensation for serving as directors.

At June 30, 2024 and 2023, the Group had no obligations with former or current members of the Board of Directors in respect of pensions or life insurance, nor had it extended any guarantees on their behalf.

2. Identification of and total compensation paid to senior management

In the year ended June 30, 2024, there were 56 senior executives (2022/2023: 55), of whom 54 continued to hold their directorships at June 30, 2024 (June 30, 2023: 54).

Total compensation paid to executives in the year ended June 30, 2024 was €36,741 thousand (June 30, 2023: €33,608 thousand).

The members of the Board of Directors at June 30, 2024 were as follows:

Chairman:
Florentino Pérez Rodríguez

Vice Chairman:
Eduardo Fernández de Blas

Vice Chairman:
Pedro López Jiménez

Secretary:
Enrique Sánchez González

Board members:
Santiago Aguado García
Jerónimo Farré Muncharaz
Enrique Pérez Rodríguez
Manuel Cerezo Velázquez
José Sánchez Bernal
Gumersindo Santamaría Gil
José Manuel Otero Lastres
Nicolás Martín-Sanz García
José Luis Del Valle Pérez
Catalina Miñarro Brugarolas
Manuel Torres Gómez

18.2 REAL MADRID FOUNDATION

The Real Madrid Foundation's governing body is its Board of Trustees. According to the Foundation's bylaws, the Foundation's trustees include, among others, the members of the Board of Directors of Real Madrid Club de Fútbol.

The members of the Board of Trustees do not earn any compensation for their seats on this board.

There are commitments with the Foundation regarding contributions to fund the sustainability of the Foundation and the pursuit of its activities. Contributions in the year ended June 30, 2024, amounted to €3,428 thousand (June 30, 2023: €3,023 thousand).

19. NATURE AND EXTENT OF RISKS ARISING FROM FINANCIAL INSTRUMENTS

The Group has established a series of procedures and controls that make it possible to identify, measure, and manage the risks arising from financial instrument activity.

Financial instrument activity exposes the Group to credit, market, and liquidity risk.

19.1 CREDIT RISK

Credit risk is the risk that a Group counterparty will not meet its contractual obligations, i.e., the possibility that financial assets will not be recovered at their carrying amount within the established time frame.

The maximum exposure to credit risk is as follows:

€ THOUSAND	6/30/2024	6/30/2023
Non-current financial investments		
Non-current receivables from sports entities (Note 8.1)	36,875	70,990
Non-current trade receivables (Note 8.1)	15,259	29,362
Other receivables (Note 8.1)	6,487	3,047
Other financial assets (Note 8.1)	1,280	480
Trade and other receivables		
Trade receivables (Note 8.2)	176,494	83,342
Current receivables from sports entities (Note 8.2)	62,995	75,651
Other financial assets (Note 8.2)	54,625	55,682
Receivables from public administrations (Note 8.2)	83,749	97,367
Cash and cash equivalents (Note 10)	208,265	253,357
	646,029	**669,278**

For the purposes of credit risk management, the Group differentiates between financial assets arising from operating activities and those arising from investing activities.

- **Operating activities**

The Group has a procedure in place to measure, manage and control the risks arising from each of its loans. The procedure covers risk measurement and the initial authorization, ongoing monitoring of the exposure and subsequent controls.

Initial measurement and authorization is based on a hierarchical credit limit authorization system. Subsequent control is automated through a system of regular warnings managed by the Group's IT system and supervised at the corresponding management levels.

The breakdown, by counterparty, of credit risk concentration of current and non-current "Receivables from sports entities", "Non-current trade receivables" and "Trade receivables" is as follows:

2023/2024

	NO. OF DEBTORS	€ THOUSAND
With a balance of more than €1,000 thousand	34	330,940
With a balance of between €1,000 thousand and €500 thousand	30	23,180
With a balance of between €500 thousand and €200 thousand	41	14,974
With a balance of between €200 thousand and €100 thousand	31	4,425
With a balance of less than €100 thousand	214	4,473
Impairment		(15,246)
		362,746

2022/2023

	NO. OF DEBTORS	€ THOUSAND
With a balance of more than €1,000 thousand	24	316,903
With a balance of between €1,000 thousand and €500 thousand	11	8,080
With a balance of between €500 thousand and €200 thousand	13	4,591
With a balance of between €200 thousand and €100 thousand	19	2,658
With a balance of less than €100 thousand	202	9,933
Impairment		(18,617)
		323,548

The breakdown of these balances by age is as follows:

€ THOUSAND	6/30/2024	6/30/2023
Not due	**200,887**	**249,475**
Past due but not impaired		
Less than 30 days	82,368	18,688
Between 30 and 60 days	7,378	7,753
Between 60 and 90 days	42,516	164
Between 90 and 120 days	4,099	192
Over 120 days	25,498	47,276
	161,859	**74,073**
Doubtful receivables	**15,246**	**18,617**
Impairment	**(15,246)**	**(18,617)**
	362,746	**323,548**

Balances past due but not impaired include the debt with the Madrid City Council for the Las Tablas proceedings (see Note 13.4.2).

The Group, through its various departments, assesses and monitors these exposures on a monthly basis with a view to identifying risky situations and collection delays, taking the necessary precautions, including legal measures if warranted, to enable recovery of amounts past due as quickly as possible. In addition, in order to guarantee collection of receivables, the Club often demands suitable collateral and guarantees.

- **Investing activities**

The Group's investment policies are established by the Finance and Administration Department to make investments under the following guidelines:

- They must be arranged with financial institutions domiciled in Spain and of renowned solvency and liquidity.

- Acceptable investment products include bank deposits, repos, commercial paper issued by highly solvent financial institutions, interest-bearing accounts and other similar financial products. Specifically, investment in speculative financial products or those in which the counterparty is not clearly and explicitly identified are expressly prohibited.

- Investments should be diversified to ensure that the risk is not significantly concentrated in any one institution. However, temporarily, undrawn facilities may, depending on market conditions, be concentrated in certain highly solvent institutions.

- Investments in current financial assets must be liquid assets with a maturity of three months or less, with a repurchase commitment or a secondary market that guarantees their immediate liquidity if required.

- The Club's power of attorney policy dictates the parameters for the use of joint and several signatures based on amount.

19.2 MARKET RISK

- **Interest rate risk**

Interest rate risk is the potential loss arising from fluctuations in the fair value or future cash flows from assets or liabilities and to changes in the discount rates used to determine the carrying amounts of assets, especially player values.

Regarding players and estimates of their value in use, the Group performs the analysis and considers the circumstances set out in Note 3.6 when assessing potential impairment losses.

Moreover, as explained in Note 14, at June 30, 2024, the Group had several loans with different financial institutions, mostly with long-term maturities. The nominal amount of outstanding principal at June 30, 2024 was €76,713 thousand (June 30, 2023: €115,010 thousand). Virtually the entire amount is at a fixed rate of interest. The Group also has long- and short-term floating rate credit facilities, of which no amounts had been drawn down at either June 30, 2024, or June 30, 2023.

Regarding the loans to fund the stadium remodeling project, the final drawdown, for €1,170 thousand, was made. The interest rate on this loan is fixed (see Note 6.1).

Therefore, the spike in interest rates since the middle of the previous year has barely had any impact on the Group's income statement.

- **Inflation**

Inflation peaked in July 2022 (at 10.8% yoy), before falling sharply to 3.4% yoy in June 2024. In any case, given its cost structure, the Club has seen only a moderate impact of inflation on its expenses. It does not consume any commodities; energy consumption is largely insignificant; and the portion of expenditure on external services and non-sports personnel linked to short-term inflation represents less than 20% of the Group's total expenses. Moreover, the part of the inflation-induced increase in expenses is offset by corresponding increases in certain revenue items.

19.3 LIQUIDITY RISK

Liquidity risk is the risk that the Group will have a shortage of funds or lack access to sufficient funds at an acceptable cost to meet its payment obligations at all times. The Group's objective is to maintain sufficient available funds. Group policies establish the minimum liquidity levels required at all times.

The contractual maturity schedule of financial liabilities is as follows:

2023/2024

€ THOUSAND	LESS THAN 3 MONTHS	BETWEEN 3 MONTHS AND 1 YEAR	BETWEEN 1 AND 5 YEARS	> 5 YEARS	TOTAL
Bank borrowings	5,351	34,039	37,644	-	77,034
Other financial liabilities					
Suppliers of fixed assets	40,572	3,050	37,721	889	82,232
Payables to sports entities for player transfers	38,581	42,978	39,465	-	121,024
Other financial liabilities	38,920	12,235	142,825	989,047	1,183,027
Trade and other payables	351,792	53,766	6,303	-	411,861
	475,216	**146,068**	**263,958**	**989,936**	**1,875,178**

2022/2023

€ THOUSAND	LESS THAN 3 MONTHS	BETWEEN 3 MONTHS AND 1 YEAR	BETWEEN 1 AND 5 YEARS	> 5 YEARS	TOTAL
Bank borrowings	5,035	33,474	76,573	-	115,082
Other financial liabilities	-	-	-	-	-
Suppliers of fixed assets	152,317	1,605	32,866	94	186,882
Payables to sports entities for player transfers	39,550	20,000	25,994	-	85,544
Other financial liabilities	32,355	-	119,611	665,157	817,123
Trade and other payables	276,554	19,336	-	-	295,890
	505,811	**74,415**	**255,044**	**665,251**	**1,500,521**

However, the key metric in determining liquidity risk is the net balance between receivables and payables.

The table below summarizes the maturity profile of financial assets:

2023/2024

€ THOUSAND	LESS THAN 3 MONTHS	BETWEEN 3 MONTHS AND 1 YEAR	BETWEEN 1 AND 5 YEARS	> 5 YEARS	TOTAL
Trade receivables (*)	170,044	6,451	15,259	-	191,754
Receivables from sports entities	44,192	18,803	36,875	-	99,870
Other financial assets (**)	7,827	46,798	6,878	889	62,392
Receivable from public administrations	31,749	52,000	-	-	83,749
	253,812	**124,052**	**59,012**	**889**	**437,765**

(*) Includes "Non-current trade receivables" and "Current trade receivables".
(**) Includes "Other non-current receivables" and "Other financial assets" (non-current and current).

2022/2023

€ THOUSAND	LESS THAN 3 MONTHS	BETWEEN 3 MONTHS AND 1 YEAR	BETWEEN 1 AND 5 YEARS	> 5 YEARS	TOTAL
Trade receivables (*)	83,342	-	29,362	112,704	112.704
Receivables from sports entities	55,062	20,589	70,990	146,641	146.641
Other financial assets (**)	8,003	47,679	3,527	59,209	59.209
Receivable from public administrations	-	35,602	61,765	97,367	97.367
	146,407	**103,870**	**165,644**	**415,921**	**415.921**

(*) Includes "Non-current trade receivables" and "Current trade receivables".
(**) Includes "Other non-current receivables" and "Other financial assets" (non-current and current).

As explained in Note 14.5 Working capital, a significant portion of the balance of "Trade and other payables" is recurring, i.e. renewed annually due to the intrinsic nature of Group companies' business operations.

Payment commitments to suppliers of fixed assets and sports entities for player transfers are amply covered by cash inflows to be received in coming years through operating income for the year, as well as by available cash and the credit lines discussed in Note 14.

19.4 INFORMATION REGARDING DEFERRED PAYMENTS TO SUPPLIERS IN COMMERCIAL TRANSACTIONS

The table below provides information on the average payment period to suppliers in commercial transactions in accordance with the Resolution of January 29, 2016 of the Spanish Accounting and Auditing Institute (Instituto de Contabilidad y Auditoría de Cuentas) regarding disclosures in the notes to annual consolidated financial statements:

	6/30/2024	6/30/2023
Days		
Average supplier payment period	41	53
Ratio of transactions paid	42	58
Ratio of transactions outstanding	40	40
€thousand		
Total payments made	370,203	263,320
Total payments outstanding	142,889	96,912
Monetary value of invoices paid within 60 days	275,251	192,923
Percentage of payments made with 60 days of total payments made	75%	73%
Number of invoices		
Number of invoices paid within 60 days	8,528	4,992
Percentage of total invoices paid	65%	43%

20. OTHER INFORMATION

20.1 STRUCTURE OF PERSONNEL

Group headcount by employee category:

2023/2024

	NUMBER OF EMPLOYEES AT JUNE 30, 2024			AVERAGE NUMBER OF EMPLOYEES IN THE YEAR	AVERAGE NUMBER OF EMPLOYEES WITH A DISABILITY WITH A SEVERITY EQUAL TO OR GREATER THAN 33%
	MEN	WOMEN	TOTAL		
Senior managers	45	9	54	54	-
Middle managers	23	11	34	36	-
Players and coaching staff	458	99	557	535	1
General staff	265	189	454	427	9
Laborers	39	5	44	45	4
Permanent seasonal	17	3	20	21	-
	847	**316**	**1,163**	**1,118**	**14**

2022/2023

	NUMBER OF EMPLOYEES AT JUNE 30, 2023			AVERAGE NUMBER OF EMPLOYEES IN THE YEAR	AVERAGE NUMBER OF EMPLOYEES WITH A DISABILITY WITH A SEVERITY EQUAL TO OR GREATER THAN 33%
	MEN	WOMEN	TOTAL		
Senior managers	45	9	54	50	-
Middle managers	24	12	36	36	-
Players and coaching staff	429	83	512	473	2
General staff	220	183	403	352	7
Laborers	41	4	45	41	3
Permanent seasonal	19	3	22	22	-
	778	**294**	**1,072**	**974**	**12**

20.2 ENVIRONMENTAL DISCLOSURES

Given the nature of its activities, the Group has no environmental liabilities, expenses, assets, provisions or contingencies that could have a significant effect on its equity, financial position and results. Consequently, the notes to the accompanying financial statements do not include specific environmental disclosures.

20.3 RATIOS NECESSARY TO JOIN THE LFP AS AN AFFILIATE

The LFP's bylaws state that at lest one of the two following ratios must be met by affiliates. The amounts required for the Club's registration for season T relate to:

- Balance sheet figures: data at December T-1
- Revenue: data at June T-2

- **Ratio 1**

€ THOUSAND	SEASON OF REGISTRATION (T)	
	2024/2025	2023/2024
Non-current liabilities (*)	324,804	410,545
Current liabilities	554,386	546,134
Cash and cash equivalents	(190,709)	(327,925)
Receivables from sports entities (**)	(83,214)	(126,129)
Investments in stadium remodeling (***)	(980,333)	(731,300)
I. Total adjusted liabilities T-1	**(375,066)**	**(228,675)**
Revenue T-2	804,498	712,875
COVID adjustment T-2	-	73,950
II. Adjusted revenue T-2	**804,498**	**786,825**
Ratio 1 (I/II)	**(0.47)**	**(0.29)**
Required ratio 1	<3.15	<3.15
	COMPLIES	**COMPLIES**

(*) Payables falling due after T+4 to June 30 are not included.
(**) Receivables from sports entities due to transfers/assignments to non-current and current.
(***) Investment x adjustment coefficient. Adjustment coefficient =1
Cumulative investment as at December 31, 2023 and December 31, 2022, respectively. For cumulative investment as at December 31, 2023, in accordance with regulations and standards issued by economic-financial control bodes, investment for the period from July 1, 2019 to December 31, 2019 was excluded.

- **Ratio 2**

€ THOUSAND	SEASON OF REGISTRATION (T)	
	2024/2025	2023/2024
Current liabilities	554,386	546,134
Cash and cash equivalents	(190,709)	(327,925)
Payables to sports entities (*)	(46,874)	(56,233)
Adjusted investment in stadium remodeling (**)	24,834	(24,746)
I. Total adjusted current liabilities T-1	**341,637**	**137,230**
Revenue T-2	804,498	712,875
COVID adjustment T-2	-	73,950
II. Adjusted revenue T-2	**804,498**	**786,825**
Ratio 2 (I/II)	**0.42**	**0.17**
Total Ratio 2 required	<1.40	<1.40
	COMPLIES	**COMPLIES**

(*) Receivables from sports entities due to transfers/assignments to current.
(**) Adjusted investment in stadium remodeling is calculated as follows:

€ THOUSAND	SEASON OF REGISTRATION (T)	
	2024/2025	2023/2024
Investments in stadium remodeling (*)	(980,333)	(731,300)
Liabilities associated with investment	1,021,723	690,057
Adjustment coefficient	0.6	0.6
Adjusted investment in stadium remodeling	**24,834**	**(24,746)**

(*) Cumulative investment as at December 31, 2023 and December 31, 2022, respectively. For cumulative investment as at December 31, 2023, in accordance with regulations and standards issued by economic-financial control bodes, investment for the period from July 1, 2019 to December 31, 2019 was excluded.

21. EVENTS AFTER THE REPORTING PERIOD

The most significant events that occurred between the end of the reporting year and the date of authorization for issue of these financial statements were as follows:

- A world-renowned player joined the men's first football team without the Club having to pay any transfer cost.
- Player transfers to other clubs were carried out amounting to approximately €18,350 thousand.

22. INCOME STATEMENT BY ANALYTICAL SEGMENT

	MEN'S FOOTBALL		WOMEN'S FOOTBALL			
€ THOUSAND	FIRST TEAM AND OTHER	YOUTH TEAM	FIRST TEAM	YOUTH TEAM	BASKETBALL	TOTAL
Membership fees, ticket sales and stadium revenue	307,749	51	316	-	8,906	317,022
Revenue from international and friendly matches	148,020	980	799	-	985	150,784
Broadcasting revenue	175,244	40	977	-	2,996	179,257
Marketing revenue	405,463	-	8,444	-	12,242	426,149
Total operating income (before disposal of non-current assets)	**1,036,476**	**1,071**	**10,536**	**-**	**25,129**	**1,073,212**
Cost of sales	(62,990)	(1,369)	(445)	(248)	(666)	(65,718)
Sports and non-sports personnel expenses	(438,515)	(23,764)	(4,585)	(1,430)	(36,680)	(504,974)
Operating expenses	(318,258)	(11,296)	(2,079)	(203)	(9,007)	(340,843)
Provision for liabilities and charges	(18,111)	-	-	-	-	(18,111)
Total operating expenses before depreciation and amortization	**(837,874)**	**(36,429)**	**(7,109)**	**(1,881)**	**(46,353)**	**(929,646)**
Operating profit/(loss) before depreciation and amortization, and disposal of non-current assets	**198,603**	**(35,358)**	**3,427**	**(1,881)**	**(21,225)**	**143,566**
Gains/(losses) on disposal of non-current assets	7,914	18,931	-	-	947	27,792
Impairment/derecognition of non-current assets	(14,887)	(170)	-	-	(27)	(15,084)
Operating profit/(loss) before depreciation and amortization (EBITDA)	**191,630**	**(16,597)**	**3,427**	**(1,881)**	**(20,305)**	**156,274**
Depreciation and amortization	**(129,310)**	**(4,171)**	**(402)**	**(7)**	**(525)**	**(134,419)**
Operating profit/(loss)	**62,320**	**(20,768)**	**3,025**	**(1,888)**	**(20,830)**	**21,855**
Finance income						10,191
Capitalization of borrowing costs						29,727
Finance costs arising on implied cost of deferred payment on player acquisitions						(5,873)
Finance costs arising on interest on loans, guarantee expenses and other financial expenses						(6,254)
Capitalized finance costs on the stadium loan						(29,727)
Net finance income/(expense)						**(1,936)**
Profit before tax						**19,919**
Income tax expense						**(4,291)**
Profit after tax						**15,628**

23. BUDGET OUT-TURN FOR THE 2023/2024 SEASON

€ THOUSAND	BUDGET*	OUT-TURN	VARIANCE
Membership fees, ticket sales and stadium revenue	317,898	317,022	(876)
Revenue from international and friendly matches	108,673	150,784	42,111
Broadcasting revenue	172,660	179,257	6,597
Marketing revenue	340,313	426,149	85,836
Total operating income (before disposal of non-current assets)	**939,544**	**1,073,212**	**133,668**
Cost of sales	(45,263)	(65,718)	(20,455)
Sports and non-sports personnel expenses	(458,269)	(504,974)	(46,705)
Operating expenses	(339,534)	(340,843)	(1,309)
Provision for uncollectible receivables, and for liabilities and charges	-	(18,111)	(18,111)
Total operating expenses before depreciation and amortization	**(843,066)**	**(929,647)**	**(86,580)**
Operating profit/(loss) before depreciation and amortization, and disposal of non-current assets	**96,478**	**143,566**	**47,088**
Gains/(losses) on disposals of non-current assets	87,003	27,792	(59,211)
Impairment/derecognition of non-current assets	-	(15,084)	(15,084)
Operating profit/(loss) before depreciation and amortization (EBITDA)	**183,481**	**156,274**	**(27,207)**
Depreciation and amortization	**(144,368)**	**(134,419)**	**9,949**
Operating profit/(loss)	**39,113**	**21,855**	**(17,258)**
Finance income	1,111	10,191	9,080
Capitalization of borrowing costs	12,044	29,727	17,683
Finance costs arising on implied cost of deferred payment on player acquisitions	(4,736)	(5,873)	(1,137)
Finance costs arising on interest on loans, guarantee expenses and other financial expenses	(25,083)	(6,254)	18,829
Capitalized finance costs on the stadium loan	(12,044)	(29,727)	(17,683)
Net finance income/(expense)	**(28,708)**	**(1,936)**	**26,772**
Profit before tax	**10,406**	**19,919**	**9,513**
Income tax expense	**(4,052)**	**(4,291)**	**(239)**
Profit after tax	**6,354**	**15,628**	**9,274**

Variance
Positive: higher revenue, lower expense.
Negative: lower revenue, higher expense.

The main differences vis-à-vis the budget are discussed below: Any mention of the Club with respect to financial performance should be understood to refer to the Group comprising Real Madrid Club de Fútbol and Subsidiaries.

In the 2023/2024 season, the first division football team won the Champions League, for the sixth time between 2014 and 2024, along with the La Liga and Spain's Super Cup trophies. The first division basketball team won Spain's ACB league, King's Cup (Copa SMR) and Super Cup and was the EuroLeague runner-up. None of these sporting achievements was budgeted—the budget had Real Madrid reaching the quarterfinals of the Champions League—resulting in higher-than-budgeted revenue, especially stadium and international match revenue, as well as higher-than-budgeted personnel expenses and sports personnel bonuses, and operating expenses due to the larger number of matches played and the increased operating activities carried out.

The remodeling project continued throughout 2023/2024, with works on the various structural components (e.g., facade, roof, retractable lawn) completed gradually. As at the June 30, 2024 reporting date, the works related to development of businesses (e.g., VIP area, tour, RM Experience, events, catering, store), which were one of the primary reasons behind the remodeling project to begin with, were still under way.

Ongoing development of the works drove a gradual increase in stadium revenue over the course of 2023/2024, with the various business lines scheduled to be fully operational in 2024/2025.

Operating income (before disposal of non-current assets) in 2023/2024 amounted to €1,073.2 million.

Although the stadium was not yet fully operational during the year, the Club still managed to become the first football club ever to surpass the €1 billion mark in operating income before disposal of non-current assets.

Revenue was 14% above budget. This was due above all to increased revenue from achievements in sports competitions and, especially, higher marketing revenue, underpinned by sponsorship and merchandising revenue. Stadium revenue was virtually in line with the budget, as lower revenue from new businesses caused by ongoing remodeling work was offset by higher ordinary spectator revenue on the back of better-than-expected sports performances and higher revenue than budgeted from marketing of a new premium product linked to a small number of the new VIP seats.

Cost of sales was 45% over budget due to the growth of merchandising revenue.

Personnel expenses were 10% over budget mostly as a result of bonuses for unbudgeted sports achievements in both football and basketball.

Operating expenses were in line. Higher-than-budgeted expenses driven by the increase in competition revenue were offset by lower-than-budgeted expenses on development of stadium operations.

Provision for potential contingencies amounting to €18.1 million were recognized for the expenses exceeding the budget that did not warrant any allowance.

All of this resulted in operating profit before depreciation and amortization and disposal of non-current assets (EBITDA before disposals) of €143.6 million, €47.1 higher than budgeted.

A net gain on player transfers of €27.8 million was recognized; i.e., €59.2 million less than budgeted. The result was almost entirely due to transfers of youth team players and variable payments accrued during the current season on first team player transfers carried out in previous seasons.

Meanwhile, costs amounting to €15.1 million that were not budgeted were assumed for player disposals and the allowance for impairment of non-current assets.

Overall, the net gain and retirements and disposals of assets was €74.3 million below budget.

All of this resulted in operating profit before depreciation and amortization (EBITDA) of €156.3 million, €27.2 lower than budgeted.

The depreciation and amortization charge for the year was €9.9 million below budget since depreciation on the remodeling project had yet to start because work was still ongoing at the end of the reporting period.

Net finance expense amounted to €1.9 million, €26.8 million lower than the net expenditure in the budget. These was the result of:

- €9.1 million higher-than-budgeted finance income due to the effect of higher interest rates paid on account balances and deposits and late payment interest received in respect of several tax-related claims.

- €17.7 million lower-than-budgeted finance costs, due primarily to the capitalization of borrowing costs throughout the year for funding of the remodeling project because work still ongoing at the end of the reporting period.

At the bottom line, profit before tax for the year was €19.9 million, €9.5 million above budget.

Income tax expense amounted to €4.3 million after applying a nominal tax rate of 25% to accounting profit before tax adjusted for impacts of changes in tax legislation and recognizing the applicable tax credits.

The actual expense was in line with the budget despite higher-than-budgeted accounting profit due to application of higher tax credits.

In all, the budget out-turn for 2023/24 included profit before tax of €15.6 million, €9.3 million higher than budgeted for the reasons explained previously.

Against a backdrop of widespread and hefty losses by the vast majority of Europe's biggest clubs from 2019/2020 to 2022/2023, which continued for several of the major clubs in 2023/2024, the Club was profit-making in all five years from 2019/202 to 2023/2024 during which it had to overcome the impact of COVID-19, not to mention limitations arising from the stadium remodeling work.

All this was achieved by implementing measure to rein in costs and improve the business all around.

The Group has now been profit-making in the last 23 years, enabling it to build up equity of €574 million as at June 30, 2024.

AUTHORIZATION FOR ISSUE OF THE CONSOLIDATED FINANCIAL STATEMENTS AND MANAGEMENT REPORT FOR THE YEAR ENDED JUNE 30, 2024

In a meeting held on July 23, 2024, the members of the Board of Directors of Real Madrid Club de Fútbol authorized for issue the consolidated financial statements and management report for the financial year ended June 30, 2024, which consist of the documents preceding this certification.

CHAIRMAN

Mr. Florentino Pérez Rodríguez

VIC-CHAIRMAN

Mr. Eduardo Fernández de Blas

Mr. Pedro López Jiménez

SECRETARY

Mr. Enrique Sánchez González

BOARD MEMBERS

Mr. Santiago Aguado García (*)

Mr. Jerónimo Farré Muncharaz

Mr. Enrique Pérez Rodríguez

Mr. Manuel Cerezo Velázquez (*)

Mr. José Sánchez Bernal

Mr. Gumersindo Santamaría Gil (*)

Mr. José Manuel Otero Lastres (*)

Mr. Nicolás Martín-Sanz García

Mr. José Luis del Valle Pérez

Ms. Catalina Miñarro Brugarolas

Mr. Manuel Torres Gómez



(*) p.p. Chairman Florentino Pérez Rodríguez's signature.

CONSOLIDATED AUDIT REPORT ON THE FINANCIAL STATEMENTS

Ernst & Young, S.L.
Calle de Raimundo Fernández Villaverde, 65
28003 Madrid

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Building a better working world

INDEPENDENT AUDITOR'S REPORT

Translation of a report and financial statements originally issued in Spanish. In the event of discrepancy, the Spanish-language version prevails

To the General Assembly of Delegated Members of
REAL MADRID CLUB DE FÚTBOL

Opinion

We have audited the consolidated financial statements of REAL MADRID CLUB DE FÚTBOL (the "Entity") and Subsidiaries (the "Group"), which comprise the balance sheet at June 30, 2024, the income statement, the statement of changes in equity, the statement of cash flows and the notes thereto, all of which consolidated, for the year then ended.

In our opinion, the accompanying consolidated financial statements give a true and fair view, in all material respects, of the consolidated equity and consolidated financial position of the Group at June 30, 2024, and the results of its operations and cash flows for the year then ended, in accordance with the applicable financial reporting framework (identified in Note 2 of the consolidated notes) and, in particularly, the accounting principles and policies contained therein.

Basis for opinion

We carried out our audit in accordance with Spanish standards on auditing. Our responsibilities under those standards are further described in the *"Auditor's responsibilities for the audit of the consolidated financial statements"* section.

We are independent from the Group in conformity of ethical requirements, including independence, which are applicable to an audit of consolidated financial statements in Spain according to what is required by Spanish standards on auditing. In these regards, we have neither provided services different to audit of financial statements nor any situation or circumstance has concurred that, according to the aforementioned standards, had affected the necessary independence in a way it had been jeopardized.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Domicilio Social: C/ Raimundo Fernández Villaverde, 65. 28003 Madrid - Inscrita en el Registro Mercantil de Madrid, tomo 9.364 general, 8.130 de la sección 3ª del Libro de Sociedades, folio 68, hoja nº 87.690-1, inscripción 1ª. Madrid 9 de Marzo de 1.989. A member firm of Ernst & Young Global Limited.

Key audit matters

Key audit matters are those matters that, in our professional judgment, represent the most significant risk of material misstatement in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Valuation of intangible fixed assets

Description

In its consolidated balance sheet as of June 30, 2024, the Group recognized sports intangible assets, net of amortization and impairment, of 449.059 thousand euros related to the acquisition of player transfer rights and the related costs, which are amortized in a straight-line basis. The relevant information regarding such intangible fixed assets is described in Notes 3.1 and 4 to the consolidated financial statements.

The review of the aforementioned headings is a key audit matter as it involves significant judgment on the part of the Group's management when analyzing, according to the circumstances of each asset, its proper classification as intangible fixed assets or as a non-current asset held for sale and any evidence of impairment at the end of the year, as described in Notes 2.3, 3.1, 3.5 and 3.6 to the consolidated financial statements.

Our response

Our audit procedures, among others, were as follows:

- We reviewed the procedures followed by the Group for the correct classification of players' transfer rights as intangible sports assets or non-current assets held for sale.
- We reviewed the capitalization criteria, depreciation and identification of possible impairment and, where appropriate, and how they were recorded for accounting purposes.
- We assessed the reasonableness of the assumptions and sources of information used by the Group to arrive at its conclusions.
- We reviewed the disclosures included in the notes to the accompanying financial statements required for these items by the applicable financial reporting framework.

Recognition and measurement of revenue and accrual of current and non-current liabilities

Description

As explained in Note 3.18 to the accompany consolidated financial statements, when recognising analysing the accounting treatment given to the transactions comprising "Revenue", the Group utilises the five-step model typically applied to the recognition and measurement of revenue. In addition, on a recurring basis, the Group receives significant collections during the year related to revenues from television broadcasts, membership fees, season tickets, marketing, as well as sponsorship contracts and friendly competitions. Where appropriate, these collections may be considered as prepaid income when accrued in subsequent years (in most cases in the following year), as described in Note 3.18. The amounts corresponding to net sales and long and short-term accruals and deferrals related to the aforementioned prepaid income are disclosed in Notes 17.1 and 15, respectively.

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Verifying that revenue and accruals were correctly recognised was a key matter for our audit due to the variety of items and the complex nature of the underlying agreements, requiring a detailed and individualized analysis of each of them. As part of our audit engagement, we reviewed the procedures followed by the Group and analysed the main agreements in order to determine whether the approach was applied on a consistent basis and to determine the appropriate accounting recognition of these accruals was a key matter for our audit given the variety of items and terms in the underlying agreements, requiring a detailed and case-by-case analysis of each. reasonableness of the calculations made.

Our response

Our audit procedures, among others, were as follows:

- We have reviewed the procedures followed by the Group for the correct classification of players' transfer rights as intangible sports assets or non-current assets held for sale.
- We have reviewed the capitalization criteria, depreciation and identification of possible impairment and, where appropriate, their accounting recording.
- We assessed the reasonableness of the assumptions and sources of information used to arrive at its conclusions.
- We have reviewed the disclosures included in the accompanying notes to the financial statements required for these items by the applicable financial reporting framework.

Other information: Consolidated management report

The other information involves exclusively the consolidated management report for the year ended June 30, 2024. The consolidated management report is the responsibility of the members of Parent Entity's Board of Directors and is not an integral part of the consolidated financial statements.

Our opinion on the consolidated financial statements does not cover the consolidated management report. In connection with the consolidated management report, our responsibility, as required by auditing standards, is to evaluate and report on whether the consolidated management report is consistent with the consolidated financial statements based on the knowledge obtained from the Group in the course of our audit of the consolidated financial statements, and not include other information obtained as evidence during the audit. It is also our responsibility to evaluate and report on whether the content and presentation of the consolidated management report comply with applicable regulations. If, based on the work we have performed, we conclude that there are material misstatements, we are required to report that fact.

Based on the work performed, in accordance with the preceding paragraph, the information contained in the consolidated management report is consistent with the consolidated financial statements for the year ended June 30, 2024, and its content and presentation comply with applicable regulations.

Responsibilities of members of Parent Entity's Board of Directors for the consolidated financial statements

Members of Parent Entity's Board of Directors are responsible for the preparation and fair presentation of the consolidated financial statements in accordance with the applicable financial reporting framework (see Note 2), and for such internal control as they determine is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, members of Parent Entity's Board of Directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters

related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Auditor's responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with Spanish standards on auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with Spanish standards on auditing, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by members of Parent Entity's Board of Directors.
- Conclude on the appropriateness of members of Parent Entity's Board of Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

From the significant matters communicated to the members of Parent Entity's Board of Directors, we determine those of most significance in the audit of the financial statements of the current period and are therefore the key audit matters.

We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter.

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ECONOMIC INFORMATION OF REAL MADRID C.F.

For the year ended June 30, 2024

BALANCE SHEET AS AT JUNE 30, 2024

ASSETS

€ THOUSAND	NOTES	06/30/24	06/30/23
NON-CURRENT ASSETS		**2,071,119**	**1,730,483**
Sports intangible assets	4	**449,059**	**324,979**
Other non-sports intangible assets	5	**29,983**	**26,736**
Property, plant and equipment	6	**1,425,334**	**1,165,257**
Investment properties	7	**11,147**	**11,144**
Investment in Group comanies		**8,141**	**141**
Non-current financial assets	8.1	**62,211**	**106,514**
Non-current accruals	15.1	**39,566**	**41,653**
Deferred tax assets	16	**45,678**	**54,059**
CURRENT ASSETS		**590,172**	**587,878**
Non-current assets held for sale	4.2	**-**	**11,192**
Inventories	9	**18,141**	**9,271**
Trade and other receivables	8.2	**375,778**	**310,494**
Current financial investments in group companies	18.2	**87**	**-**
Current accruals	15.1	**1,323**	**1,429**
Cash and cash equivalents	10	**194,843**	**240,492**
TOTAL ASSETS		**2,661,291**	**2,303,361**

EQUITY AND LIABILITIES

€ THOUSAND	NOTES	06/30/24	06/30/23
EQUITY		**560.580**	**545,460**
Capital and reserves	11	**541,760**	**541,760**
Reserves		498.401	487,997
Revaluation reserve RD 7/96		8,548	8,548
Revaluation reserve law 16/2012		20,277	20,277
Capitalization reserve		14,534	13,378
Profit for the year		15,265	11,560
Grants, donations and bequests received	12	**3,555**	**3,700**
NON-CURRENT LIABILITIES		**1,311,935**	**1,026,912**
Non-current provisions	13.1	**33,239**	**45,833**
Non-current loans and borrowings	14.1	**1,243,345**	**920,295**
Bank borrowings		37,644	76,573
Other financial liabilities		1,205,701	843,722
Non-current payables	14.2	**6,303**	**-**
Deferred tax liabilities	16	**27,798**	**36,647**
Non-current accruals	15.2	**1,250**	**24,137**
CURRENT LIABILITIES		**788,776**	**730,989**
Current provisions	13.2	**58,301**	**53,022**
Current loans and borrowings	14.2	**211,871**	**284,336**
Bank borrowings		39,390	38,509
Other financial liabilities		172,481	245,827
Trade and other payables	14.3	**404,405**	**294,555**
Current accruals	15.2	**114,199**	**99,076**
TOTAL EQUITY AND LIABILITIES		**2,661,291**	**2,303,361**

INCOME STATEMENT FOR THE YEAR ENDED JUNE 30, 2024

€ THOUSAND	NOTES	06/30/24	06/30/23
CONTINUING OPERATIONS			
Revenue			
Membership fees, ticket sales and other stadium revenue		307,094	151,962
International and friendly matches		150,784	136,030
Broadcasting revenue		179,257	186,813
Marketing revenue		406,597	329,811
	17.1	**1,043,732**	**804,616**
Self-constructed assets	17.1	**8,965**	**-**
Cost of sales			
Raw materials and other consumables used	17.2	**(65,718)**	**(44,000)**
Other operating income	17.1	**12,050**	**26,715**
Sports and non-sports personnel expenses	17.3	**(498,047)**	**(446,772)**
Other operating expenses			
Losses on, impairment of and changes in trade provisions	17.4	3,157	90
Other operating expenses	17.4	(368,942)	(268,645)
		(365,785)	**(268,555)**
Depreciation and amortization	4, 5, 6, 7	**(134,369)**	**(154,569)**
Non-financial and other capital grants	12.17.1	**193**	**192**
Provision surpluses	13.1, 13.2	**7,890**	**11,613**
Impairment, gains/(losses) on disposal of non-current assets and other exceptional gains/(losses)			
Impairment and losses	17.5	(15,084)	(30,607)
Gains/(losses) on disposal and other	17.5	27,792	104,057
		12,708	**73,450**
OPERATING PROFIT		**21,619**	**2,690**
Finance income			
Marketable securities and other financial instruments	17.6	10,247	12,698
Capitalization of borrowing costs	17.6	29,727	17,917
		39,974	**30,615**
Finance expenses	17.6	**(41,737)**	**(25,082)**
NET FINANCE INCOME/(EXPENSE)		**(1,763)**	**5,533**
PROFIT BEFORE TAX		**19,856**	**8,223**
Income tax expense	16.1	**(4,591)**	**3,337**
PROFIT FOR THE YEAR FROM CONTINUING OPERATIONS		**15,265**	**11,560**
PROFIT FOR THE YEAR		**15,265**	**11,560**

BUDGET 2024-2025

REAL MADRID CLUB DE FÚTBOL AND SUBSIDIARIES
2024/25 CONSOLIDATED BUDGET

MILES €	FY 2023/24	BUDGET 2024/25	VARIANCE
Membership fees, ticket sales and other stadium revenue	317,022	362,091	45,069
Revenue from international and friendly matches	150,784	136,217	(14,567)
Broadcasting revenue	179,257	169,712	(9,545)
Marketing revenue	426,149	459,900	33,751
Total operating income (before disposal of non-current assets)	**1,073,212**	**1,127,919**	**54,707**
Cost of sales	(65,718)	(63,457)	2,261
Sports and non-sports personnel expenses	(504,974)	(482,259)	22,715
Operating expenses	(340,843)	(362,205)	(21,362)
Provision for uncollectible receivables, and for liabilities and charges	(18,111)	(4,000)	14,111
Total operating expenses before depreciation and amortization	**(929,646)**	**(911,922)**	**17,724**
Operating profit/(loss) before depreciation and amortization, and disposal of non current assets	**143,566**	**215,998**	**72,432**
Gains/(losses) on disposals of non-current assets	27,792	30,489	2,697
Impairment/derecognition of non-current assets	(15,084)	0	15,084
Operating profit/(loss) before depreciation and amortization (EBITDA)	**156,274**	**246,487**	**90,213**
Depreciation and amortization	(134,419)	(168,341)	(33,922)
Operating profit/(loss)	**21,855**	**78,146**	**56,291**
Finance income	10,191	947	(9,244)
Capitalization of borrow ing costs	29,727	0	(29,727)
Finance expenses arising on implied cost of deferred payment on player acquisitions	(5,873)	(4,222)	1,651
Finance expenses arising on interest on loans, guarantee expenses and other financial expenses	(6,254)	(46,459)	(40,205)
Capitalized finance costs on the stadium loan	(29,727)	0,000	29,727
Net finance income/(expense)	**(1,936)**	**(49,734)**	**(47,798)**
Profit/(loss) before tax	**19,919**	**28,412**	**8,493**
Income tax expense	(4,291)	(8,261)	(3,970)
PROFIT/(LOSS) AFTER TAX	**15,628**	**20,151**	**4,523**

Revenue budgeted for 2024/25 is €1,127.9 million, an increase of €54.7 million (or 5%) from 2023/24.

The main revenue drivers are stadium (+14%) and marketing (+8%) revenue:

- Stadium revenue: the budget calls for considerable growth in the VIP area (+32%) and museum/tour/RM Experience (+84%), now almost fully operational after the remodeling project. Revenue for the VIP area keeps in line with last year thanks to the marketing of a new premium product linked to a small number of the new VIP seats.

  Also increase revenue from commercial events and catering, though catering revenue is expected to grow more slowly as the various food and beverage areas will open gradually throughout the year. Regarding concerts, only those that have been held to date are included in light of the announced rescheduling.

- Marketing revenue: the budget indicates significant growth in sponsorship revenue (22%) due to new contracts and a more modest increase in merchandising revenue (9%) attributed to the agreement with Adidas. Store revenue, both physical and online, is projected to increase moderately (4%), excluding the inventory effect.

Revenue from other business lines is budgeted to decrease as explained below:

- Competition revenue: the decrease (-10%) is because the Club is expected to reach the quarter finals of the Champions League after winning the title last year. This drop in revenue is greater than the revenue from taking part in the 2024/25 UEFA European Super Cup and FIFA Intercontinental Cup, as well as the income from the accounting reclassification explained below. No income is budgeted for the new FIFA Club World Cup tournament, since precise details are not yet available.

- TV revenue: the decrease (-5%) is primarily the result of the accounting reclassification to competition revenue of what UEFA included under market pool revenue and was recognized as TV revenue. This was due to the change in the UEFA's distribution criteria in the new competition format that began this year, whereby the former "coefficient" and "market pool" pillars have been replaced by a new "value" pillar. The amount is allocated in full to competition revenue.

Overall, assuming equal performance—specifically reaching the quarter-finals as per budget assumptions—the income Real Madrid is expected to receive from UEFA for the 2024/25 Champions League under the new format and revenue sharing is anticipated to be broadly similar (3% higher) to the amount received in 2023/24 under the previous format.

Regarding national competition TV revenue for Real Madrid, following a (-1.2%) decline in the 2023/24 season, "La Liga" has announced its 2024/25 revenue forecast, projecting a (3.6%) increase compared to the previous season.

Cost of sales is budgeted to decrease by 3%, primarily due to the inventory effect, which is expected to offset the increased expenditure resulting from the moderate growth in store revenue.

Personnel expenses budgeted decrease for a 4% primarily affected by the bonuses earned last year for sports achievements. Excluding this impact, personnel expenses are expected to increase by 4% year-on-year as a result of trends in contracts and the composition of sports personnel, the impact of inflation on costs of non-sports personnel, and the larger number of staff dedicated to producing revenue from and operating the stadium.

Operating expenses are budgeted to increase by 6% year-on-year. This is primarily the result of higher direct costs related to revenue growth and the increase in expenses for operating the new stadium. There are also budgeted decreases in costs associated with the loan of 1st team football sports personnel and expenses from sports competitions. However, these are not enough to offset the aforementioned increases, as the cost incurred for the Champions League title last year was greater than those for this year's European Super Cup and Intercontinental Cup competitions.

The budget includes a provision for liabilities of €4 million to cover potential contingencies (2023/24: €18.1 million).

All of this results in budgeted operating profit before depreciation and amortization and disposal of non-current assets (EBITDA before disposals) of €216 million. This is €72.4 (or 50%) higher than last year.

Budgeted gains on disposals in 2024/25 amount to €30.5 million (2023/24: €27.8 million). This is largely the result of transfers of youth team players already completed. Included is the amount of the transfer of one basketball player and a smaller amount of variable payments accrued during the current season on first team player transfers carried out in previous seasons.

Last year, Real Madrid recognized costs amounting to €15.1 million for player disposals and the allowance for impairment of non-current assets. According to the 2024/25 budget, no new costs will be required in this connection, resulting in a reduction in expenditure from the year before.

Budgeted operating profit before depreciation and amortization (EBITDA) is €246.5 million, €90.2 (or 58%) higher than last year.

The budgeted depreciation and amortization charge is €33.9 million (or 25%) higher than the year-earlier figure. The increase in depreciation of property, plant and equipment is due to the start of depreciation this year of the investment in the stadium remodeling, since the project is no longer considered work in progress for accounting purposes. Player amortization is budgeted to decrease slightly from last year as the increased expenditure for new hires is offset by the decreased expenditure due to disposals and renewals.

Net finance expense is budgeted at €49.7 million, compared to €1.9 in 2023/24, a net increase in expenditure of €47.8 million. This increase is underpinned by the following:

- An increase in budgeted interest expenses on loans, guarantees and other finance costs of €40.2 million due mostly to stadium financing as the finance costs on the loan for the remodeling project will cease to be capitalized since the remodeling will no longer be considered work in progress for accounting purposes.

- A decrease in the implied cost of deferred payment on player acquisitions of €1.6 million driven by the reduction in last year's deferred payment balance and the absence of new deferred balances this year.

- A decrease of €9.2 million in finance income due to interest income in 2023/24 on account balances and deposits and late payment interest received in respect of several tax-related claims. No income in this connection is budgeted.

Overall, is budgeted a profit before tax of €28.4 million, an increase of €8.5 million (or 43%) from the year before.

Income tax expense is budgeted at €8.3 million (2023/24: €4.3 million) after applying a nominal tax rate of 25% to accounting profit before tax adjusted for impacts in tax legislation, a nominal tax rate of 25% and recognition of applicable tax credits. The €4 million increase in the budgeted tax expense from last year is attributed almost equally to the increase in profit before tax and the effect of estimating the recognition of lower deductions than the year before.

This leaves budgeted profit after tax of €20.2 million, up €4.5 million (or 29%) from last year for the factors explained.

REAL MADRID CLUB DE FÚTBOL AND SUBSIDIARIES CONSOLIDATED BUDGET BY SPORTS SEGMENTS FOR THE 2024/25 SEASON

	MEN'S FOOTBALL		WOMEN'S FOOTBALL			
€ THOUSAND	1ST TEAM AND REST OF CLUB	YOUTH TEAM	1ST TEAM	YOUTH TEAM	BASKETBALL	TOTAL
Membership fees, ticket sales and other stadium revenue	353,997	99	890	0	7,105	362,091
Revenue from international and friendly matches	134,005	687	821	0	704	136,217
Broadcasting revenue	166,300	40	400	0	2,972	169,712
Marketing revenue	438,875	0	8.409	0	12,616	459,900
Total operating income (before disposal of non-current assets)	**1,093,176**	**826**	**10,519**	**0**	**23,397**	**1,127,919**
Cost of sales	(60,294)	(1,715)	(550)	(248)	(650)	(63,457)
Sports and non-sports personnel expenses	(413,830)	(25,759)	(6,062)	(1,917)	(34,692)	(482,259)
Operating expenses	(339,306)	(11,170)	(2,339)	(241)	(9,149)	(362,205)
Provision for uncollectible receivables, and for liabilities and charges	(4,000)	0	0	0	0	(4,000)
Total operating expenses before depreciation and amortization	**(817,430)**	**(38,644)**	**(8,951)**	**(2,406)**	**(44,491)**	**(911,921)**
Operating profit/(loss) before depreciation and amortization, and disposal of non current assets	**275,747**	**(37,818)**	**1,568**	**(2,406)**	**(21,094)**	**215,998**
Gains/(losses) on disposals of non-current assets	1,750	25,826	38	0	2,875	30,489
Impairment/derecognition of non-current assets	0	0	0	0	0	0
Operating profit/(loss) before depreciation and amortization (EBITDA)	**277,497**	**(11,992)**	**1,606**	**(2,406)**	**(18,219)**	**246,487**
Depreciation and amortization	(163,266)	(4,037)	(378)	(7)	(652)	(168,341)
Operating profit/(loss)	**114,230**	**(16,029)**	**1,228**	**(2,412)**	**(18,871)**	**78,146**
Finance income						947
Finance expenses arising on implied cost of deferred payment on player acquisitions						(4,222)
Finance expenses arising on interest on loans, guarantee expenses and other financial expenses						(46,459)
Net finance income/(expense)						**(49,734)**
Profit/(loss) before tax						**28,412**
Income tax expense						(8,261)
PROFIT/(LOSS) AFTER TAX						**20,151**



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